AMERICAN WEST RESTAURANT GROUP HOLDINGS, LLC

Company Information

Transaction Summary

Date of Investment	February 2022
Source	North Point Partners
Enterprise Value	$157.5 million
Total Investment	$76.5 million
Common Stock	$76.5 million
Sentinel Capital Partners VI, L.P. Investment	$68.7 million
Common Stock	$68.7 million
Fully Diluted Ownership	76.4%
Sentinel Capital Partners VI-A, L.P. Investment	$5.4 million
Common Stock	$5.4 million
Fully Diluted Ownership	6.0%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Common Stock	$1.4 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	6.1x
Debt as % of Enterprise Value	60.3%
Total Debt/Adjusted EBITDA	3.7x

Business

Headquartered in Orange, California, American West Restaurant Group ("AmWest") is the largest Pizza Hut franchisee in California and Utah and the third largest in the United States. AmWest operates more than 220 Pizza Hut restaurants in metropolitan Salt Lake City and greater Los Angeles across five contiguous counties—central Los Angeles, Riverside, San Bernadino, Ventura, and North Orange. Its leading position in Southern California gives AmWest control over local marketing initiatives and brand image in one of the nation's largest and most important quick-service restaurant ("QSR") and pizza markets. A large majority of AmWest's restaurants are highly efficient, modern delivery/carryout units that were generating strong unit-level economics when Sentinel invested. Sentinel previously owned AmWest, then named Southern California Pizza, from 2008 to 2012.

Pizza Hut, based in Dallas, Texas, is a wholly owned subsidiary of Yum! Brands, the franchisor and corporate operator of Pizza Hut. Yum! Brands is the largest QSR operator in the world in terms of units. Yum! Brands operates more than 61,300 units and generated $65.5 billion in 2024 global sales under its three flagship brands—Taco Bell, KFC, and Pizza Hut—and one smaller brand, The Habit Burger Grill. Yum! Brands is known for its product development, creative advertising, and aggressive marketing, all of which have contributed substantially to its success. Yum! Brands also systematically scores and tracks quality, service, and cleanliness to improve customer service and drive revenue growth.

With a domestic market share of approximately 23%, Pizza Hut is the second-largest U.S. brand in quick-service pizza behind Domino's (42% domestic market share). One of the most recognized global restaurant names, Pizza Hut operates more than 20,200 restaurants and delivery units, of which more than 6,500 are in the United States. For the year ended December 31, 2024, Pizza Hut restaurants generated approximately $13.1 billion in systemwide sales, accounting for 20% of Yum! Brands' annual domestic sales.

Pizza Hut made a strategic misstep in 2017 when it required all franchisees to follow nationally advertised prices. This adversely impacted the profitability for higher-cost coastal franchisees like AmWest and led to a decline in the overall number of U.S. Pizza Hut units. In late 2019, Pizza Hut management was replaced by new leadership who immediately eliminated the requirement to follow nationally advertised pricing. The new leadership was focused on franchisee profitability, with a renewed emphasis on product innovation and technology. New products, like the Spicy Lover's pizza and Detroit-style pizza, contributed to Pizza Hut's success. Pizza Hut has also benefited from Yum! Brands' recent acquisitions of technology businesses such as Dragontail and Kvantum, whose systems have been installed in Pizza Hut stores to optimize and manage the entire food preparation process from order through delivery.

Compared to Domino's and Papa John's, Pizza Hut has been better known for its innovative products, broad menu offering, and consistent focus on customer value. For instance, Pizza Hut was the first branded pizza concept to introduce pasta. New products have historically contributed to Pizza Hut's consistent high-single-digit comparable-store sales growth. Pizza Hut's ability to introduce new products and expand its menus led to the highest average unit volumes ("AUVs") in the U.S. pizza category at $898,000. At closing, AmWest's units compared favorably with an AUV of $1.06 million.

The Southern California pizza market is especially favorable to Pizza Hut. First, the population demographic that consumes QSR food is a greater percentage of the Southern California population relative to the national population. Also, although pizza commands a smaller share of the Southern California QSR market than of national QSR sales, Pizza Hut, with a 27% share at closing, has a stronger regional presence. These characteristics resulted in an AUV 18% above the national Pizza Hut average. Driven by a focus on delivery and carryout, AmWest achieved same-store sales growth of 13% in 2020, outpacing the Pizza Hut system average of 3%. Sentinel believes that AmWest is ideally positioned to capitalize on consumer QSR pizza purchasing trends.

Before Sentinel's investment, AmWest experienced several years of solid sales and profit growth through organic gains and successfully integrated accretive add-ons. From 2018 to 2021, net revenue grew from $261.6 million to $309.2 million, a CAGR of 5.7%, and adjusted EBITDA grew from $23.4 million to $30.9 million, a CAGR of 9.7%.

AmWest is an asset-light business that generates high free cash flow. With average working capital of negative $22.0 million and net fixed assets of $18.7 million, AmWest employed negative $3.3 million of tangible capital and generated $30.9 million of EBITDA as of closing, which produced an impressive return on net invested capital.

Investment Rationale

Sentinel invested in AmWest based on (i) the strength and resilience of the QSR industry and pizza segment; (ii) its market leadership in Southern California and Utah; (iii) momentum in the Pizza Hut brand given new executive leadership and a renewed emphasis on product innovation and technology; (iv) its capital-efficient store base, with 90% delivery/carryout-only units; (v) the attractive entry multiple relative to the broader market; (vi) its successful track record of acquisitions and robust and actionable pipeline of potential add-ons; and (vii) Sentinel's knowledge of the business and its management team as its prior owner.

Transaction Background

In 2008, Sentinel created the Southern California Pizza platform through two carveout transactions from Pizza Hut, the franchisor. After owning the business for more than four years, Sentinel sold Southern California Pizza to private equity firm Sterling Investment Partners in 2012. The original investment returned 4.4x cost for Sentinel IV. Under Sterling's ownership, Southern California Pizza acquired restaurants in Utah and rebranded to AmWest. In 2021, Sterling hired midmarket investment bank North Point Partners, with whom we have a close relationship, to manage a sale. Even though our bid was not the highest, Sterling chose Sentinel because of our knowledge of the business as its previous owner and our proven record in the franchising and restaurant sectors.

On February 2, 2022, Sentinel acquired AmWest for $157.5 million, or 6.1x adjusted EBITDA, which is reduced to 5.2x after factoring in the estimated present value of the tax shield. The purchase price included a $5.0 million earnout, which will be paid to AmWest's management team if Sentinel VI makes 2.25x on an exit. We believe this is an attractive valuation for a major QSR brand with regional market leadership in Southern California and Utah that has capital-efficient stores, 90% of which are delivery/carryout-only.

Total funds required at closing, including transaction expenses and other purchase price adjustments, were $178.2 million. To finance the transaction, Sentinel secured $125.0 million of senior debt from MidCap Financial consisting of a $30.0 million revolver and a $95.0 million senior term loan. At the closing, net debt to EBITDA was 3.7x.

To complete the transaction, Sentinel led a $76.5 million equity financing, of which Sentinel VI invested $75.5 million and management $1.0 million. Sentinel established a time-vesting incentive unit pool for management and other key employees as an opportunity to participate meaningfully in the upside rewards, representing 15.0% of the fully diluted ownership.

Sentinel owns a controlling interest in AmWest and has the right to designate a majority of its board of directors. Jim Coady, Josh Garrett, and John McCormack are directors. Jim Schwartz, former chairman and CEO of NPC International, the largest franchisee in the Pizza Hut system, serves as an outside board member.

Performance

Shortly after closing, Sentinel made a planned CEO change and hired Jason Cochran, an accomplished executive who brings more than 29 years of experience in multi-unit consumer businesses, to lead AmWest. Most recently, Mr. Cochran was Vice President of Operations Services at Chipotle Mexican Grill.

AmWest's performance fell short of expectations in 2022. Revenue was $294.9 million, down 4.6% from 2021, and EBITDA was $21.3 million, down 31.2%. The revenue shortfall was driven by a 4.5% drop in same-store sales. The sharper EBITDA shortfall is attributable to inflation-driven food and labor cost increases. To offset rising costs, AmWest pursued strategic closures of underperforming restaurants and implemented a bulk dough-tempering process that saves one hour of labor per day per restaurant. As of December 31, 2022, total net debt to EBITDA was 4.2x, up from 3.7x at closing, primarily because of the EBITDA decline.

In 2023, AmWest's performance was disappointing. Revenue was $283.0 million, down 4.0% from 2022, and EBITDA was $18.4 million, down 13.4%. The revenue decline is attributable to a 2.5% drop in same-store sales. Besides the sales underperformance, continuing challenges with food and labor costs added to the EBITDA shortfall but were partly offset by savings of $1.0 million from the closing of 14 underperforming restaurants and $0.7 million from the bulk-tempering process. To address already high labor costs and a then-pending increase in California's minimum wage for QSR workers to $20/hour, AmWest devised and the franchisor approved a plan to outsource food delivery. Starting in November 2023, AmWest began replacing hourly delivery employees with on-demand, third-party drivers. By reducing AmWest's labor intensity and insurance and legal expenses, the transition to outsourced delivery, which was completed in February 2024, was expected to save $17.3 million annually and held the promise to improve AmWest's economic profile. As of December 31, 2023, total net debt to EBITDA was 5.1x, up from 3.7x at closing, primarily because of the EBITDA decline.

In 2024, the U.S. Pizza Hut franchise system continued to struggle with a franchisor leadership team that has seriously underperformed and underdelivered. During the first half of the year, the franchisor's senior leadership team was in disarray—its president, COO, Chief Development Officer, Chief Marketing Officer, Chief People Officer, and SVP of Supply Chain were either terminated or resigned. In response, parent Yum! Brands replaced much of Pizza Hut's executive team, including its president, over the summer. Unfortunately, the new hires have thus far failed to revitalize the brand and reverse the declines, which has created serious problems for Pizza Hut franchisees, including AmWest. So significant has been the mismanagement that this iconic brand—characterized by low performance volatility for most of its 60-year history—has lost significant market share nationally and in AmWest's core California market, where Pizza Hut's same-store sales have declined for the past two years.

AmWest's performance in 2024 reflects persistent dysfunction at the franchisor and was extremely disappointing. Revenue was $251.7 million, down 11.6% from 2023, and EBITDA was $10.6 million, down 42.6%. AmWest's weak topline performance is a result of decreased store traffic and a 11.5% same-store sales decline versus 2023, driven by the franchisor's inability to develop new menu items and implement effective marketing initiatives. Despite management's heroic measures to cut costs by switching to outsourced delivery and reducing G&A, EBITDA fell more sharply than revenue due to fixed costs and California's 25% minimum wage increase for fast food workers that went into effect in April 2024. AmWest's net debt to EBITDA was 8.7x as of December 31, 2024, up from 5.1x in 2023 due to lower EBITDA.

AmWest continues to face steep challenges in 2025, leaving little reason for optimism. Pizza Hut's sales initiatives to start the year have not resonated with customers, resulting in same-store sales declining 5.2% through the first four weeks. Given the challenges AmWest is experiencing, it can no longer meet its debt and royalty obligations, and we do not see an investment thesis to support the liquidity shortfall. As a result, AmWest's lender has exercised its right to take board control, and we are currently collaboring to facilitate a smooth transition. Accordingly, we expect this investment to face permanent impairment.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	February 2022			
Amount of Initial Investment	$1,409,981	$68,727,226	$5,362,794	$75,500,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.6%	76.4%	5.9%	83.9%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Common Stock	68,727	$1.00	$68,727,226	$0.00	$0
Sentinel Capital Partners VI-A, L.P.					
Common Stock	5,362	$1.00	$5,362,794	$0.00	$0
Sentinel Capital Investors VI, L.P.					
Common Stock	1,409	$1.00	$1,409,981	$0.00	$0

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022	2023	2024
Net Sales	$257,351	$288,589	$309,211	$294,895	$282,995	$251,738
Adjusted EBITDA	$16,807	$28,815	$30,923	$21,266	$18,408	$10,574

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$10,859	Current Liabilities	$46,665
PP&E, net	13,556	Long-Term Debt	91,912
Other Assets	170,134	Other Long-Term Liabilities	58,407
		Stockholders' Equity	(2,435)
Total Assets	$194,549	Total Liabilities and Equity	$194,549

Valuation Rationale

AmWest significantly underperformed in 2024, and the outlook is grim. In light of the consistent lack of support and product innovation from the franchisor, we do not currently see a path to recovering our investment. To give AmWest more runway to see if the franchisor can develop a viable turnaround plan would require us to invest more capital. However, there is currently no clear investment thesis that would support the Partnership making such an investment. As of December 31, 2024, Sentinel is placing zero value on its AmWest holdings, resulting in a gross/net multiple of cost of 0.0x/0.0x.

American West Restaurant Group, LLC
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$251,738	$251,738	$251,738	$251,738
Trailing 12 Month Adjusted EBITDA	$10,574	$10,574	$10,574	$10,574
Valuation Multiple	**6.1x**	**6.1x**	**6.1x**	**6.1x**
Enterprise Value	$64,003	$64,003	$64,003	$64,003
Less: Senior Debt	(98,563)	(98,563)	(98,563)	(98,563)
Plus: Cash	6,140	6,140	6,140	6,140
Subtotal	(92,423)	(92,423)	(92,423)	(92,423)
Gross Equity Value	($28,420)	($28,420)	($28,420)	($28,420)
Value of Class A Equity	(23,855)	(23,855)	(23,855)	(23,855)
Value of Class B Equity	(302)	(302)	(302)	(302)
Value of Class D Equity	(4,263)	(4,263)	(4,263)	(4,263)
# Class A Units Outstanding	75,500,000	75,500,000	75,500,000	75,500,000
# Class B Units Outstanding	955,000	955,000	955,000	955,000
# Class D Units Outstanding	13,492,059	13,492,059	13,492,059	13,492,059
Value per Class A Unit	$ -	$ -	$ -	$ -
Value per Class B Unit	$ -	$ -	$ -	$ -
Value per Class D Unit	$ -	$ -	$ -	$ -
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	68,727,226	5,362,794	1,409,981	75,500,000
Value of SCP Class A Units	$0	$0	$0	$0
Value of Investment	**$0**	**$0**	**$0**	**$0**
Cost of SCP VI's Investment	$68,727	$5,363	$1,410	$75,500
Times Original Investment SCP VI	0.0x	0.0x	0.0x	0.0x
Original Transaction Multiple (EBITDA)	6.1x	6.1x	6.1x	6.1x

BANDON HOLDINGS, LLC

Company Information

Transaction Summary

Date of Investment	July 2022
Source	Piper Sandler
Enterprise Value	$250.0 million
Total Investment	$135.0 million
Class A Units	$127.1 million
Class B Units	$7.9 million
Sentinel Capital Partners VI, L.P. Investment	$115.6 million
Class A Units	$115.6 million
Fully Diluted Ownership	74.9%
Sentinel Capital Partners VI-A, L.P. Investment	$9.0 million
Class A Units	$9.0 million
Fully Diluted Ownership	5.8%
Sentinel Capital Investors VI, L.P. Investment	$2.4 million
Class A Units	$2.4 million
Fully Diluted Ownership	1.5%
Transaction Multiple of EBITDA	8.6x
Debt as % of Enterprise Value	52.2%
Total Debt/EBITDA	4.5x

Business

Founded in 2012 and headquartered in Austin, Texas, Bandon is the largest Anytime Fitness franchisee, with 265 fitness clubs in 30 states and Australia, more than twice as many clubs as the next largest franchisee. Bandon operates with a substantial presence in Texas, Ohio, Indiana, Louisiana, Minnesota, and Florida. Bandon generates revenue from membership dues, personal training packages, biannual club enhancement fees, corporate partnerships, and initial membership down payments.

Franchisor Anytime Fitness, founded in 2002 and headquartered in Woodbury, Minnesota, is the largest fitness company in the United States and the fastest-growing gym franchise in the world, with more than 5,200 clubs in nearly 40 countries and territories. Anytime's share of the U.S. market is about 7.3%, with 2,347 of the estimated 32,000 fitness clubs. Anytime offers affordable fitness options that emphasize a broad array of equipment and services and unparalleled convenience for members, including 24-hour access. Fitness concepts typically differentiate themselves by price and amenities, but most gym users rate convenient location as their top criterion. In 2014, Anytime received a minority equity investment from Roark Capital Group, which remains a shareholder.

For franchisees, Anytime's small-box format with low buildout costs promotes attractive unit economics and return on investment. The Anytime Fitness prototype is 4,000–6,000 square feet staffed by three to five employees. The club will generally contain strength training machines, free weights, cardio equipment, and a functional training area.

Anytime Fitness competes in the $22 billion U.S. fitness and health club industry, which includes approximately 53 million end-users (club members), a number projected to grow 5% annually through 2026. Revenues are projected to grow at a 12% CAGR through 2026, driven by an ongoing shift towards greater health consciousness and prioritization by millennials, who are entering their peak spending years. Revenue growth is expected to outpace the growth in the number of gym members, driven by experience-enhancing add-ons, such as personal training, and increases in membership fees.

Anytime Fitness is a mid-tier, traditional gym. Members pay monthly dues of $40–50, similar to LA Fitness, 24 Hour Fitness, and Snap Fitness. Anytime Fitness also competes with high-volume, low-price (HVLP) concepts that charge $10–25 per month, led by Planet Fitness and Crunch Fitness, and premium competitors that charge $100 or more per month, like Lifetime Fitness and Equinox. Anytime Fitness most directly competes with other mid-tier gyms in small to midsize markets, whereas HVLP and premium-price gyms typically operate in larger markets. Bandon's focus on convenient locations in secondary and tertiary markets positions it to succeed in markets that are too small for HVLP competitors. Partly because Bandon favors non-urban locations, it was not forced to shut a single location during the worst of the Covid pandemic. By contrast, since March 2020, 15–20% of other fitness brands' clubs have permanently closed.

Bandon's unit economics are attractive—the $437,000 average capital outlay per club is modest compared to many key competitors, with each club typically generating revenue of $416,000, EBITDA margins of 39%, and cash-on-cash returns of 37%. The capital required to maintain the clubs is also low at an expected average of $8,000 per club per year, and the estimated refresh capex is $40,000 per club every five years. These appealing economics are a key element of the exceptional success of Anytime Fitness's franchising efforts. The Anytime Fitness system grew every year before the pandemic.

Bandon manages its clubs through a software system developed by ABC Fitness Solutions, a Thoma Bravo portfolio company and the premier provider of comprehensive SaaS health and fitness club management systems. ABC's systems allow Bandon to track membership counts, attrition, membership fees, and club enhancement fees for owned clubs. ABC is used throughout the Anytime Fitness system and has the capability to efficiently streamline the integration process for acquisitions. Personal training is managed through a separate system.

Bandon is the only consolidator of scale in the Anytime Fitness system, and its growth strategy is primarily based on acquiring other Anytime Fitness franchises. In 2018–2019, Bandon grew rapidly—it acquired 67 clubs and added $12.4 million of revenue and $4.3 million of club-level EBITDA. In 2020, constrained by the pandemic, Bandon added only 14 clubs. However, its acquisition pace rebounded in 2021, with Bandon adding 46 clubs, $17.6 million of revenue, and $5.7 million of club-level EBITDA. The elevated acquisition pace continued in 2022, with Bandon acquiring another 54 clubs. Bandon has a large pipeline of acquisition candidates available at highly accretive multiples of 2.5–3.5x EBITDA. Bandon has completed its historical acquisitions at a blended multiple of 3.0x EBITDA, in line with target pricing levels established by the franchisor.

Bandon is an asset-light business that generates high free cash flow and produces an impressive return on net invested capital. When we invested, Bandon employed $28.0 million of tangible capital and generated $29.0 million of EBITDA, which produced an impressive 103.5% return on net invested capital.

Investment Rationale

Sentinel invested in Bandon based on (i) the favorable growth trends in the fitness and health industry; (ii) Anytime Fitness' strong market position as the largest global fitness franchise; (iii) its leadership position as the largest franchisee in the Anytime Fitness system and only acquiror of scale; (iv) a large pipeline of acquisition targets at highly accretive valuation multiples; (v) its fortress position in secondary and tertiary markets; (vi) its strong unit economics and low capital expenditure requirements; (vii) attractive valuation multiples in the fitness space; and (viii) its well-aligned, highly capable, and committed management team with a record of success.

Transaction Background

Bandon was previously owned by private equity firm Growcore Investments. In late 2021, having owned Bandon for about four years and after successfully navigating Covid-related shutdowns, Growcore hired midmarket investment bank Piper Sandler to manage a sale. Piper Sandler, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process. Growcore and management chose Sentinel because of our significant experience investing in the franchise industry, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through acquisitions, and Piper Sandler's confidence that we would close a transaction quickly and on the agreed terms. Three members of Bandon's management invested $7.9 million alongside Sentinel.

On July 27, 2022, Sentinel acquired Bandon for $250.0 million, or 8.6x trailing 12-month adjusted EBITDA, which is reduced to 8.3x after adjusting for the estimated present value of the tax shield. We consider this an attractive valuation for the only acquiror of scale in a growing fitness club system with a strong financial profile and talented management team.

Total funds required at closing, including transaction expenses and other purchase price adjustments, were $268.2 million. To finance the transaction, Sentinel secured a $190.5 million senior credit facility led by First Eagle, with Manulife, Maranon, Stifel, and Webster participating. The senior facility consists of a $10.0 million revolver, undrawn at closing; a $130.5 million senior term loan; and a $50.0 million delayed-draw term loan. At the closing, net debt to EBITDA was 4.5x.

To complete the transaction, Sentinel led a $135.0 million equity financing, of which Sentinel VI invested $127.0 million and management and other coinvestors $8.0 million. Sentinel established a time- and performance-based incentive unit pool for management and other key employees as an opportunity to participate meaningfully in the upside rewards. The incentive pool represents 12.5% of fully diluted ownership.

Sentinel owns a controlling interest in Bandon and has the right to designate a majority of its board of directors. Michael Fabian and John Van Sickle are directors. Also serving on the board are Bandon's two cofounders and CEO.

Performance

For Bandon, 2022 was highly productive. For the year, Bandon acquired 54 clubs with $25.1 million of sales and $10.3 million of EBITDA. The average purchase multiple was a highly accretive 2.9x EBITDA. All acquisitions were financed with cash on hand and debt. Bandon ended 2022 with 229 clubs across 26 states, up from 213 clubs and 24 states at the July closing.

Bandon performed well from the 2022 closing through the end of 2022. For the full year, revenue was $101.5 million, up 68.4% over 2021, and EBITDA was $30.7 million, up 76.0%. As of December 31, 2022, Bandon's total net debt to EBITDA was 4.4x, down from 4.5x at the closing.

In 2023, Bandon continued its acquisition program. Bandon acquired 32 clubs in 2023, including five in Australia, that generated combined annual revenue of $16.6 million and EBITDA of $7.3 million. In aggregate, the enterprise value of the 32 acquired clubs was $30.3 million, which represented a highly accretive 4.2x EBITDA. The acquisitions were funded with a mix of cash on hand and incremental senior debt. Bandon also opened four de novo clubs in 2023. Bandon ended the year with 262 clubs in 30 states and Australia, up from 229 clubs in 26 states the prior year-end.

Bandon's financial performance in 2023 was mixed. Including a full year of ownership of all acquired clubs, revenue was $118.2 million, up 16.5% from the prior year, and EBITDA was $34.8 million, up 13.4%. Clubs acquired in the year contributed most of the top-line increase, with same-store sales down 1.0% over 2022, primarily because of declines in personal training. EBITDA gains were partly offset by Bandon's investment in professionalizing and ramping its personal training program. As of December 31, 2023, Bandon's total net debt to EBITDA was 4.6x, up from 4.4x the prior year.

In June 2024, Sentinel appointed Michael Abt as CEO as part of a transition planned with the cofounders. As the former CEO of Sentinel IV portfolio company Huddle House, Mr. Abt brings a successful record of having worked with a private equity firm and deep multi-unit leadership experience. During the year, Bandon acquired four clubs, including three in Australia, that generated combined annual revenue of $3.7 million and EBITDA of $2.0 million. In aggregate, the enterprise value of the four acquired clubs was $7.6 million, for a highly accretive 3.8x EBITDA. The acquisitions were funded with cash on hand and incremental senior debt. Bandon ended the year with 265 clubs in 30 states and Australia.

Bandon's financial performance in 2024 was below plan. Including a full year of ownership of all acquired clubs, revenue was $121.6 million, up 2.8% from the prior year, and EBITDA was $35.3 million, up 1.4% from prior year. Price increases and acquired clubs drove top-line growth, partly offset by negative same-store sales, down 0.7% from the prior year, due to membership declines and lower personal training revenue. EBITDA growth lagged sales growth due to increased operating expenses. As of December 31, 2024, Bandon's total net debt to EBITDA was 4.7x, up from 4.6x the prior year.

We anticipate that 2024's membership decline will dampen performance in 2025 but remain cautiously optimistic. With time, we expect Bandon's results to improve, fueled by initiatives to attract and retain members and sell personal training. There remains an opportunity to continue de novo openings and pursue add-ons in the United States and Australia as the base business stabilizes.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	July 2022			
Amount of Initial Investment	$2,371,755	$115,607,387	$9,020,858	$127,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.5%	74.8%	5.8%	82.2%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	115,607,387	$1.00	$115,607,387	$0.98	$113,690,437
Sentinel Capital Partners VI-A, L.P.					
Class A Units	9,020,858	$1.00	$9,020,858	$0.98	$8,871,278
Sentinel Capital Investors VI, L.P.					
Class A Units	2,371,755	$1.00	$2,371,755	$0.98	$2,332,428

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022	2023	2024
Revenue	$29,114	$42,658	$60,262	$101,475	$118,235	$121,592
Adjusted EBITDA	$7,402	$12,406	$17,433	$30,691	$34,817	$35,305

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$10,842	Current Liabilities	$25,398
PP&E, net	70,628	Other Liabilities	108,449
Other Assets	280,886	Long-Term Debt	174,055
		Stockholders' Equity	54,453
Total Assets	$362,356	Total Liabilities and Equity	$362,356

Valuation Rationale

While Bandon made solid progress in 2024, its performance fell modestly short of plan. As of December 31, 2024, we are valuing Bandon based on the same 8.6x EBITDA multiple we paid for the business. After adjusting for net debt outstanding as of December 31, 2024, Sentinel is valuing the Partnership's Class A units at $0.98 per share. The total value of the Partnership's holdings is therefore $124.9 million, for a gross/net multiple of cost of 1.0x/0.9x, down 2.3% from the prior year.

Bandon Holdings, LLC
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$121,592	$121,592	$121,592	$121,592
Trailing 12 Month Adjusted EBITDA	$35,305	$35,305	$35,305	$35,305
Valuation Multiple	**8.6x**	**8.6x**	**8.6x**	**8.6x**
Enterprise Value	$304,283	$304,283	$304,283	$304,283
Less: Senior Debt	(174,055)	(174,055)	(174,055)	(174,055)
Plus: Cash	7,563	7,563	7,563	7,563
Less: MI Attributable to Aus Subs.	(4,857)	(4,857)	(4,857)	(4,857)
Subtotal	(171,349)	(171,349)	(171,349)	(171,349)
Gross Equity Value	$132,934	$132,934	$132,934	$132,934
Value of Class A Equity	125,140	125,140	125,140	125,140
Value of Class B Equity	7,794	7,794	7,794	7,794
Value of Class C Equity	0	0	0	0
# Class A Units Outstanding	127,250,000	127,250,000	127,250,000	127,250,000
# Class B Units Outstanding	7,925,000	7,925,000	7,925,000	7,925,000
# Class C Units Outstanding	6,307,407	6,307,407	6,307,407	6,307,407
Value per Class A Unit	$0.98	$0.98	$0.98	$0.98
Value per Class B Unit	$0.98	$0.98	$0.98	$0.98
Value per Class C Unit	$ -	$ -	$ -	$ -
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	115,607,387	9,020,858	2,371,755	127,000,000
Value of SCP Class A Units	$113,690	$8,871	$2,332	$124,894
Value of Investment	**$113,690**	**$8,871**	**$2,332**	**$124,894**
Cost of SCP VI's Investment	$115,607	$9,021	$2,372	$127,000
Times Original Investment SCP VI	1.0x	1.0x	1.0x	1.0x
Original Transaction Multiple (EBITDA)	8.6x	8.6x	8.6x	8.6x

BRIDGEVIEW EYE PARTNERS[1]

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	August 2021
Source	Physician Growth Partners
Enterprise Value	$170.0 million
Total Investment	$101.5 million
Class A Units	$81.8 million
Class B Units	$19.7 million
Sentinel Capital Partners VI, L.P. Investment	$71.0 million
Class A Units	$71.0 million
Fully Diluted Ownership	61.2%
Sentinel Capital Partners VI-A, L.P. Investment	$5.5 million
Class A Units	$5.5 million
Fully Diluted Ownership	4.8%
Sentinel Capital Investors VI, L.P. Investment	$1.5 million
Class A Units	$1.5 million
Fully Diluted Ownership	1.3%
Sentinel Junior Capital I, L.P. Investment	$11.1 million
Class A Units	$1.9 million
Subordinated Debt	$9.3 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	11.7x
Debt as % of Enterprise Value	47.8%
Total Debt/EBITDA	5.4x

Follow-on Investments

Date of Investments	Jun, Dec 2022; Mar, Jun 2023
Enterprise Value	$113.8 million
Total Investment	$52.3 million
Common Stock	$52.3 million
Sentinel Capital Partners VI, L.P. Investment	$21.2 million
Common Stock	$21.2 million
Fully Diluted Ownership	56.5%
Sentinel Capital Partners VI-A, L.P. Investment	$1.7 million
Common Stock	$1.7 million
Fully Diluted Ownership	4.4%
Sentinel Capital Investors VI, L.P. Investment	$0.4 million
Common Stock	$0.4 million
Fully Diluted Ownership	1.2%
Sentinel Junior Capital I, L.P. Investment	$10.2 million
Common Stock	$0.5 million
Mezzanine Delayed-Draw Term Loan Commitment	$7.4 million[2]
Subordinated Debt	$2.3 million
Fully Diluted Ownership	1.4%

[1] Legal name: Midwest Eye Services Holdings, LLC.

[2] Unfunded as of June 2022 closing; fully funded as of 12/31/24.

Bridgeview Eye Partners, headquartered in Wabash, Indiana, provides management services to one of the largest networks of integrated eye care services in Indiana, Nebraska, Ohio, and Oklahoma. In 2022, Midwest Eye Consultants changed its name to Bridgeview Eye Partners. The Midwest Eye name will continue to be used for affiliated eye care practices in Indiana and Ohio, where the brand has a longstanding presence. The new Bridgeview brand will better position the company as a national, vertically integrated, acquisitive eye care platform. Bridgeview's affiliated optometry and ophthalmology practices provide the full spectrum of eye care to their patients, including primary care, surgical services, LASIK, and prescription eyewear. As of the closing, these practices operated in 54 locations primarily in rural and secondary markets and employed more than 74 healthcare specialists. Since its inception 45 years ago, Bridgeview has completed 60 highly accretive acquisitions and invested meaningfully in its infrastructure to support growth via acquisition; it remains well positioned to continue its growth strategy. As a management services organization ("MSO"), Bridgeview does not engage in the practice of medicine—instead, it provides the affiliated practices with business support and administrative functions.

Bridgeview operates in the $17.6 billion optometric services and $13.0 billion ophthalmologic services industries, from which it derived 69% and 31%, respectively, of its revenue as of the closing. Optometric services is a highly fragmented and consolidating market. Of the approximately 39,000 optometrists in the United States, 74% operate independently. Two powerful trends are driving demand for eye care services—an aging U.S. population and heavy and growing use of computer screens that are harmful to eyes. Optometric services are expected to grow at a 3% CAGR annually, and ophthalmologic services, at a 5% CAGR through 2026. As of the closing, Bridgeview was the largest player in Indiana and northwest Ohio, which have an addressable market of $726 million representing ~2,400 optometrists. In a steady and fragmented industry, Bridgeview is well positioned to accelerate its growth.

Descriptions of Bridgeview's business segments follow.

Primary Care (59% of revenue at closing). Through its primary care segment, Bridgeview's 100+ optometrists and 53 primary care locations see more than 150,000 patients annually. Services offered include eye exams, refractive testing, dry eye treatment, diabetic eye exams, pediatrics, glaucoma treatment, cornea treatment, and opticalwear sales (glasses, lenses, and contacts). Optometrists are equipped to handle light medical treatments and optical diagnostics. Within primary care, 51% of revenue is cash pay and 49% is paid by insurance.

Surgical Care (31% of revenue, including of ambulatory surgery center "ASC" facility fees that represent 12% of Bridgeview's revenue). Through its surgical care segment, Bridgeview annually serves more than 30,000 patients and performs more than 20,000 surgeries, including cataract surgery, cornea and glaucoma procedures, retina surgery, strabismus surgery, LASIK surgery, and cosmetic surgery. Surgeries are performed by 12 ophthalmologists who operate in eight owned ASCs, 13 owned surgical clinics, and a network of third-party surgery centers. As of the closing, 64% of surgical referrals were from Bridgeview optometrists, with the rest coming from approximately 400 independent optometrists who trust Bridgeview to handle their surgery referrals. Within surgical care, as of the closing, 38% of revenue was cash pay, 36% from Medicare, 6% Medicaid, and 20% commercial insurers.

Optical Lab (10% of revenue). Through its optical lens lab, Bridgeview fulfills more than 76,000 jobs annually. Bridgeview captures a significant portion of the value chain by keeping lens production in-house and sells its manufactured lenses to its primary care clinics at prices similar to those charged by third-party labs. Optical lab services include lens design, lens manufacturing, lab dispensing, designer frames, accessories, and anti-reflective coatings.

As of the closing, Bridgeview generated 91% of its revenue in Indiana and 9% in Ohio. The Wabash, Indiana headquarters (~7,000 square feet) houses a 31-person billing and collections department, a 28-person call center, and marketing and finance functions.

Bridgeview's regional market leadership provides financial and operational benefits. As the largest integrated eye care practice in Indiana, Bridgeview enjoys negotiating power with payors and vendors (including equipment suppliers and medical malpractice insurers), and it leverages advertising across multiple locations. Operationally, the proximity of Bridgeview's offices to each other enables its clinical leadership to maintain close oversight of optometrists, surgeons, and office managers and allows management to efficiently monitor each location's performance. Because of its scale, Bridgeview can also manage payors, process claims, and ensure regulatory compliance more effectively than single-office or small group practices.

Bridgeview has a balanced and attractive mix of payors, with cash pay making up 45% of 2020 revenue. As of the closing, Medicare accounted for 22% of total revenues, vision plans 9%, Medicaid 6%, and other commercial insurers 18%. VSP, the leading vision insurance company in the United States, is a key payor for the primary care segment, making up 6.2% of primary care revenue at closing.

Bridgeview's mix of surgical referral sources is well diversified, with 64% of referrals coming from Bridgeview primary care clinics and 36% from external optometrists as of the closing. Bridgeview has built a strong brand name and takes advantage of the significant brand awareness to drive primary-care patients to its higher-producing surgical clinics and ASCs—an optometry-led business model that is unique in the industry. The lower-cost optometry clinics also allow Bridgeview to test the efficacy of new regions without the high initial investment of a surgical clinic or ASC.

Central to Bridgeview's success has been its ability to recruit and retain top-quality optometrists and ophthalmologists. Bridgeview continues to attract optometrists and ophthalmologists from top fellowship programs in its geographic markets. Bridgeview leverages its strong relationship with the Indiana School of Optometry, one of the top optometry schools in the country. Optometrists are attracted to the Bridgeview platform because they (i) can lead their practice without the high startup cost of buying or starting their own practice, (ii) are freed of the administrative burdens of smaller practices, (iii) have a consistent source of patient referrals from Bridgeview's brand recognition and marketing, and (iv) can provide medically focused optometry rather than focus predominantly on optical sales. Optometrists are heavily involved in their communities, interacting with more than 30,000 patients per year and serving as the first point of contact for all eye care needs. In rural areas, patients often turn to their optometrists for eye care, which positions optometrists as a key source for surgery referrals. Bridgeview's ophthalmologic surgeons can optimize their surgical load, productivity, and compensation by accessing Bridgeview's referral sources and by moving nonsurgical treatment, such as pre-op and post-op care, to optometrists or non-surgeon eyecare professionals.

Having acquired and successfully integrated 60 accretive add-ons, Bridgeview has a proven ability to grow via accretive acquisitions. Bridgeview's excellent reputation, established platform, and strong doctor-management relationships well position it to rapidly execute more add-ons.

Before Sentinel's investment, Bridgeview experienced several years of steady sales growth and impressive profit growth. From 2018 to the 12 months ending June 30, 2021, net revenue grew from $82.6 million to $91.1 million, a CAGR of 4.0%, and adjusted EBITDA grew from $8.6 million to $14.5 million, a CAGR of 23.3%. Bridgeview was impacted by the Covid-19 pandemic and had to close its clinics for two months, from late March 2020 through early May. Following the shutdown, Bridgeview experienced robust pent-up demand for the next few months and has since stabilized at or above pre-Covid levels.

Bridgeview is an asset-light business that generates high free cash flow and produces an impressive return on net invested capital. When we invested, Bridgeview employed $7.3 million of tangible capital and generated $14.5 million of EBITDA, which produced an impressive 199.1% return on net invested capital.

Investment Rationale

Sentinel invested in Bridgeview based on (i) its market leadership in Indiana and northwestern Ohio; (ii) a favorable growth outlook for the eye care industry; (iii) the intrinsic recession resilience of its core business; (iv) its optometry-led model that provides for the full spectrum of coordinated eye care, from diagnosis to surgery in owned ASCs; (v) the opportunity to grow through strategic add-on acquisitions at accretive multiples; (vi) its strong financial momentum; (vii) its attractive free cash flow conversion and high return on invested capital; and (viii) its highly experienced and committed management team, who invested meaningfully alongside Sentinel.

Transaction Background

Before Sentinel's investment, Bridgeview was majority-owned by its founding doctors. The original founder, Dr. Greg Garner, had stepped away from day-to-day operations several years earlier and wanted to fully exit the business. In 2021, Bridgeview hired Physician Growth Partners, a midmarket healthcare investment bank, to find a financial partner who could recapitalize the company and position it as a platform to continue consolidating its highly fragmented industry.

Even though our bid was not the highest, management chose Sentinel because of our relevant experience rapidly scaling healthcare companies that operate in fragmented industries, the strong chemistry we developed with management, and our history of working productively with founders. Sentinel sponsored the transaction and arranged the debt financing.

On August 20, 2021, the Partnership invested $11.1 million in the Sentinel VI–led acquisition of Bridgeview for $170.0 million, or 11.7x trailing 12-month adjusted EBITDA, which is reduced to 10.1x after adjusting for the estimated present value of the tax shield. The purchase price included a $6.0 million escrowed earnout, which will be paid to the sellers if 2021 EBITDA remains above $14.5 million (otherwise, the escrow will be paid to Bridgeview). We believe this is an attractive entry multiple for a leading multi-unit healthcare services platform with strong free cash flow characteristics, a scalable platform for accretive consolidation in a stable, highly fragmented industry, and a talented and committed management team whose interests align closely with Sentinel's.

Total funds required at closing, including transaction expenses, the pre-funded VSP escrow, and other purchase price adjustments, were $181.4 million. To finance the transaction, Sentinel secured $70.0 million of senior debt from Churchill consisting of a $10.0 million undrawn revolver and a $60.0 million senior term loan. Sentinel also raised $18.8 million of 10.5% mezzanine debt (with 1% optional PIK) led by GMB ($9.5 million), with the Partnership ($9.3 million) participating on the same terms. At the closing, total net debt to EBITDA was 5.2x; funded senior debt to EBITDA was 4.1x; and mezzanine debt to EBITDA was 1.3x.

To complete the transaction, Sentinel structured a $101.4 million equity financing, of which the Sentinel VI invested $78.0 million, GMB Mezzanine $1.9 million, the Partnership $1.85 million, and management $19.7 million. Sentinel established a time- and performance-vesting incentive unit pool for non-doctor management and other key employees as an opportunity to participate meaningfully in the upside rewards. Sentinel also offered the opportunity for doctors to purchase leveraged equity at fair market value. These two offerings represent 12.5% of fully diluted ownership.

Sentinel owns a controlling interest in Bridgeview and has the right to designate a majority of its board of directors. Michael Fabian, Josh Garrett, and Paul Murphy are directors. Bridgeview's CEO, Chief Medical Officer, and president/COO also serve on the board. Dr. Marc Loev, the former CEO of Sentinel IV portfolio company National Spine & Pain, serves on the board as outside director.

Performance

Bridgeview's performance was strong in the four months following the August 2021 closing. For the full year 2021, revenue was $91.7 million, up 13.7% over the prior year; and EBITDA was $15.3 million, up 63.8%. Bridgeview's growth was driven by increased surgical volumes and associated ASC fees. As of December 31, 2021, Bridgeview's total net debt to EBITDA was 4.9x, down from 5.2x at the closing, and mezzanine debt to EBITDA was 1.2x, down from 1.3x at closing.

Bridgeview made good progress in 2022, completing three accretive add-ons totaling five practices in Indiana, Ohio, and Oklahoma with combined revenue of $35.7 million and adjusted EBITDA of $9.3 million for the 12 months prior to their closings. Bridgeview paid $93.6 million for the three add-ons, an accretive 10.0x adjusted EBITDA, and financed them with incremental senior and mezzanine debt and follow-on equity. We raised a $27.0 million incremental term loan and $45.0 million delayed-draw term loan led by Churchill, with Audax, Manulife, and Siemens participating. We also raised an incremental mezzanine tranche of $4.7 million and a $15.0 million mezzanine delayed-draw term loan led by GMB ($7.6 million), with the Partnership ($7.4 million) participating on identical terms. Sentinel led a $39.5 million follow-on equity financing, of which Sentinel VI invested $17.1 million, the Partnership $0.4 million, selling shareholders $17.6 million, and Bridgeview's existing doctors and shareholders $4.8 million.

While the business grew substantially through acquisition, Bridgeview's organic growth in 2022 was below plan. Pro forma for the acquisitions, revenue was $124.6 million, down 3.8% from 2021, and EBITDA was $21.4 million, down 11.4%. The EBITDA decline was attributable to several factors—flow-through from the modest same-clinic sales decline, investments in non-clinical personnel to support future growth, and inflation in certain clinical cost categories. As of December 31, 2022, Bridgeview's net debt to EBITDA was 6.1x, up from 4.9x the prior year.

For Bridgeview, 2023 was highly productive. Bridgeview completed four accretive add-ons—three optometry practices totaling seven clinics and 18 optometrists and one surgical practice with a new ASC near Indianapolis. For the 12 months before their closings, total revenue for the four add-ons was $27.5 million and adjusted EBITDA was $5.2 million. Bridgeview paid a total of $46.1 million for the four add-ons, an accretive 8.9x adjusted EBITDA, and financed them with $30.0 million of incremental senior and mezzanine debt and $16.0 million of follow-on equity, of which Sentinel VI invested $6.6 million, the Partnership $0.1 million, selling shareholders $9.2 million, and Bridgeview's existing doctors and shareholders $0.2 million.

Bridgeview's 2023 performance was strong. Pro forma for the four add-ons, revenue was $154.2 million, up 3.3% from 2022, and EBITDA was $26.7 million, up 5.3%. The revenue increase was fueled by strong performance in Bridgeview's base business and the 2022 and 2023 add-ons. EBITDA grew despite SG&A investments and inflationary pressures on operating expenses. As of December 31, 2023, Bridgeview's net debt to EBITDA was 5.6x, down from 6.1x the prior year.

For Bridgeview, 2024 was another productive year. Bridgeview completed six accretive add-ons—four optometry practices with four clinics and 10 optometrists and two surgical practices with ASCs in Nebraska and Indiana. For the 12 months before their closings, total revenue for the six add-ons was $18.6 million and adjusted EBITDA was $2.5 million. Bridgeview paid a total of $16.2 million for the add-ons, or a highly accretive 6.5x adjusted EBITDA, financing them with $12.7 million of cash on hand and $3.5 million of rollover equity from the selling shareholders. In December, to support future M&A, Bridgeview raised an incremental $75.0 million senior delayed-draw term loan from existing lenders.

While the business grew through acquisition, Bridgeview's organic growth in 2024 lagged plan. Pro forma for the six add-ons, revenue was $176.7 million, up 0.2% from 2023, but EBITDA was $28.1 million, down 6.9%. Solid performance in Bridgeview's base business in Indiana and Ohio drove the revenue increase. The EBITDA decline was attributable to underperformance in Oklahoma and SG&A investments. As of December 31, 2024, Bridgeview's net debt to EBITDA was 5.8x, up from 5.6x the prior year.

Entering 2025, our outlook for Bridgeview is positive. Key investments in non-clinical personnel and doctor recruitment have positioned Bridgeview well for growth. Bridgeview is poised to continue to execute its acquisition strategy and has several accretive add-ons under LOI, with a robust pipeline of additional targets.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	August 2021			
Amount of Initial Investment	$1,456,669	$71,002,962	$5,540,370	$78,000,000
Date of Follow-on Investment	June 2022			
Amount of Follow-on Investment	$97,593	$4,757,020	$371,191	$5,225,804
Date of Follow-on Investment	December 2022			
Amount of Follow-on Investment	$213,654	$10,414,236	$812,624	$11,440,514
Date of Follow-on Investment	March 2023			
Amount of Follow-on Investment	$122,831	$5,987,181	$467,180	$6,577,192
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.2%	56.5%	4.4%	62.1%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	92,161,399	$1.00	$92,161,399	$1.00	$92,193,350
Sentinel Capital Partners VI-A, L.P.					
Class A Units	7,191,365	$1.00	$7,191,365	$1.00	$7,193,858

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Investors VI, L.P.					
Class A Units	1,890,747	$1.00	$1,890,747	$1.00	$1,891,402

Financial Information (000's)

	Year Ending December 31,			
	2021	2022	2023	2024
Revenue	$91,743	$124,595	$154,223	$176,693
Adjusted EBITDA	$15,272	$21,408	$26,668	$28,119

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$28,518	Current Liabilities	$19,892
PP&E, net	18,886	Long-Term Debt	229,590
Other Assets	270,975	Stockholders' Equity	68,897
Total Assets	$318,379	Total Liabilities and Equity	$318,379

Valuation Rationale

Bridgeview's overall performance in 2024 was somewhat below plan. As of December 31, 2024, Sentinel is valuing Bridgeview at the same 11.7x EBITDA Sentinel paid for the business and unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2024, the value of the Partnership's Class A units is $1.00 per share. As of December 31, 2024, the total value of the Partnership's holdings is therefore $101.3 million, for a gross/net multiple of cost of 1.0x/0.9x, down 1.3% from the prior year.

Bridgeview Eye Partners (a/k/a Midwest Eye Services Holdings, LLC)
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
TTM Adjusted Revenue, Less NCI	$176,693	$176,693	$176,693	$176,693
TTM Adjusted EBITDA, Less NCI	$28,119	$28,119	$28,119	$28,119
Valuation Multiple	**11.7x**	**11.7x**	**11.7x**	**11.7x**
Enterprise Value	$329,563	$329,563	$329,563	$329,563
Less Senior Debt	(128,703)	(128,703)	(128,703)	(128,703)
Less: Mezzanine Debt	(39,356)	(39,356)	(39,356)	(39,356)
Less: Seller Notes	(2,095)	(2,095)	(2,095)	(2,095)
Less: Severance Liability	(2,322)	(2,322)	(2,322)	(2,322)
Plus Adj. Escrow	0	0	0	0
Plus Cash	5,635	5,635	5,635	5,635
Subtotal	(166,842)	(166,842)	(166,842)	(166,842)
Plus: Outstanding Doctor Loans	$2,422	$2,422	$2,422	$2,422
Gross Equity Value	$165,143	$165,143	$165,143	$165,143
Value of Class A Equity	105,030	105,030	105,030	105,030
Value of Class B Equity	60,112	60,112	60,112	60,112
Value of Class C Equity	1	1	1	1
# Class A Units Outstanding	104,993,510	104,993,510	104,993,510	104,993,510
# Class B Units Outstanding	60,091,273	60,091,273	60,091,273	60,091,273
# Class C Units Outstanding	3,162,758	3,162,758	3,162,758	3,162,758
Value Per Class A Unit	$1.00	$1.00	$1.00	$1.00
Value Per Class B Unit	$1.00	$1.00	$1.00	$1.00
Value Per Class C Unit	$0.00	$0.00	$0.00	$0.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	92,161,399	7,191,365	1,890,747	101,243,510
Value of SCP Class A Units	$92,193	$7,194	$1,891	$101,279
Value of Investment	**$92,193**	**$7,194**	**$1,891**	**$101,279**
Cost of SCP VI's Investment	$92,161	$7,191	$1,891	$101,244
Times Original Investment SCP VI	1.00x	1.00x	1.00x	1.00x
Original Transaction Multiple (EBITDA)	11.7x	11.7x	11.7x	11.7x

CATALYST MEDTECH, LLC[1]

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	December 2021
Source	Harris Williams
Enterprise Value	$140.0 million
Total Investment	$87.0 million
Class A Units	$74.0 million
Class B Units	$13.0 million
Sentinel Capital Partners VI, L.P. Investment	$67.4 million
Class A Units	$67.4 million
Fully Diluted Ownership	67.8%
Sentinel Capital Partners VI-A, L.P. Investment	$5.3 million
Class A Units	$5.3 million
Fully Diluted Ownership	5.3%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	1.4%
Sentinel Junior Capital I, L.P. Investment	$8.1 million
Class B Units	$1.4 million
Subordinated Debt	$6.8 million
Fully Diluted Ownership	1.4%
Transaction Multiple of EBITDA	11.9x
Debt as % of Enterprise Value	45.4%
Total Debt/Adjusted EBITDA	5.4x

Follow-on Investments

Date of Investment	August 2022, May 2023, October 2024
Enterprise Value	$43.8 million
Total Investment	$34.1 million
Preferred Stock	$31.1 million
Senior Term Loan	$3.0 million
Sentinel Capital Partners VI, L.P. Investment	$24.5 million
Preferred Stock	$21.8 million
Senior Term Loan	$2.7 million
Fully Diluted Ownership	67.9%

[1] Name changed from TTG Imaging Solutions in January 2025.

Sentinel Capital Partners VI-A, L.P. Investment	$1.9 million
Preferred Stock	$1.7 million
Senior Term Loan	$0.2 million
Fully Diluted Ownership	5.3%
Sentinel Capital Investors VI, L.P. Investment	$0.5 million
Preferred Stock	$0.4 million
Senior Term Loan	$0.1 million
Fully Diluted Ownership	1.4%
Sentinel Junior Capital I, L.P. Investment	$4.1 million
Preferred Stock	$0.1 million
Subordinated Debt	$4.0 million
Fully Diluted Ownership	1.1%

Business

CATALYST MEDTECH

Founded in 1985 and headquartered in Pittsburgh, Pennsylvania, Catalyst MedTech, known as TTG Imaging Solutions when Sentinel first invested, provides a comprehensive suite of medical nuclear imaging products and services. Catalyst sells and leases nuclear imaging equipment, refurbishes used equipment, services equipment under long-term contracts, staffs customer locations with technicians, and supplies radioactive isotopes. Customers include hospitals, imaging centers, physician offices, and nuclear pharmacies across the United States. The leading independent service provider in the nuclear imaging market, Catalyst has built a reputation for excellent service, best-in-class technical capabilities, and a strong culture for technicians and engineers.

Using specialized cameras to measure radioactive materials, nuclear imaging produces detailed pictures of organ function. Patients are injected with a radioactive isotope that adheres to certain cells, allowing doctors to get detailed 3D images of those cells and their movement. Nuclear medicine is commonly used in cardiology to map blood flow in the heart and in oncology to track cancerous cells and tumor growth. Catalyst focuses on gamma cameras and PET/CT scanners for cardiology and oncology imaging applications.

Nuclear imaging scanners are made by large OEMs, such as Phillips, Siemens, and GE, and smaller niche players like Spectrum, Mediso, and Medical Imaging Electronics. OEMs focus on selling or leasing new, state-of-the-art imaging equipment to large research hospitals and other institutions. Research institutions, which aim to be at the forefront of imaging technology, want the very latest equipment and typically own or lease the machines for about five years.

Catalyst, however, serves an important segment of the market that is generally underserved by OEMs and larger service providers. Smaller hospitals and physician practices do not need the latest equipment—older scanners updated with the latest software provide scans of adequate quality in most patient scenarios. Smaller hospitals and practices are more likely to be interested in refurbished scanners that were traded in or sold by larger institutions. Because scanners have an average useful life of 15 years if properly maintained, to smaller end users, refurbished scanners offer many more years of valuable service at affordable prices.

Catalyst acquires older scanners, refurbishes them to prolong their useful lives, and updates their software. These refurbished machines are sold at a significant discount to new OEM scanners, enabling a much broader range of customers to buy or lease in-house scanners. Catalyst then staples on a long-term service contract and offers other important services, like isotope procurement and technician staffing. Because scanners are crucial for medical diagnosis, generate revenue, and represent a convenience to patients who undergo imaging in their physician's office, Catalyst's offering and outstanding service fill an important need.

Catalyst's go-to-market strategy centers on selling an end-to-end solution and leveraging the company's national service footprint. It offers three service options—equipment service, equipment sales, and diagnostic imaging services. Descriptions of Catalyst's offerings follow.

Equipment Service (26% of revenue). Catalyst provides best-in-class service through a national network of more than 50 field service engineers who perform repair and maintenance under long-term service agreements that guarantee equipment uptime. Guaranteed uptime is critical to customers—without reliable imaging machines, doctors cannot diagnose, prescribe care, and generate revenue. Historically, contract renewal rates exceed 90%, and service contracts are typically renewed before expiration. Catalyst has a contracted installed base of more than 800 pieces of equipment. Equipment service is highly profitable for Catalyst.

Equipment Sales (19% of revenue). Catalyst sources, refurbishes, and then sells or leases gamma cameras and PET/CT scanners to healthcare providers at much lower prices than those of new OEM equipment. About 95% of the scanners Catalyst sells include a stapled long-term service contract. Catalyst carries more than 10,000 SKUs in climate-controlled warehouses to support its installed base.

Diagnostic Imaging Services (f/k/a Turnkey) (55% of revenue). Catalyst offers customizable turnkey programs to customers who want to own and operate an imaging center. Under a single long-term contract, Catalyst will sell or lease equipment, set up the imaging facility, handle all accreditation and regulatory requirements, staff the center with technicians, and supply isotopes. The turnkey solution enables owners of imaging centers to reduce their capital outlay and outsource the hiring, staffing, and operations.

Catalyst has a diverse base of more than 1,700 individual customers, with its top 20 customers accounting for 39% of revenue as of the closing. Catalyst's customers include hospitals, imaging centers, and physician's offices across cardiology, oncology, and other medical specialties. Cardiology customers accounted for 75% of Catalyst's customer base as of closing, general nuclear and neurology 21%, and oncology 4%. With a strong legacy in cardiology, Catalyst sees an exciting growth opportunity in the adjacent oncology and nuclear imaging markets.

Catalyst operates equipment refurbishment centers in Houston, Texas and Stokesdale, North Carolina. The used equipment that Catalyst buys is generally 5–7 years old and typically sourced from large hospital systems that upgrade to new OEM equipment. Catalyst maintains relationships with equipment brokers and hospital systems around the globe. After purchasing used equipment, Catalyst refurbishes the unit for resale or harvests the parts. While most parts Catalyst uses to service its installed base come from harvested units, Catalyst purchases parts from OEMs, aftermarket sellers, and brokers when needed.

Catalyst operates in the $10.6 billion U.S. market for nuclear medicine and molecular imaging equipment sales and service. The addressable market for used equipment and associated services is approximately $2.7 billion and projected to grow 8–10% per year. Market growth is driven by population growth, an aging population, increasing utilization of nuclear medicine and molecular imaging technologies, favorable reimbursement dynamics, and improved affordability of imaging equipment.

The nuclear imaging market is highly fragmented and consolidating, and Catalyst has emerged as an acquirer of choice. From 2019 to 2021, Catalyst completed seven acquisitions at highly accretive purchase multiples averaging 4.7x EBITDA. For all seven add-ons, integration was smooth and efficient.

For several years before Sentinel's acquisition, Catalyst's financial performance was solid. From 2016 through the 12 months ended November 2021, revenue increased from $49.7 million to $56.1 million, a 2.5% CAGR.

Catalyst is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. Including $11.1 million of average net working capital in the 12 months prior to closing and $3.4 million of PP&E, Catalyst employed $14.4 million of net tangible capital and generated $11.8 million of adjusted EBITDA, yielding a robust 81.6% return on net invested capital.

Investment Rationale

Sentinel invested in Catalyst based on its (i) market-leading position in nuclear imaging services; (ii) recurring service revenue under multi-year contracts; (iii) stable industry with favorable growth outlook; (iv) proven ability to make accretive acquisitions in a highly fragmented market; (v) strong margins, high free cash flow, and robust return on invested capital; (vi) tax-efficient structure; and (vii) professional, capable, and highly committed management team.

Transaction Background

In February 2021, Catalyst's founder stepped away from the business, recruited a new CEO, and together with other shareholders, decided to seek liquidity and find a private equity partner that could help accelerate Catalyst's growth and further consolidate its fragmented industry. Catalyst hired midmarket investment bank Harris Williams to manage a sale. Sentinel engaged early and established a strong rapport with the new CEO and his management team. In the first round of bidding, we were not competitive because our due diligence had shaped more conservative projections. When Catalyst's performance began to soften during the sale process because of global supply chain issues that constricted the supply of imaging equipment, the auction stalled. Having kept track of the sale process, Sentinel was poised to reevaluate and reengage. We capitalized on an opportunity to buy the business at a significantly reduced valuation. Sentinel was chosen as the buyer based on the credibility we established through the sale process, our experience investing in healthcare and service-based businesses with entrepreneurial founders, the strong chemistry we developed with management, and our willingness to close the transaction quickly and on the agreed terms.

Sentinel acquired Catalyst on December 23, 2021 for $140.0 million, or 11.9x trailing 12-month adjusted EBITDA. Adjusting for the present value of tax-deductible goodwill reduces the purchase multiple to 10.6x. We consider this a fair entry multiple for a market-leading, asset-light, nationwide service provider in the healthcare industry with stable recurring revenue, a proven record of making and integrating accretive acquisitions in a highly fragmented market, a strong margin profile, and a talented and committed management team.

Sentinel led the transaction and arranged the debt and equity financing. Total cash required at closing, including transaction fees and expenses, was $150.7 million. To finance the acquisition, Sentinel secured a $65.0 million senior credit facility led by NXT Capital, with Manulife participating, consisting of a $15.0 million revolver undrawn at closing and a $50.0 million term loan. Sentinel also raised $13.5 million of 10.75% mezzanine debt from Brookside Mezzanine ($6.75 million), with Sentinel Junior Capital I ($6.75 million) participating on the same terms. At closing, total net debt to EBITDA was 5.4x, funded net senior debt to EBITDA was 4.3x, and mezzanine debt to EBITDA was 1.1x.

To complete the transaction, Sentinel led an $87.0 million equity financing, of which Sentinel VI invested $74.0 million, management $5.1 million, incumbent investor Chartwell $3.9 million, Catalyst's founder $1.0 million, Brookside $1.4 million, Sentinel Junior Capital I $1.4 million, and NXT Capital $0.3 million. Sentinel established a 12.5% time- and performance-vesting incentive unit pool that gives management an opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Catalyst and has the right to designate a majority of its board of directors. Louis Brotherton and Paul Murphy are directors. Catalyst's founder and the CEO of coinvestor Star Equity also serve on the board.

Performance

Catalyst performed as expected in the week following the Partnership's December 2021 investment. Catalyst's full-year revenue was $55.6 million, up 3.3% over 2020, and its EBITDA was $10.9 million, down 24.4%. We anticipated the EBITDA decline and factored this into our purchase price and underwriting. Catalyst's performance in the second half of 2021 was hurt by global supply chain interruptions. OEM shipment delays forced large customers to keep their older equipment longer, which led to delays in Catalyst receiving the used equipment it had purchased and caused Catalyst to miss its revenue and profit targets. As of December 31, 2021, Catalyst's net debt to EBITDA was 5.6x, up from 5.4x at the closing.

In August 2022, Catalyst acquired Acceletronics, a provider of linear accelerator equipment, parts, and services in the oncology market. The purchase price was $3.8 million, an accretive 3.5x EBITDA multiple. Linear accelerators generate radiation for cancer treatment administered in oncology centers. One of the few independent players in its market, Acceletronics brought to Catalyst a full suite of services in radiation oncology. The purchase was funded by a $4.3 million follow-on equity investment, of which the Partnership contributed $4.0 million, Sentinel Junior Capital I $0.1 million, and management and other coinvestors $0.3 million. The follow-on investment brought the Partnership's total equity investment in Catalyst to $78.0 million. Acceletronics met its plan in the second half of 2022.

Catalyst's 2022 performance was disappointing. Pro forma revenue for the year was $62.6 million, up 5.0% over the prior year, but EBITDA was $9.3 million, down 17.9%. Although solid demand for nuclear imaging services drove revenue growth, continued supply chain delays, rising equipment costs, and persistent labor inflation put upward pressure on costs and constrained Catalyst's operating margins. As of December 31, 2022, Catalyst's total net debt to EBITDA was 7.6x, up from 5.6x the prior year.

In 2023, Catalyst completed a transformative acquisition when it purchased Digirad Health, Inc. for $40.0 million, or 6.6x EBITDA. For the 12 months prior to closing, Digirad generated revenue of $54.4 million and adjusted EBITDA of $6.0 million. Headquartered in Suwanee, Georgia, Digirad offers turnkey SPECT imaging solutions, including camera rentals, technician staffing, and pharmaceutical isotopes. Digirad primarily serves independent cardiologists who seek cost-effective ways to provide SPECT imaging to patients. Digirad delivers its SPECT cameras to doctors' offices for their short-term use, which gives medical practices immediate and convenient imaging capabilities without having to commit to a long-term leasing program like that offered by Catalyst. Digirad also manufactures and sells Digirad-branded SPECT cameras and services an installed base of approximately 900 Digirad cameras nationwide. Digirad and Catalyst are the only two businesses of scale in turnkey SPECT imaging, and the acquisition of Digirad established Catalyst as the clear leader in this market. Because there was no material overlap between Digirad's and Catalyst's customers, the combination created meaningful cross-selling opportunities and diversified Catalyst's service offering and distribution channels, presenting an opportunity to capture meaningful savings. Our due diligence identified

$1.8 million of actionable cost savings, which we expected to reduce the 6.6x entry EBITDA multiple to 5.1x.

The $40.0 million purchase price for Digirad included $27.0 million of cash at close, a $7.0 million seller note, and $6.0 million of rollover equity in the combined entity issued to the sellers. The transaction was financed with $18.0 million of incremental debt and $26.8 million of equity. The debt consisted of a $10.0 million senior term loan from existing lenders and $8.0 million of mezzanine debt, of which Sentinel Junior Capital I coinvested $4.0 million alongside the lead mezzanine investor. Sentinel VI ($20.0 million) led the follow-on equity offering, with the selling shareholders ($6.0 million) and management and other coinvestors ($0.8 million) also participating. The new equity investment carries a 1.0x liquidation preference. As of the closing, Catalyst's net debt to EBITDA was 5.3x. The follow-on investment brought the Partnership's total equity investment in Catalyst to $98.0 million.

In 2023, Digirad performed well, and integration went smoothly. But Catalyst's overall financial performance was disappointing: pro forma for the Digirad acquisition, 2023 revenue was $119.8 million, up 3.9% from 2022, but EBITDA was $11.7 million, down 25.2%. Although demand remained strong in Catalyst's end markets, persistent inflation in labor and materials pressured operating margins. As of December 31, 2023, net debt to EBITDA was 7.4x, down from 7.6x the prior year.

To address the operations challenges, the board made several senior leadership changes—the COO was replaced by a new operations executive from GE, and in January 2024, Catalyst replaced both its CEO and CFO. As CEO, Catalyst promoted Digirad's capable leader, Martin Shirley, a veteran of the nuclear medicine industry; Sentinel operating partner Steve Cumbow became interim CFO. The reinvigorated leadership team immediately began a multistep turnaround plan. They terminated senior nonperformers and then focused on fixing persistent, unresolved issues. They restructured the field service organization, realigned equipment sourcing, redirected the go-to-market strategy, reduced headcount, fixed the ERP system, and outsourced Catalyst's noncore pharmacy division to a third party.

In 2024, the one-time costs of Catalyst's planned turnaround suppressed EBITDA. As expected, in September 2024, Catalyst breached certain debt covenants. We worked with Catalyst's lenders on a financing solution to give the company more time and flexibility to execute its turnaround. The solution, which closed on October 1, 2024, included the following key elements: the Partnership invested an additional $3.0 million structured as a last-out senior term loan; the senior lenders deferred interest and term loan amortization of approximately $3.3 million through March 2025 and reset covenants; and the mezzanine lenders agreed to PIK their interest through June 2026. This solution provided Catalyst $7.9 million of liquidity and 12 months of running room to implement its turnaround plan. The $3.0 million follow-on brought the Partnership's total investment in Catalyst to $101.0 million.

For 2024, Catalyst's revenue remained resilient—revenue was $117.1 million, down only 2.2% from 2023. EBITDA, however, was $9.6 million, down 17.6%, as expected. As of December 31, 2024, net debt to EBITDA was 9.7x, down 0.3x from the October 2024 closing and up from 7.4x the prior year; net senior debt to EBITDA was 7.3x, up from 5.4x the prior year; and mezzanine debt to EBITDA was 2.4x, up from 1.9x.

With the most difficult aspects of the operational restructuring complete, Catalyst is now on a solid path to recovery. The rebranding from TTG Imaging Solutions to Catalyst MedTech in January 2025 also gives the newly invigorated and refocused company a fresh identity. We continue to work closely with management and are encouraged by the progress made. Demand in Catalyst's end markets remains solid, and we are cautiously optimistic that 2025 will be a year of profit growth.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	December 2021			
Amount of Initial Investment	$1,381,968	$67,361,784	$5,256,248	$74,000,000
Date of Follow-On Investment	August 2022			
Amount of Follow-On Investment	$74,701	$3,641,178	$284,122	$4,000,000
Date of Follow-On Investment	May 2023			
Amount of Follow-On Investment	$373,505	$18,205,888	$1,420,608	$20,000,000
Date of Follow-On Investment	October 2024			
Amount of Follow-On Investment	$56,026	$2,730,883	$213,091	$3,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.4%	69.5%	5.4%	76.3%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	67,361,784	$1.00	$67,361,784	$0.00	$0
Class E Units	3,641,178	$1.00	$3,641,178	$0.23	$828,731
Class F Units	18,205,888	$1.00	$18,205,888	$0.23	$4,143,656
Senior Term Debt			$2,730,883		$2,822,346
Sentinel Capital Partners VI-A, L.P.					
Class A Units	5,256,248	$1.00	$5,256,248	$0.00	$0
Class E Units	284,122	$1.00	$284,122	$0.23	$64,666
Class F Units	1,420,608	$1.00	$1,420,608	$0.23	$323,330
Senior Term Debt			$213,091		$220,228
Sentinel Capital Investors VI, L.P.					
Class A Units	1,381,968	$1.00	$1,381,968	$0.00	$0
Class E Units	74,701	$1.00	$74,701	$0.23	$17,002
Class F Units	373,505	$1.00	$373,505	$0.23	$85,010
Senior Term Debt			$56,026		$57,902

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022	2023	2024
Net Sales	$53,667	$53,816	$55,591	$62,579	$119,759	$117,092
Adjusted EBITDA	$12,044	$14,465	$10,939	$9,332	$11,650	$9,600

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$47,838	Current Liabilities	$25,273
PP&E, net	4,452	Other Liabilities	11,568
Other Assets	109,103	Long-Term Debt	101,330
		Seller Note	8,188
		Stockholders' Equity	15,033
Total Assets	$161,392	Total Liabilities and Equity	$161,392

Valuation Rationale

For Catalyst, 2024 was a transition year in which performance remained suppressed, in line with expectations. As of December 31, 2024, Sentinel is valuing the equity at the same 11.9x EBITDA paid for the business, unchanged from the prior year-end. After adjusting for net debt outstanding as of December 31, 2024, we are valuing the Partnership's Class A units at $0.00 per share, Class E units at $0.23 per share, Class F units at $0.23 per share, and its senior term loan at slightly above par, or $3.1 million. The total value of the Partnership's holdings is therefore $8.6 million, for a gross/net multiple of cost of 0.1x/0.1x, down 76.7% from 2023.

Catalyst MedTech LLC
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$117,092	$117,092	$117,092	$117,092
Trailing 12 Month Adjusted EBITDA	$9,600	$9,600	$9,600	$9,600
Valuation Multiple	**11.9x**	**11.9x**	**11.9x**	**11.9x**
Enterprise Value	$114,280	$114,280	$114,280	$114,280
Less: Senior Debt	(74,089)	(74,089)	(74,089)	(74,089)
Less: SCP Debt Investment	(3,100)	(3,100)	(3,100)	(3,100)
Less: Mezzanine Debt	(24,241)	(24,241)	(24,241)	(24,241)
Less: Digirad Seller Note	(8,188)	(8,188)	(8,188)	(8,188)
Less: Capital Leases	(528)	(528)	(528)	(528)
Plus: Cash	2,944	2,944	2,944	2,944
Gross Equity Value	$7,079	$7,079	$7,079	$7,079
Value of Class A Equity	-	-	-	-
Value of Class B Equity	-	-	-	-
Value of Class E Equity	988	988	988	988
Value of Class F Equity	6,091	6,091	6,091	6,091
# Class A Units Outstanding	74,000,000	74,000,000	74,000,000	74,000,000
# Class B Units Outstanding	10,938,863	10,938,863	10,938,863	10,938,863
# Class E Units Outstanding	4,341,081	4,341,081	4,341,081	4,341,081
# Class F Units Outstanding	26,761,081	26,761,081	26,761,081	26,761,081
Value per Class A Unit	$ -	$ -	$ -	$ -
Value per Class B Unit	$ -	$ -	$ -	$ -
Value per Class E Unit	$0.23	$0.23	$0.23	$0.23
Value per Class F Unit	$0.23	$0.23	$0.23	$0.23
<u>SCP VI Investment Valuation</u>				
# Class A Units owned by SCP VI	67,361,784	5,256,248	1,381,968	74,000,000
# Class E Units owned by SCP VI	3,641,178	284,122	74,701	4,000,000
# Class F Units owned by SCP VI	18,205,888	1,420,608	373,505	20,000,000
Value of SCP Class A Units	$0	$0	$0	$0
Value of SCP Class E Units	$829	$65	$17	$910
Value of SCP Class F Units	$4,144	$323	$85	$4,552
Value of SCP Senior Debt	$2,822	$220	$58	$3,100
Value of Investment	**$7,795**	**$608**	**$160**	**$8,563**
Cost of SCP VI's Investment	$89,209	$6,961	$1,830	$98,000
Cost of SCP VI's Senior Debt Investment	$2,731	$213	$56	$3,000
Times Original Investment SCP VI	0.1x	0.1x	0.1x	0.1x
Original Transaction Multiple (EBITDA)	11.9x	11.9x	11.9x	11.9x

EMPIRE AUTO PARTS[1]

Company Information

Transaction Summary

Date of Investment	November 2021
Source	BlackArch Partners
Enterprise Value	$437.5 million
Total Investment	$199.7 million
Class A Units	$166.0 million
Class B Units	$33.7 million
Sentinel Capital Partners VI, L.P. Investment	$136.5 million
Class A Units	$136.5 million
Fully Diluted Ownership	60.5%
Sentinel Capital Partners VI-A, L.P. Investment	$10.7 million
Class A Units	$10.7 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$2.8 million
Class A Units	$2.8 million
Fully Diluted Ownership	1.2%
Sentinel Junior Capital I, L.P. Investment	$20.0 million
Class A Units	$10.0 million
Unitranche Debt	$10.0 million
Fully Diluted Ownership	4.4%
Transaction Multiple of EBITDA	11.2x
Debt as % of Enterprise Value	58.8%
Total Debt/EBITDA	6.6x

Business

Headquartered in Totowa, New Jersey, Empire Auto Parts is a leading distributor of aftermarket vehicle collision repair parts throughout the eastern United States, with operations spanning 27 states. Empire distributes more than 51,000 parts covering nearly 610 vehicle models, primarily to collision repair centers.

Empire operates through nine hub distribution centers and 37 satellite locations that process 4,000+ orders per day. The hubs average 130,000 square feet, whereas the satellites occupy a much smaller footprint of 3,000 square feet on average. Satellites maintain virtually zero inventory and are used to facilitate same- or next-day local delivery. Using this network, Empire's fleet of 450 trucks complete 5,000+ deliveries per day.

Empire enjoys virtually no SKU concentration, and its extensive product catalog includes bumper covers (31% of revenue), lamps (14%), hoods/fenders/truck lids (15%), grills (10%), and inner structure

[1] Legal name: POY Holdings, LLC.

(4%). Delivery speed and product availability are extremely important to Empire's customers, and Empire meets this need with same- or next-day delivery service and an order fulfillment rate better than 95%. Empire's comprehensive product offering, commitment to part quality, and reliable delivery capability allow it to command attractive product margins of 60% or more across all product categories.

Empire distributes to more than 30,000 collision repair centers through several go-to-market strategies, including its own online portal (~40% of total revenue), phone orders (~20%), and third-party repair cost estimation software platforms, such as CCC One, OPSTrax, and PartsTrader (~40%). Empire sells to four types of customers: national multi-site operators ("MSOs"), regional MSOs, independent service shops, and dealerships. Because they keep minimal inventory on hand, repair centers require frequent deliveries—approximately 83% of Empire's revenue is generated by customers who order at least weekly. Due to the fragmented nature of its customer base, Empire enjoys minimal customer concentration. Its top customer, Caliber Collision, represents less than 6% of total revenue across 820 locations.

Empire's efficient distribution and diverse product offering have created strong, entrenched customer relationships. Empire is known for providing high-quality parts and better service than its competitors—its 11% return rate is well below the estimated industry average return rate of 20%, supporting its customers' quick repair times. These capabilities are important to both collision shops and auto insurance companies, which want reliability and fast turnarounds for their policyholders.

Empire sources all its products and has built longstanding relationships with overseas suppliers, most of which are in Taiwan. Empire's top 10 suppliers represent approximately 77% of total purchases, with an average relationship of more than 15 years. Empire's largest vendor, representing approximately 32% of its purchases, is Tong Yang, the leading global manufacturer of aftermarket collision repair parts. Empire has worked with Tong Yang for more than 30 years and is Tong Yang's second-largest channel partner in the United States. Based on our diligence, we believe Empire's concentration with Tong Yang is consistent with, or modestly less than, the industry average given Tong Yang's market dominance. Empire is a valuable aftermarket partner to Tong Yang and other suppliers because Empire helps diversify their customer mix and provides valuable feedback on product quality and opportunities for product line expansion.

Before 2020, Empire operated three hubs in New Jersey, Massachusetts, and Maryland. Empire has expanded its footprint and customer reach by adding to its powerful hub-and-satellite model, opening new hubs in North Carolina (2020), Georgia (2021), Tennessee (2022), Florida (2023), Dallas (2024), and Houston (2024). Sites opened since 2020 contributed $117.9 million of the $174.0 million of total company sales growth from 2020 to 2024. We see a clear opportunity to continue expanding into new geographies through Empire's proven greenfield expansion model.

The initial investment required in a new regional distribution network ranges from $7 million to $10 million, generally split evenly between the facility and inventory. Historically, each network has reached profitability after six to nine months, with the investment typically recouped in less than 48 months. The new hubs in North Carolina, Georgia, Tennessee, Florida, and Texas have performed above expectations in their ramp to maturity.

Empire operates in the $16 billion U.S. collision repair parts distribution market, made up of $11 billion of OEM parts, $3 billion of aftermarket collision parts, and $2 billion of refurbished and recycled parts. A study by Bain concluded that the market for aftermarket replacement parts—Empire's core market—has grown faster than the overall collision repair part industry and should grow 4–6% annually. Aftermarket parts have gained share from OEM parts and other alternatives due to lower costs, improved availability, and better quality. Since 2016, the use of aftermarket parts in repairs has grown significantly, representing approximately 21% of the total market today, up from 18% in 2016.

The aftermarket is dominated by LKQ (NASDAQ:LKQ), a publicly traded global distributor that derives just 15–20% of its revenue from the U.S. aftermarket collision parts segment. LKQ distributes OEM, aftermarket, and refurbished and recycled products. LKQ holds approximately 70% of the total aftermarket segment; Empire, a regional distributor, has an estimated 8% share of the U.S. market, the second-largest behind LKQ. The rest of the market is mostly divided between other regional distributors and local independents. In its core Eastern U.S. geographies, Empire's market share increases to approximately 20%. We believe there is an attractive opportunity to build a clear number two in the market based on our diligence and market feedback from repair centers and insurance companies. Historically, LKQ, built through a rollup of national and regional suppliers, has based its strategy on pricing its products lower than its aftermarket competitors (approximately 20% lower on average) and underemphasizing product quality and service. We believe LKQ's price-first approach affords Empire the opportunity to take market share using its service- and quality-focused model.

Prior to Sentinel's investment, Empire experienced several years of strong sales and profit growth. From 2018 to the 12 months ended September 30, 2021, net revenue grew from $61.7 million to $117.9 million, a CAGR of 26.5%, and adjusted EBITDA increased from $12.6 million to $34.1 million, a CAGR of 43.6%. After accounting for the impact of recently opened hub and satellite locations, pro forma revenue for the 12 months ended September 30, 2021 was $134.2 million and adjusted EBITDA, $39.0 million. Empire was negatively affected by the Covid pandemic because repair centers were forced to shut down in March and April 2020, and because Americans traveled less, which reduced collisions. By late 2020, with travel rebounding and repair shops open, Empire opportunistically managed inventory and location growth to capture anticipated demand. Before the closing, Empire generated positive sales versus the prior-year comparable period for 16 consecutive months. Empire has also experienced consistent and robust growth across its legacy and recently opened hub networks. For the 12 months ended September 30, 2021, Empire's gross margins were 63.5% and adjusted EBITDA margins were 29.0%. Adjusted EBITDA margins expanded from 2018 to the closing due to operating leverage and pricing power achieved by Empire's value proposition to customers.

Empire is a high-margin, asset-light business that generates consistent free cash flow and high returns on invested capital. As of the closing, Empire employed $28.4 million of tangible capital and generated $34.1 million of adjusted EBITDA, which produced an impressive 120.4% return on net invested capital.

Investment Rationale

Sentinel invested in Empire based on its (i) leading regional market position in an industry with high barriers to entry; (ii) attractive organic growth opportunity through a proven greenfield strategy, coupled with ample white space; (iii) stable and long-term industry growth outlook based on miles driven and increasingly complex collision repairs; (iv) attractive value proposition for collision repair centers and insurance companies; (v) excellent reputation for product quality and order fulfillment; (vi) strong margins, attractive free cash flow conversion, and high return on invested capital; and (vii) experienced and committed management team.

Transaction Background

Empire was previously owned by private equity firm Tenex Capital Management, which acquired the business in 2018 from its founders. In 2021, after a three-year ownership period that saw robust organic growth and geographic expansion, Tenex hired midmarket investment bank BlackArch Partners to manage a sale. Sentinel and BlackArch have a close, longstanding relationship, having worked together on multiple buyside and sellside transactions. BlackArch and management chose Sentinel because of our experience investing in distribution and automotive aftermarket businesses, the strong chemistry we developed with management, and BlackArch's and Tenex's confidence that we could close a transaction quickly and on the agreed terms.

On November 16, 2021, Sentinel acquired Empire for a purchase price of $437.5 million, or 11.2x pro forma adjusted EBITDA of $39.0 million. The transaction was structured in a tax-efficient manner and provided an asset step-up of $359.3 million. Adjusting for the present value of the tax shield reduces the purchase multiple to 10.3x. We believe this is a fair valuation for a regional market leader with a clearly defined organic growth strategy, strong financial profile, and talented management team.

Total funds required at closing, including transaction expenses and closing adjustments, were $470.9 million. To finance the transaction, Sentinel secured a $255.0 million unitranche credit facility led by Golub Capital, of which Golub invested $173.4 million, Varagon $68.6 million, Sentinel Junior Capital I $10.0 million, and GMB Capital $3.0 million. The unitranche credit facility consisted of a $30.0 million revolver ($2.5 million drawn at closing) and a $25.0 million delayed-draw term loan for future greenfield location investment. At the closing, net debt to EBITDA was 6.6x.

To support the transaction, Sentinel structured and led a $199.7 million equity financing, of which Sentinel invested $150.0 million, management $33.7 million, Sentinel Junior Capital I $10.0 million, Golub $3.0 million, and GMB Capital $3.0 million. Sentinel established an 11.5% time- and performance-based incentive unit pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Empire and has the right to designate a majority of the board. Owen Basham, Jim Coady, and Cameron Smith are directors. Empire's CEO also serves on the board.

Performance

In the two months following the November 2021 closing, Empire's performance was excellent. Revenue was up 67.2% in the fourth quarter; for the full year, revenue was $134.6 million, up 53.5% over 2020, and EBITDA was $39.2 million, up 77.9%. As of December 31, 2021, Empire's total net debt to EBITDA was 6.2x, down from 6.6x at the closing.

Empire had a highly productive 2022, opening six new locations during the year—one distribution hub and five complementary satellites, all of which are performing in line with expectations. The new location buildout was financed with incremental unitranche debt and cash on hand. During 2022, Empire also made significant progress building its senior management team—it hired a CFO, CTO, and VP of Sales, and promoted a regional GM to VP of Operations.

Empire's 2022 financial performance was outstanding. For the full year, revenue was $185.5 million, up 37.8% from the prior year, and adjusted EBITDA was $51.6 million, up 31.7%. Revenue growth was driven by new locations opened during the year and meaningful organic growth in existing regions. EBITDA growth resulted from flow-through from added revenue but lagged revenue growth due to considerable G&A investment to support growth and cost inflation in Empire's warehouse and delivery operations. After adjusting for the expected mature-level performance of recently opened hub and satellite locations, pro forma revenue for the 12 months ended December 31, 2022 was $202.2 million and adjusted EBITDA was $57.9 million. As of December 31, 2022, Empire's net debt to EBITDA was 4.6x, down from 6.2x the prior year.

Empire had another highly productive year in 2023. Continuing its greenfield expansion strategy, Empire opened one distribution hub and five satellites during the year, all of which performed in line with expectations. The new location buildout was financed with cash on hand.

Empire's 2023 financial performance was outstanding. For the full year, revenue was $224.0 million, up 20.7% from the prior year, and adjusted EBITDA was $58.1 million, up 12.7%. Revenue growth was driven by new locations opened during the year and above-market organic growth in existing distribution networks. EBITDA growth was tempered by investments in G&A. After adjusting for the expected mature-level performance of recently opened locations, pro forma revenue for the 12 months ended December 31, 2023 was $268.6 million and adjusted EBITDA was $76.5 million. Empire's strong EBITDA growth and free cash flow generation enabled it to complete a unitranche debt recapitalization in November and distribute $100.0 million to shareholders, which represents 52% of the initial investment cost. The Partnership's share of the distribution was $76.6 million, or 0.5x cost. As of December 31, 2023, Empire's net debt to EBITDA was 4.9x, up from 4.6x the prior year.

Empire continued its greenfield expansion strategy in 2024, opening eight new locations—two distribution hubs and six satellites—financing the buildout with incremental debt and cash on hand. To date, all of these locations are performing in line with expectations. Empire also invested in its senior management team by hiring a new CFO.

Empire had a solid year in 2024. For the year, revenue was $261.6 million, up 16.8% from the prior year, but adjusted EBITDA was $55.4 million, down 4.8%. Revenue growth was driven by new locations opened during the year, new strategic MSO partnerships, and market share gains, offset by industry headwinds due to a reduction in repairable claims caused by an increase in repair costs and insurance premiums relative to vehicle values. EBITDA growth lagged due to upfront investment costs for new regions ahead of expected revenue growth and G&A infrastructure spending. After adjusting for the expected mature-level performance of recently opened locations, pro forma revenue for the 12 months ended December 31, 2024 was $342.8 million and adjusted EBITDA was $87.6 million. As of December 31, 2024, Empire's net debt to EBITDA was 5.6x, up from 4.9x the prior year because of debt financing to build out new markets and the EBITDA decline.

Entering 2025, we are optimistic about Empire and expect the collision market, insurance costs, and repairable claims to stabilize. Five new satellites that will support existing distribution centers and expand Empire's geographic reach are scheduled to open in 2025, and we anticipate a strong year for the entire business.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2021			
Amount of Initial Investment	$2,801,286	$136,544,157	$10,654,557	$150,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.3%	61.5%	4.8%	67.6%

12/31/2024 Holdings/Valuation

	Principal Amount or # of Shares	Cost: Average per Share	Cost: Total	Estimated Value: Average per Share	Estimated Value: Total
Sentinel Capital Partners VI, L.P.					
Class A Units	136,544,157	$1.00	$136,544,157	$1.62	$221,533,089
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,654,557	$1.00	$10,654,557	$1.62	$17,286,253
Sentinel Capital Investors VI, L.P.					
Class A Units	2,801,286	$1.00	$2,801,286	$1.62	$4,544,885

Financial Information (000's)

	Year Ending December 31,						
	2018	2019	2020[1]	2021	2022	2023	2024
Net Sales	$61,711	$76,417	$87,675	$134,572	$185,542	$224,032	$261,612
Adjusted EBITDA	$12,613	$19,615	$22,208	$39,155	$51,583	$58,141	$55,361

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$75,538	Current Liabilities	$23,890
PP&E, net	26,625	Long-Term Debt	393,785
Other Assets	446,167	Other Long-Term Liabilities	93,043
		Stockholders' Equity	(37,925)
Total Assets	$472,792	Total Liabilities and Equity	$472,792

Valuation Rationale

Empire had a productive year in 2024. As of December 31, 2024, Sentinel is valuing Empire at the same 11.2x EBITDA multiple we paid for the business, unchanged from year-end 2023. Including a run-rate add-back for recently opened locations and adjusting for net debt outstanding and a normalized level of working capital as of December 31, 2024, the value of the Partnership's Class A units is $1.62 per share. The total value of the Partnership's holdings is therefore $243.4 million, for a gross/net multiple of cost of 1.6x/1.4x. Including proceeds received through December 31, 2024, the value of the Partnership's holdings is therefore $320.6 million, for a gross/net multiple of cost of 2.1x/1.9x, up 4.4% from the prior year.

[1] Includes three months of Covid normalization adjustments.

Empire Auto Parts (a/k/a POY Holdings, LLC)
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$261,612	$261,612	$261,612	$261,612
Trailing 12 Month Adjusted EBITDA	$64,845	$64,845	$64,845	$64,845
Valuation Multiple	**11.2x**	**11.2x**	**11.2x**	**11.2x**
Enterprise Value	$726,756	$726,756	$726,756	$726,756
Less Unitranche Debt	(393,785)	(393,785)	(393,785)	(393,785)
Plus Cash	5,780	5,780	5,780	5,780
Less TTM Average Working Capital	(51,303)	(51,303)	(51,303)	(51,303)
Plus Actual Working Capital	46,186	46,186	46,186	46,186
Subtotal	(393,121)	(393,121)	(393,121)	(393,121)
Gross Equity Value	$333,635	$333,635	$333,635	$333,635
Value of Class A Equity	269,323	269,323	269,323	269,323
Value of Class B Equity	48,588	48,588	48,588	48,588
Value of Class C Equity	9,424	9,424	9,424	9,424
Value of Class D Equity	6,300	6,300	6,300	6,300
# Class A Units Outstanding	166,000,000	166,000,000	166,000,000	166,000,000
# Class B Units Outstanding	29,947,457	29,947,457	29,947,457	29,947,457
# Class C Units Outstanding	8,319,792	8,319,792	8,319,792	8,319,792
# Class D-1 Units Outstanding	5,561,358	5,561,358	5,561,358	5,561,358
Value per Class A Unit	$1.62	$1.62	$1.62	$1.62
Value per Class B Unit	1.62	1.62	1.62	1.62
Value per Class C Unit	1.13	1.13	1.13	1.13
Value per Class D-1 Unit	1.13	1.13	1.13	1.13
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	136,544,157	10,654,557	2,801,286	150,000,000
Value of SCP Class A Units	$221,533	$17,286	$4,545	$243,364
Total Cash Realized to Date				
Q2-2023 Distribution	$652		$13	$666
Q4-23 Dividend	$69,684	$5,437	$1,430	$76,551
2023 Distributions	$70,336	$5,437	$1,443	$77,217
Value of Investment	**$291,869**	**$22,724**	**$5,988**	**$320,581**
Cost of SCP VI's Investment	$136,544	$10,655	$2,801	$150,000
Times Original Investment SCP VI	2.1x	2.1x	2.1x	2.1x
Original Transaction Multiple (EBITDA)	11.2x	11.2x	11.2x	11.2x

NEW ERA TECHNOLOGY, INC.

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	September 2019
Source	Piper Sandler
Enterprise Value	$329.4 million
Total Investment	$169.3 million
Common Stock	$169.3 million
Sentinel Capital Partners VI, L.P. Investment	$125.6 million
Common Stock	$125.6 million
Fully Diluted Ownership	64.9%
Sentinel Capital Partners VI-A, L.P. Investment	$9.8 million
Common Stock	$9.8 million
Fully Diluted Ownership	5.1%
Sentinel Capital Investors VI, L.P. Investment	$2.6 million
Common Stock	$2.6 million
Fully Diluted Ownership	1.3%
Sentinel Junior Capital I, L.P. Investment	$12.9 million
Common Stock	$2.0 million
Subordinated Debt	$10.9 million
Fully Diluted Ownership	1.0%
Transaction Multiple of EBITDA	9.7x
Debt as % of Enterprise Value	56.5%
Total Debt/Adjusted EBITDA	5.4x

Follow-On Investment

Date of Investment	March 2023
Total Investment	$136.2 million
Preferred Stock	$136.2 million
Sentinel Capital Partners VI, L.P. Investment	$13.7 million
Preferred Stock	$13.7 million
Sentinel Capital Partners VI-A, L.P. Investment	$1.1 million
Preferred Stock	$1.1 million
Sentinel Capital Investors VI, L.P. Investment	$0.3 million
Common Stock	$0.3 million
Sentinel Junior Capital I, L.P. Investment	$1.4 million
Preferred Stock	$1.4 million
Sentinel Junior Capital II, LP Investment	$25.0 million
Preferred Stock	$25.0 million

Business

Headquartered in New York City, New Era designs, sells, installs, and services information technology systems. New Era's customers are typically large enterprises that use a complete suite of services, including network design, installation of technology products, and ongoing maintenance services. Many of New Era's service delivery technicians are deployed in customer locations to continuously monitor their systems, assist IT employees with their networks, and rapidly respond to any system-level issues. New Era also provides remote monitoring through its network operations centers ("NOCs"). New Era's two business segments—systems integration solutions and managed solutions—complement one another and provide a cycle of recurring revenue from New Era's customers. Descriptions of New Era's business segments follow.

> **Managed Solutions ("MS")** (66% of sales and 75% of gross profit). Through its managed solutions service offering, New Era provides comprehensive remote monitoring, on-site support, and cloud solutions. The MS business segment consists of approximately 16,000 annual or multi-year customer contracts that provide recurring revenue streams. Historically, the contract renewal rate has been 95%. Typical service agreements include remote monitoring or on-site support that New Era provides through its network of NOCs, which manage about 300,000 service tickets annually and support more than 6,000 customers. On-site support is provided by New Era employees deployed in customer locations who assist with data networking, videoconferencing networks, unified communications, and data security. Currently, more than 1,500 New Era technicians are dedicated to working in customer facilities. MS also includes value-added services such as reactive maintenance contracts, vendor support agreements, and block-hour contracts. Approximately 15% of MS revenue is from cloud solutions and hosting services, including remote backup or disaster recovery solutions and Infrastructure-as-a-Service.

> **Systems Integration Solutions ("SIS")** (34% of sales and 25% of gross profit). New Era designs and implements technology solutions for its customers. New Era focuses on collaboration, data networking, and security technologies, including AV infrastructure, videoconferencing, telephony and unified communications, structured cabling, data network infrastructure, physical security systems, and digital signage. Each engagement typically combines multiple technologies, systems, and vendors and is tailored to customers' specific needs. Approximately 67% of SIS revenue is from technology products that New Era procures on behalf of its customers from vendors such as Cisco and Avaya. The remaining 33% of SIS revenue is from professional services provided in the design and implementation of the technology systems. New Era typically wins new customers through SIS projects and then secures managed services contracts to maintain and monitor the system New Era designed and implemented.

New Era serves customers located in the U.S. and internationally. Corporate customers account for 33% of sales; financial services, 21%; healthcare, 18%; technology, media, and telecommunications ("TMT"), 14%; and education and government, 11%. On average, New Era's top 100 customers have been with the company for more than 10 years. New Era focuses on midmarket and enterprise customers, and it has the capability to service multinationals across their global footprints. New Era has a highly diversified customer mix; it serves more than 10,000 customers, the largest of which contributes 8% of revenue.

New Era goes to market through 200 sales professionals and partnerships with its technology vendors. New Era is not dependent on any single sales representative—no sales representative accounted for more than 5% of total revenue. New Era's sales are typically consultative, and only a minimal portion of New Era's revenue is driven by work that was bid out to competitors. New Era also leverages its work with clients in one business segment to find opportunities in other business segments.

New Era's largest vendor partner is Cisco, which represents approximately 30% of purchases. New Era is an authorized Cisco reseller and has Cisco Gold Partner status. Cisco Gold is bestowed on resellers based on the number of that reseller's technicians who are accredited in Cisco technology. New Era has similar relationships with HP, Avaya, Extron, NEC, Harman, and other vendors.

Prior to our investment, New Era experienced several years of robust growth both organically and via 12 add-on acquisitions, with revenue increasing from $10.7 million in 2013 to $224.4 million in the 12 months ended June 2019. New Era has demonstrated an ability to grow via accretive acquisitions, integrate them smoothly and efficiently, and then drive improvements. New Era's reputation for and culture of excellent service, relationships with key technology vendors, and best-in-class technical capabilities position it to further consolidate its highly fragmented industry. Historically, New Era's add-on acquisitions have been made at highly accretive, post-synergy multiples that have averaged 5.2x EBITDA.

New Era's balance sheet is healthy. Working capital requirements and capital expenditures are modest. With average working capital of $14.6 million and net PP&E of $7.2 million, New Era employed $21.9 million of tangible capital in the 12 months prior to our investment and generated $27.4 million of EBITDA, which produced a robust 125.2% return on net invested capital.

Investment Rationale

Sentinel invested in New Era based on its (i) leading position in its regional market; (ii) stable, recurring, and contracted revenue model; (iii) ability to drive organic growth, fueled by strong industry tailwinds; (iv) diversified customer base with little concentration; (v) scalable platform for consolidating its fragmented industry at highly accretive multiples; (vi) robust free cash flow conversion and high return on invested capital; and (vii) experienced, talented, and highly committed management team with a proven record of success.

Transaction Background

New Era was previously owned by private equity firm Gemini Investors, New Era's CEO, and other investors. In early 2018, having held New Era for more than five years, Gemini hired midmarket investment bank Piper Sandler to manage a sale. Sentinel and Piper Sandler have a close, longstanding relationship, having worked together on multiple buyside and sellside transactions. Gemini and management chose Sentinel because of our experience investing in services businesses, our record of helping similar businesses scale rapidly through accretive acquisitions, the strong chemistry we developed with management, and Piper Sandler's confidence that we would close a transaction quickly and on the agreed terms. Gemini, who rolled a portion of its proceeds into our transaction, was highly focused on finding a partner compatible with management who could help grow the business. Sentinel sponsored the transaction and arranged the debt financing. Members of New Era's management invested $14.5 million alongside Sentinel.

Sentinel acquired New Era for $287.5 million, or 10.5x trailing 12-month EBITDA. As part of our investment, we underwrote two add-on acquisitions that New Era had secured but not yet closed and that had a combined value of $41.9 million, or 6.4x combined EBITDA of $6.5 million. The two add-ons closed a month later, in October 2019, bringing the total New Era purchase price to $329.4 million. Pro forma for the two add-ons, New Era generated revenue of $265.1 million and EBITDA of $33.9 million for the 12 months ended June 30, 2019. The $329.4 million combined purchase price represented a 9.7x EBITDA multiple. Total funds required at closing, including transaction expenses, escrowed amounts, and closing adjustments, were $355.4 million. To finance the initial and two follow-on acquisitions, Sentinel secured a $178.8 million senior credit facility led by Varagon Capital with Churchill, Bank of Ireland, and Hancock participating, consisting of (i) a $20.0 million revolver, undrawn at closing, (ii) a $123.3 million term loan, and (iii) a $35.5 million delayed-draw term loan. Sentinel also raised $27.4 million of mezzanine financing led by AEA Mezzanine ($14.0 million), with Gemini Investors ($5.0 million) and Sentinel Junior Capital I ($8.4 million) participating on identical economic terms. At the closing, including debt to finance the two add-on acquisitions, total net debt to EBITDA was 5.4x; senior debt to EBITDA was 4.6x; and mezzanine debt to EBITDA was 0.8x.

To complete the transaction, Sentinel structured and led a $169.3 million equity financing, of which Sentinel VI invested $138.0 million, Gemini Investors $11.0 million, management $14.5 million, AEA Mezzanine $3.0 million, Sentinel Junior Capital I $2.0 million, and other coinvestors $0.7 million. Sentinel established a 12.5% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in New Era and has the right to designate a majority of the board of directors. Michael Fabian, John McCormack, and Erika Stanford serve as directors. New Era's CEO and a member of Gemini Investors also serve on the board.

Performance

New Era got off to a strong start following the September 2019 closing. Besides the two add-ons included at the outset of our investment, New Era completed two more managed services add-ons in 2019—Meyer Hill Lynch, based in Ohio, and Advanced Technical Solutions, in West Virginia. For the 12 months prior to their closings, total revenue for these two add-ons was $23.8 million and adjusted EBITDA was $4.9 million. New Era paid a total of $20.8 million for the two add-ons—a highly accretive 4.2x EBITDA multiple—and financed both with incremental senior and mezzanine debt.

New Era's performance in 2019 was solid. Pro forma for the full-year impact of acquisitions, 2019 revenue was $277.8 million, up 43.4% from the prior year, and EBITDA was $38.6 million, up 58.7%. The growth was driven by the impact of seven acquisitions, four of which were completed under our ownership. As of December 31, 2019, net debt to EBITDA was 5.4x, unchanged from the closing, despite having financed the add-ons entirely with debt.

New Era was highly productive in 2020 despite the impact of the pandemic. New Era completed seven acquisitions that expanded its technological solution set, added several marquee customers, shifted revenue mix toward managed services, and expanded New Era's footprint in the United States and internationally. For the 12 months prior to the acquisitions, the seven add-ons generated revenue of $132.5 million and EBITDA of $21.9 million. The total enterprise value of the acquisitions was $95.1 million, which represented a highly accretive 4.3x EBITDA. The acquisitions were funded entirely with new senior debt and cash on hand.

Pro forma for the full-year impact of the seven add-ons, New Era's 2020 revenue was $374.7 million, up 34.9% from the prior year, and adjusted EBITDA was $54.2 million, up 40.4%. As of December 31, 2020, New Era's net debt to EBITDA was 5.2x, down from 5.4x the prior year, despite having financed the add-ons almost entirely with debt.

New Era had an incredibly productive 2021. To set up financing for its aggressive and ambitious acquisition program, New Era completed a recapitalization on April 30, 2021 that replaced its former senior and mezzanine debt structure with a single $732.5 million senior debt facility. The recapitalization consisted of a $30.0 million revolver, $435.0 million term loan, and $267.5 million delayed-draw term loan. The new debt facility was led by HPS with KKR, MidCap, Varagon, Churchill, and Crescent participating.

Armed with new financing, New Era completed seven acquisitions in 2021 that added new product and technology capabilities, increased scale in its geographic footprint, added blue-chip customers, and grew its managed services revenue mix. For the 12 months prior to the closings, the seven add-ons generated revenue of $239.3 million and EBITDA of $48.1 million. The total enterprise value paid was $241.7 million, which represented a highly accretive 5.0x EBITDA multiple. The acquisitions were funded entirely with senior debt.

New Era's 2021 performance was outstanding. In addition to expansion through acquisition, New Era generated meaningful organic growth driven by strong enterprise investment in collaboration and cloud technologies and new customer wins on large managed services contracts. Pro forma for the full-year impact of the seven add-ons, revenue was $727.3 million, up 94.1% from the prior year, and adjusted EBITDA was $113.4 million, up 109.2%. As of December 31, 2021, New Era's net debt to EBITDA was 5.1x, down from 5.2x the prior year, despite New Era having financed the add-ons almost entirely with debt.

For New Era, 2022 was highly productive. New Era completed eight acquisitions, expanding its geographic footprint and technology capabilities. Through three of the acquisitions, New Era established a new solutions offering in digital transformation. For the 12 months prior to the closings, the eight add-ons generated revenue of $232.2 million and EBITDA of $49.7 million. The total enterprise value paid was $278.7 million, which represented a highly accretive 5.6x EBITDA multiple. The acquisitions were funded entirely with senior debt from existing lenders.

New Era performed well in 2022 despite supply chain challenges and labor cost inflation. Pro forma for the full-year impact of the eight add-ons, revenue was $993.4 million, up 3.5% from the prior year, and adjusted EBITDA was $154.6 million, down 5.0%. The revenue increase was driven by growing demand from enterprise customers. EBITDA lagged revenue growth due to delays in completing systems integration engagements caused by supply chain constraints and payroll cost pressures. As of December 31, 2022, New Era's net debt to EBITDA was 6.1x, up from 5.1x the prior year, which results from financing the 2022 add-ons almost entirely with debt.

Having significantly exceeded our original investment objectives, we explored selling New Era during 2022. Unfortunately, a marked change in buyer sentiment coupled with more challenging economic conditions resulted in offers we thought did not adequately reflect New Era's true value. Accordingly, we decided to hold the investment until conditions for selling businesses improved.

Since our original investment in September 2019, New Era has financed its add-on acquisitions entirely with debt and seller notes. In this period, New Era has completed 26 add-ons representing $125.0 million of acquired EBITDA, for an aggregate enterprise value of $707.4 million and a blended 5.7x purchase multiple. To finance this acquisition program, including transaction expenses and working capital needs, New Era secured $770.5 million of new debt, which represented a 6.2x multiple of the acquired EBITDA. With the elevated turbulence in debt markets that began in 2022, New Era no longer has access to such favorable debt financing. For New Era to continue making accretive add-ons in this highly constrained debt environment, its acquisition financing would need to include new equity. Another factor was that as of December 31, 2022, New Era, with debt to EBITDA of 6.1x, was already highly leveraged.

To give New Era a generous cash cushion and to position it to continue to opportunistically pursue accretive add-ons, we secured additional capital for the company. On March 24, 2023, New Era raised

$121.4 million of new equity led by a Sentinel LP ($80.0 million), of which the Partnership coinvested $15.0 million, Sentinel Junior Capital I $1.4 million, Sentinel Junior Capital II $25.0 million, and New Era's management and other investors $14.8 million. The new investment was structured as preferred stock with a 1.8x priority redemption value and is convertible to common stock at the valuation of our New Era common as of December 31, 2022. In connection with the equity infusion, New Era secured favorable amendments to its debt covenants. The follow-on investment brought the Partnership's total investment in New Era to $153.0 million. At the closing, New Era's net debt to EBITDA was 5.3x, down from 6.1x at the end of 2022. Sentinel remains New Era's control shareholder.

In 2023, softness in global market demand for IT services drove a moderate decline in New Era's revenue. Highly recurring managed services revenue was broadly in line with last year, but systems integration revenue declined by almost 11% as customers delayed new project spend in an uncertain economic environment. Likewise, softness in the broader technology end market led to moderate revenue declines with some of New Era's TMT customers as they cut costs and postponed projects.

For New Era, 2023 was below plan. Revenue was $936.3 million, down 5.8% from the prior year, and adjusted EBITDA was $137.4 million, down 11.2%. The revenue decline was caused by lower systems integration sales, and EBITDA fell more than revenue due to inflationary pressure on labor costs. As of December 31, 2023, New Era's net debt to EBITDA was 6.5x, up from 6.1x the prior year. At the end of 2023, New Era had ample liquidity, with $114.5 million of cash on its balance sheet.

In 2024, New Era continued to face significant performance challenges, with its EBITDA plunging to a level at which the company cannot sustain its debt load. Three primary reasons account for this development. First, New Era financed each of its 26 add-ons with an amount of debt predicated on realizing cost savings synergies totaling $35 million. We estimate that during the past two years, U.S. inflation erased almost all of these savings. Second, the Federal Reserve's aggressive campaign to fight inflation significantly curtailed New Era's ability to increase prices while at the same time, nearly doubled its annual cash interest cost—in total, about $50 million of additional cash outflow. And third, residual Covid-induced supply chain issues delayed revenues and depressed margins. These external forces together reduced New Era's annual free cash flow by about $85 million. Before these problems struck, New Era was a strong-performing, asset-light business with a comfortable leverage profile. As of December 31, 2024, New Era's net debt to EBITDA was 12.2x, up from 6.5x the prior year.

In an attempt to boost cash flow and short-term profits during 2024, management slashed costs. In doing so, they were less than transparent and cooperative with us, which led us to terminate New Era's CEO and COO in July 2024. We then recruited a new CEO and are working closely with him and his team to improve the company's trajectory. After his onboarding, we discovered that New Era was in worse condition than we had been led to believe. Former management's actions included forcefully integrating acquisitions, imposing uneconomical and harsh cost controls, and terminating valuable employees with important customer relationships. These self-inflicted mistakes resulted in service issues with customers, an exodus of key talent and customers, and an associated decline in revenue and EBITDA. Revenue for 2024 was $846.0 million, down 9.6% from the prior year, and adjusted EBITDA was $79.4 million, down 42.2%.

With New Era facing steep challenges entering 2025, we see little reason for optimism in the near term, despite our best efforts to execute a transformative turnaround plan. With significantly diminished prospects, New Era's value has declined dramatically. To give New Era more runway to implement a turnaround would require more capital investment, but without a clear thesis to support such investment at this time, we cannot justify doing so. Moreover, during the first quarter, New Era breached certain debt covenants. In the absence of an equity injection from Sentinel, the lenders might not give us more time to execute a turnaround. If they decide to take ownership, we would face a realized loss. We expect to know how the lenders will proceed in the next 45–60 days.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	September 2019			
Amount of Initial Investment	$2,577,000	$125,621,000	$9,802,000	$138,000,000
Date of Follow-on Investment	March 2023			
Amount of Follow-on Investment	$280,129	$13,654,416	$1,065,456	$15,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	4.8%	61.3%	1.3%	67.3%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Common Stock	125,621	$1,000.00	$125,621,000	$0.00	$0
Preferred Stock	13,654	$1,000.00	$13,654,416	$0.00	$0
Sentinel Capital Partners VI-A, L.P.					
Common Stock	9,802	$1,000.00	$9,802,000	$0.00	$0
Preferred Stock	1,065	$1,000.00	$1,065,456	$0.00	$0
Sentinel Capital Investors VI, L.P.					
Common Stock	2,577	$1,000.00	$2,577,000	$0.00	$0
Preferred Stock	280	$1,000.00	$280,129	$0.00	$0

Financial Information (000's)

	Year Ending December 31,						
	2018	2019[1]	2020[2]	2021[3]	2022[4]	2023	2024
Net Sales	$227,535	$277,765	$374,730	$727,340	$993,437	$936,259	$846,024
Adjusted EBITDA	$29,638	$38,600	$54,187	$113,426	$154,643	$137,360	$79,372

[1] Pro forma for the full-year impact of four 2019 add-on acquisitions.
[2] Pro forma for the full-year impact of seven 2020 add-on acquisitions.
[3] Pro forma for the full-year impact of the seven 2021 add-on acquisitions.
[4] Pro forma for the full-year impact of the eight 2022 add-on acquisitions.

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$303,144	Current Liabilities	$158,282
PP&E, net	13,366	Other Liabilities	51,239
Other Assets	637,425	Long-Term Debt	1,052,470
		Stockholders' Equity	(308,056)
Total Assets	$953,935	Total Liabilities and Equity	$953,935

Valuation Rationale

New Era significantly underperformed in 2024, and the outlook is substantially diminished. In light of the loss of valuable employees and customer relationships in the aftermath of former management's indiscriminate cost cuts and forceful integration of acquisitions, New Era's value has been significantly impaired. As of December 31, 2024, we are placing zero value on the Partnership's holdings, which results in a gross/net multiple of cost of 0.0x/0.0x.

New Era Technology, Inc. 12/31/2024 ($000, except per-share calculations)				
	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$846,024	$846,024	$846,024	$846,024
Trailing 12 Month Adjusted EBITDA	$79,372	$79,372	$79,372	$79,372
Valuation Multiple	**9.7x**	**9.7x**	**9.7x**	**9.7x**
Enterprise Value	$770,736	$770,736	$770,736	$770,736
Less Senior Debt	(976,101)	(976,101)	(976,101)	(976,101)
Less Mezzanine Debt	(74,648)	(74,648)	(74,648)	(74,648)
Less Owed Earnout Payments	(7,500)	(7,500)	(7,500)	(7,500)
Plus Cash	84,353	84,353	84,353	84,353
Subtotal	(973,896)	(973,896)	(973,896)	(973,896)
Gross Equity Value	$0	$0	$0	$0
Less Preferred Equity Redemption Value	0	0	0	0
Total Remaining Value	$0	$0	$0	$0
Plus: Proceeds from Options	$0	$0	$0	$0
Total Equity Value to Common	$0	$0	$0	$0
Preferred Shares Outstanding	136,227	136,227	136,227	136,227
Investor Common Shares Outstanding	180,800	180,800	180,800	180,800
Time Options Outstanding	0	0	0	0
Value per Preferred Share	$ -	$ -	$ -	$ -
Value per Common Share	$ -	$ -	$ -	$ -
Value per Time Option	$ -	$ -	$ -	$ -
<u>SCP VI Investment Valuation</u>				
# Preferred Shares owned by SCP VI	13,654	1,065	280	15,000
# Class A Common Shares owned by SCP VI	125,621	9,802	2,577	138,000
Value of SCP Preferred Shares	$0	$0	$0	$0
Value of SCP Class A Common Shares	$0	$0	$0	$0
Value of Investment	**$0**	**$0**	**$0**	**$0**
Cost of SCP VI's Investment	$139,275	$10,868	$2,857	$153,000
Times Original Investment SCP VI	0.0x	0.0x	0.0x	0.0x
Original Transaction Multiple (EBITDA)	9.7x	9.7x	9.7x	9.7x

NEW YOU BARIATRIC GROUP, LLC

<u>Company Information</u>

Transaction Summary	
Date of Investment	August 2019
Source	Cain Brothers
Enterprise Value	$157.5 million
Total Investment	$92.7 million
Class A Units	$61.8 million
Class B Units	$30.9 million
Sentinel Capital Partners VI, L.P. Investment	$56.3 million
Class A Units	$56.3 million
Fully Diluted Ownership	54.6%
Sentinel Capital Partners VI-A, L.P. Investment	$4.4 million
Class A Units	$4.4 million
Fully Diluted Ownership	4.3%
Sentinel Capital Investors VI, L.P. Investment	$1.2 million
Class A Units	$1.2 million
Fully Diluted Ownership	1.1%
Transaction Multiple of EBITDA	8.4x
Debt as % of Enterprise Value	47.9%
Total Debt/EBITDA	4.0x

Business

Headquartered in Roslyn, New York, New You Bariatric Group (“NYBG”) provides management services to affiliated bariatric practices doing business as New York Bariatric Group (the “Practices”). The Practices perform bariatric surgery and offer related therapies focused on curing obesity and associated conditions, such as diabetes, heart disease, stroke, and sleep apnea, and constitute one of the nation’s leading providers of such healthcare services. As a management services organization (“MSO”), NYBG does not engage in the practice of medicine—instead, it provides the Practices with business support and administrative functions.

With 31 bariatric surgeons and 17 specialist physicians located in 30 offices, the Practices are together by far the largest private bariatric organization in the United States. The Practices’ physicians are highly trained specialists in laparoscopic bariatric surgery and have collectively performed more than 20,000 procedures to date.

The Practices offer patients surgical consultations, examinations, and other services, such as endoscopies and sleep studies, in comfortable, modern, convenient settings. At the closing, NYBG’s offices were primarily located in New York. Under our ownership, NYBG has expanded into New Jersey, Connecticut, Oklahoma, and Arkansas. The average office is 2,500 square feet. Several offices offer full-service, convenient, one-day pre-surgery workups in which surgery candidates see a full array of medical specialists in one location in one day for the necessary pre-surgery examinations and approvals. The one-day workups include examinations by cardiologists, pulmonologists, psychologists, and nutritionists, and access to endoscopy suites and sleep-study labs.

Approximately 52% of surgeries performed are sleeve gastrectomies, a procedure in which the stomach is surgically reduced, producing dramatic weight loss and possible remission from obesity-related conditions, with minimal complications. The Practices also perform lap-band procedures and several other bariatric surgeries, such as gastric bypass. Overall, bariatric surgery makes up approximately 34% of total revenue. In addition, the Practices offer nonsurgical weight-loss alternatives (including gastric balloons and medical weight loss programs), bariatric-related plastic surgery, and other associated services, which represent approximately 54% of total revenue. The remainder of the Practices' revenue comes from office visits and product sales.

The Practices have a balanced and attractive mix of payors. Commercial insurance accounts for 48% of revenue, with self-pay and other payors accounting for the rest. The Practices have in-network contracts with most of the major commercial insurance companies that serve the New York market, and their largest commercial payor, Blue Cross Blue Shield, accounts for 18% of revenue.

Likewise, the Practices' mix of referral sources is well diversified. NYBG's robust direct marketing program generates approximately 84% of the Practices' new patients, and personal recommendations from the Practices' extensive network of previous patients account for 16% of referrals. The remainder of referrals come from physicians, payors, and hospitals, with no individual source accounting for a sizable number of patients. NYBG has built a strong brand name for the Practices and takes advantage of its significant advertising budget to drive patient volumes in the New York metro area.

Central to NYBG's success has been its ability to recruit and retain top-quality physicians. Since inception, only five physicians have left the Practices, which continue to attract physicians from top bariatric fellowship programs around the country. Physicians are attracted to the Practices because they are freed of the administrative burdens of smaller bariatric practices, which allows them to devote most of their time to operating on and treating patients.

The bariatric industry is highly fragmented, with more than 40 independent practice groups and 175 surgeons in neighboring Northeast and Mid-Atlantic states alone and dozens of additional practices and hundreds of additional surgeons in the rest of the United States. This presents NYBG a clear opportunity to become the leading consolidator in the industry by affiliating other bariatric practices at highly accretive, mid-single-digit EBITDA multiples.

Before Sentinel's investment, NYBG experienced several years of steady sales and profit growth. From 2016 to the time of Sentinel's investment, the Practices grew rapidly from six to 15 offices through de novo openings, expanding from New York into Connecticut and New Jersey while maintaining attractive margins and consistent cash flows. During this period, NYBG's revenue grew to $44.3 million from $30.3 million, up 46.2%, and adjusted EBITDA grew to $18.8 million from $15.6 million, up 20.5%.

Investment Rationale

Sentinel invested in NYBG based on its (i) favorable industry and organic growth outlook; (ii) opportunity to grow the Practices through de novos and accretive acquisitions in the highly fragmented bariatric industry; (iii) stable, recession-resistant industry characteristics; (iv) first-mover advantage; (v) scalable platform with established infrastructure and systems; (vi) strong margins, high free cash flow, and robust return on invested capital; (vii) tax-efficient structure; and (viii) professional, highly capable, and committed senior executives and surgeon partners.

Transaction Background

Dr. Shawn Garber, a renowned bariatric surgeon, founded NYBG in 2000 as a single-physician office in Long Island. Over the next 18 years, Dr. Garber opened 14 additional offices across three states, established NYBG as the MSO for the Practices, and built significant infrastructure and a strong management team to support a rapidly growing company.

In 2019, Dr. Garber and NYBG's other owners decided to seek some liquidity and partner with a private equity firm that could accelerate the growth of the business. They hired Cain Brothers, a division of midmarket investment bank KeyBanc Capital Markets, to manage a sale. We were invited into the process as a credible buyer based on our experience investing in the healthcare industry. Dr. Garber and his partners chose Sentinel because of our considerable experience investing in multi-unit healthcare businesses, our sense of shared culture, and the strong chemistry we developed with the NYBG team.

Sentinel acquired NYBG for $157.5 million, or 8.4x trailing 12-month adjusted EBITDA. The transaction was structured in a tax-efficient manner—an asset step-up will provide NYBG with $94 million of tax-amortizable goodwill. Adjusting for the present value of the tax shield reduces the purchase multiple to 7.3x, which we saw as an attractive entry multiple for a leading multi-unit healthcare services platform with a robust infrastructure, a proven ability to expand through de novos, accretive acquisition opportunities in a fragmented market, a stable base of existing offices with strong revenue growth, attractive free cash flow characteristics, a solid business infrastructure to support rapid growth, and a highly capable management team.

Total funds required at closing, including transaction fees and expenses, were $167.7 million. To finance the transaction, Sentinel secured an $80.0 million senior credit facility led by Churchill, consisting of a $5.0 million revolver, undrawn at closing, and a $75.0 million term loan. The senior credit facility was priced at Libor+500. Webster and OFS participated in the senior credit. At closing, total net debt to EBITDA was 4.0x.

To complete the transaction, Sentinel led a $92.7 million equity financing, of which the Partnership invested $61.8 million, Dr. Garber $28.1 million, two senior surgeon partners $2.1 million, and NYBG's COO $0.7 million. Sentinel's equity investment was made in Class A units, and management's investment in Class B units. The Class A units receive their initial investment return before the Class B units—the Class B units will receive their initial investment return once the Class A units have achieved a 2.5x investment return. Sentinel established a 10.0% time- and performance-vesting incentive unit pool, giving physicians, management, and other key employees an opportunity to participate meaningfully in the upside rewards.

Sentinel owns a controlling interest in NYBG and has the right to designate a majority of its board of directors. Rachel Cantor, Michael Fabian, and Paul Murphy are directors. Also serving on the board are NYBG's CEO and COO and Dr. Marc Loev, the founder and former CEO of prior Sentinel portfolio company National Spine & Pain Centers.

Performance

NYBG's performance was strong in 2019. For the full year, revenue was $48.4 million, up 11.2% over 2018, and EBITDA was $19.7 million, up 21.7%. NYBG's growth was driven by onboarding new surgeons and opening new office locations. NYBG ended 2019 with 15 affiliated offices, up from 10 the prior year. As of December 31, 2019, NYBG's total net debt to EBITDA was 3.5x, down from 4.0x at the closing.

In 2020, the pandemic had a significant impact on NYBG's performance. Hospitals halted elective surgeries from the end of March through late May to accommodate the surge of coronavirus patients, bringing NYBG's sales to a standstill. However, NYBG rebounded strongly after the restrictions on elective surgery ended later in 2020. For the second half of the year, surgery volume rose sharply and outperformed 2019 by 17.1%, revenue rose 21.3%, and EBITDA was up 20.5%.

NYBG completed its first add-on in 2020 when it acquired Ballem Surgical, which represents four bariatric surgeons and significantly expanded NYBG's presence in the attractive northern New Jersey market. Ballem generated $1.8 million of adjusted EBITDA in the 12 months prior to the closing (adjusted for the impact of the pandemic). NYBG paid $11.0 million for Ballem, an accretive 6.1x adjusted EBITDA. NYBG financed the transaction with new senior debt, cash on hand, and rollover equity.

Pro forma for the Ballem Surgical add-on, NYBG's revenue in 2020 was $52.5 million, down 0.8% from the prior year, and EBITDA was $17.8 million, down 17.7%. EBITDA declined more sharply than revenue because of fixed costs paid during the Covid shutdown, partly offset by management's strong cost-saving initiatives. NYBG ended 2020 with 20 affiliated offices and 21 affiliated surgeons, up from 15 affiliated offices and 14 surgeons at the end of 2019. As of December 31, 2020, NYBG's net debt to EBITDA was 4.1x, up from 3.5x at the end of 2019.

For NYBG, 2021 was highly productive. NYBG completed three acquisitions during the year, including a small tuck-in in the company's core Long Island market, a large practice in Arkansas representing NYBG's first expansion into the Midwest, and an ambulatory surgery center ("ASC") in New Jersey. The three acquisitions generated $6.7 million of adjusted EBITDA in the 12 months before their respective closings, for which NYBG paid $34.8 million, a highly accretive 5.2x EBITDA. To finance the acquisitions, NYBG used cash on hand, new senior debt, and rollover seller equity.

NYBG's performance in 2021 was excellent. NYBG added nine new surgeons to its existing offices and ended 2021 with 22 offices and 30 surgeons, up from 20 offices and 21 surgeons the prior year-end. Pro forma for the three acquisitions, NYBG's revenue was $105.0 million, up 48.0% from the prior year, and EBITDA was $37.8 million, up 64.5%. As of December 31, 2021, NYBG's net debt to EBITDA was 2.4x, down from 4.1x at the end of 2020.

In 2022, NYBG acquired Advanced Surgical, expanding NYBG's presence in New Jersey. The acquisition brought a talented and productive surgeon to the NYBG team and will drive volume in the company's New Jersey ASC. Advanced Surgical generated $1.2 million of adjusted EBITDA in the 12 months prior to closing. NYBG paid $4.5 million for Advanced Surgical, an accretive 3.8x pro forma adjusted EBITDA. NYBG financed the transaction through cash on hand and rollover seller equity.

For NYBG, 2022 produced strong top-line growth—the business welcomed two offices and nine surgeons, ending 2022 with 24 offices and 39 surgeons. Pro forma for the Advanced Surgical add-on, NYBG's revenue was $122.2 million, up 14.5% from the prior year. Despite the revenue growth, pro forma EBITDA was $35.8 million, down 6.2%, primarily as a result of up-front investments in G&A, wage and cost inflation, and the addition of new surgeons who had not yet ramped up to full productivity. NYBG continued to generate strong free cash flow. With net debt to EBITDA of 2.0x at the end of April, NYBG completed a dividend recapitalization in May that returned $66.9 million to its shareholders, of which the Partnership's share was $43.4 million, or 0.7x the cost of our investment. As of December 31, 2022, NYBG's net debt to EBITDA was 4.5x, up from 2.4x the prior year.

In 2023, NYBG encountered two significant challenges that materially affected its performance and prospects. In July, a large out-of-network payor lowered its reimbursement rates. Having prepared for this possibility, NYBG opened two ASCs in New York and Connecticut to capture significantly more of the revenue and profit of each bariatric surgery performed. Moreover, NYBG's ASCs provide a better experience for patients at a lower cost for insurance payors. More troubling, however, was the significant drag on revenue, beginning in late 2023, from the unexpected and dramatic rise in popularity of prescription weight loss drugs, such as Ozempic and Wegovy. This new generation of drugs was largely unanticipated and resulted in fewer surgeries performed—bariatric surgeries decreased by 16% for the second half of the year.

As a result of these factors, NYBG's performance in 2023 was disappointing. Revenue was $118.5 million, down 4.1% from the prior year, but EBITDA was $23.8 million, down 34.1%. The revenue decline was caused by lower reimbursement rates from the out-of-network payor and fewer surgeries performed, partly offset by the new ASCs. EBITDA declined more than revenue because the lost sales from the reimbursement rate would have been much more profitable than the sales added from the new ASCs, which just started to ramp at the end of 2023. As of December 31, 2023, NYBG's net debt to EBITDA was 7.2x, up from 4.4x the prior year.

By second quarter 2024, with the same challenges persisting, NYBG faced a liquidity shortfall. In April, as part of a debt amendment with NYBG's lenders to address the problem, the Partnership invested another $5.0 million and NYBG's CEO $1.2 million, structured as debt pari passu with the existing senior credit facility. In parallel, the lenders agreed to accrue all 2024 interest, or approximately $17 million, and provide covenant relief through 2024. The lender group was also granted a 10% ownership stake and an independent seat on the board.

In 2024, the popularity of prescription weight loss drugs skyrocketed despite clinical research showing that they are less effective than bariatric surgery, and patients can now get the drugs easily and inexpensively online. In the first half of the year, lower reimbursement rates from the out-of-network payor also continued to suppress NYBG's revenue. NYBG's 2024 performance fell significantly—surgeries performed dropped 16% from 2023; revenue was $111.8 million, down 5.7%; and EBITDA was $12.3 million, down 48.4%. EBITDA fell more sharply than revenue due to NYBG's inherent inability to cut essential fixed costs. Partly offsetting lost EBITDA was solid progress at the high-margin ASCs opened in 2023—total surgery volumes in these clinics were up 181%—and, in the fourth quarter, NYBG opened its fourth ASC. As of December 31, 2024, NYBG's net debt to EBITDA was 18.0x, up from 7.2x the prior year.

Entering 2025, we remain pessimistic about NYBG's prospects. While the long-term implications of weight loss drugs are still uncertain, their near-term impact on bariatric surgery volumes has been profound and we do not foresee a reversal of this trend anytime soon. The decline in surgery volume has led to a significant erosion in sales and profit, leaving NYBG unable to meet its debt obligations. Given the lack of a viable investment thesis at this time, we expect the business will soon transition to lender control, resulting in a permanent impairment of our unrealized equity investment.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	August 2019			
Amount of Initial Investment	$1,154,130	$56,256,193	$4,389,677	$61,800,000
Date of Follow-on Investment	April 2024			
Amount of Follow-on Investment	$93,376	$4,551,472	$355,152	$5,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	51.2%	4.0%	56.3%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Units	Average per Unit	Total	Average per Units	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	56,256,193	$1.00	$56,256,193	$0.00	$0
Senior Debt			$4,551,472		$2,392,665
Sentinel Capital Partners VI-A, L.P.					
Class A Units	4,389,677	$1.00	$4,389,677	$0.00	$0
Senior Debt			$355,152		$186,700
Sentinel Capital Investors VI, L.P.					
Class A Units	1,154,130	$1.00	$1,154,130	$0.00	$0
Senior Debt			$93,376		$49,087

Financial Information (000's)

	Year Ending December 31,						
	2018	2019	2020	2021	2022	2023	2024
Revenue	$38,045	$48,409	$52,478	$104,989	$122,242	$118,543	$111,844
Adjusted EBITDA	$16,175	$19,691	$17,780	$37,803	$35,814	$23,807	$12,296

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$31,320	Current Liabilities	$207,951
PP&E, net	24,037	Long-Term Debt	12,221
Other Assets	137,914	Other Long-Term Liabilities	39,849
		Stockholders’ Equity	(66,751)
Total Assets	$193,271	Total Liabilities and Equity	$193,271

Valuation Rationale

NYBG continues to face significant challenges that materially affect its prospects, and we do not currently see a path to recovering our remaining unrealized equity investment. However, the Partnership’s investment pari passu with the senior credit facility will remain in the company, and we remain optimistic that a portion of this investment will be returned if NYBG is sold. As of December 31, 2024, Sentinel is placing zero value on its equity holdings. For the Partnership’s senior debt investment, we are using the same 8.4x EBITDA we paid for the business, unchanged from the prior year, which values our debt holdings at 52.6% of cost, or $2.6 million. Including $59.3 million of proceeds received through 2024, the total value of the Partnership’s holdings is therefore $61.9 million, for a gross/net multiple of cost of 0.9x/0.8x, down 29.9% from the prior year.

New You Bariatric Group, LLC
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$111,844	$111,844	$111,844	$111,844
Trailing 12 Month Adjusted EBITDA	$12,296	$12,296	$12,296	$12,296
Valuation Multiple	**8.4x**	**8.4x**	**8.4x**	**8.4x**
Enterprise Value	$103,024	$103,024	$103,024	$103,024
Less Senior Debt	(193,614)	(193,614)	(193,614)	(193,614)
Less SCP & Dr. Garber Senior Debt Investment	(6,200)	(6,200)	(6,200)	(6,200)
Plus Cash	3,834	3,834	3,834	3,834
Subtotal	(195,979)	(195,979)	(195,979)	(195,979)
Gross Equity Value	($92,955)	($92,955)	($92,955)	($92,955)
Value of Class A Equity	--	--	--	--
Value of Class B Equity	--	--	--	--
Value of Class C Equity	--	--	--	--
Value of Class D-1 Equity	--	--	--	--
# Class A Units Outstanding	61,800,000	61,800,000	61,800,000	61,800,000
# Class B Units Outstanding	42,149,701	42,149,701	42,149,701	42,149,701
# C Units Outstanding	3,196,552	3,196,552	3,196,552	3,196,552
# D-1 Units Outstanding	3,424,877	3,424,877	3,424,877	3,424,877
# D-2 Units Outstanding	3,678,571	3,678,571	3,678,571	3,678,571
# E Units Outstanding	15,000,000	15,000,000	15,000,000	15,000,000
# F Units Outstanding	11,072,356	11,072,356	11,072,356	11,072,356
Value per Class A Unit	$ -	$ -	$ -	$ -
Value per Class B Unit	$ -	$ -	$ -	$ -
Value per Class C Unit	$ -	$ -	$ -	$ -
Value per Class D-1 Unit	$ -	$ -	$ -	$ -
Value per Class D-2 Unit	$ -	$ -	$ -	$ -
Value per Class E Unit	$ -	$ -	$ -	$ -
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	56,256,193	4,389,677	1,154,130	61,800,000
Value of SCP Class A Units	$0	$0	$0	$0
Value of SCP Senior Debt	2,393	187	49	2,628
Total Cash Realized to Date				
2020 Distributions	$1,032	$0	$21	$1,053
2021 Distributions	4,094	0	84	4,178
2022 Recap/Distributions	46,146	3,306	947	50,400
2023 Distributions	3,369	208	69	3,647
2024 Distributions	0	0	0	0
Total Cash Realized to Date	$54,641	$3,515	$1,121	$59,277
Value of Investment	**$57,034**	**$3,701**	**$1,170**	**$61,905**
Cost of SCP VI's Equity Investment	$56,256	$4,390	$1,154	$61,800
Cost of SCP VI's Senior Debt Investment	$4,551	$355	$93	$5,000
Times Original Investment SCP VI	0.9x	0.8x	0.9x	0.9x
Original Transaction Multiple (EBITDA)	8.4x	8.4x	8.4x	8.4x

NSI INDUSTRIES[1]

Company Information

Transaction Summary	
Date of Investment	November 2024
Source	Harris Williams
Enterprise Value	$1.50 billion
Total Investment	$705.0 million
Class A Units	$683.5 million
Class B Units	$21.5 million
Sentinel Capital Partners VII, LP and Affiliates	$518.6 million
Class A Units	$518.6 million
Fully Diluted Ownership	66.2%
Sentinel Capital Partners VI, L.P. Investment	$68.3 million
Class A Units	$68.3 million
Fully Diluted Ownership	8.7%
Sentinel Capital Partners VI-A, L.P. Investment	$5.3 million
Class A Units	$5.3 million
Fully Diluted Ownership	0.7%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	0.2%
Sentinel Junior Capital II, LP Investment	$40.0 million
Class A Units	$20.0 million
Unitranche Term Loan	$20.0 million
Fully Diluted Ownership	2.6%
Transaction Multiple of EBITDA	9.9x
Debt as % of Enterprise Value	58.3%
Total Debt/EBITDA	5.8x

Business

Founded in 1975, NSI Industries is a leading manufacturer and supplier of branded electrical and HVAC components to third-party distributors in the United States and Canada. NSI offers a broad portfolio of more than 20,000 low-ticket, high-margin SKUs used by electrical and HVAC contractors. NSI comprises three divisions, electrical, HVAC, and network infrastructure, and goes to market through a portfolio of iconic brands. Markets served by NSI include residential (28% of revenue at closing) and commercial (72%), including warehouse (14%), retail (12%), office (10%), power and utilities (9%), manufacturing (8%), and data centers (7%). NSI is headquartered in Huntersville, North Carolina and operates 21 facilities across North America.

[1] Legal name is NSI Holding, LP.

Descriptions of NSI's divisions follow.

Electrical (54% of revenue, 59% of EBITDA). NSI's electrical division offers high-quality electrical parts, components, and accessories through a portfolio of market-leading brands: Bridgeport (48% of revenue at closing), Polaris (20%), NSI (14%), Remke (7%), Tork (7%), and Metallics (4%). NSI's electrical products are sold through distributors to electrical contractors, who choose NSI's products based on their superior durability, reliability, and functionality. The electrical division has three main product categories: cable-conduit fittings (49%), connectors (32%), and supplies and consumables (20%).

HVAC (33% of revenue, 31% of EBITDA). NSI's HVAC division offers a wide range of premium HVAC components and accessories through two leading brands: Duro Dyne (69% of revenue at closing) and Supco (31%). Both brands have served the HVAC components market for 70+ years and have strong recognition among HVAC contractors for their premium quality and dependability. The HVAC division sells more than 7,000 SKUs across its key product categories: connectors and insulation fasteners (35% of revenue), hanging systems and other consumables (25%), switches, controls, and other components (24%), air distribution accessories (9%), and tools and test instruments (8%).

Network Infrastructure (13% of revenue, 10% of EBITDA). NSI's network infrastructure division offers network connectivity products and accessories through three prominent brands: Lynn (54% of revenue at closing), ENET (24%), and Platinum Tools (23%). These brands are recognized for their quality, innovation, and performance. The division's products are sold through distributors to network engineers and contractors, who choose NSI's solutions for their reliability, availability, and advanced technology. The network infrastructure division serves four primary channels: data communications (36% of revenue at closing), broadband (33%), IT (19%), and AV/Security (12%).

NSI is well diversified across products, applications, suppliers, and customers. NSI fulfills more than 340,000 orders per year, with an average selling price under $6 per product. Demand is replenishment-driven, and NSI's products typically represent less than 5% of the total job cost. Sought out by end users, NSI's brands generate high margins for the company and its distributors.

NSI manufactures approximately 48% of its products in its 11 U.S. manufacturing facilities and sources 52%. The business provides quick turnarounds for customers from 21 distribution facilities throughout the United States and Canada. Of NSI's approximately 1,900 suppliers, 54% are in North America (based on 2024 spend), 45% are in Asia, and the average relationship with NSI's top 10 vendors exceeds 20 years. In the 12 months before closing, no supplier represented more than 10% of spend.

NSI's customers consist of large national distributors, which operate through a network of local branches with localized purchasing decisions, and smaller regional distributors. NSI serves about 2,500 parent customers and 25,000 branches annually, with an average customer relationship length of 32 years for its top 10 customers. At closing, no customer accounted for more than 8% of revenue and its top 10 combined 37%. The top 10 branches served represented only 7% of total revenue as of closing. NSI also has a strong position with national buying groups, which favor players of scale and value NSI for its recognized brands, vast offering, single point of purchase, and customer service.

NSI operates in the $7.0–8.0 billion electrical and $3.5–4.5 billion HVAC components markets. The electrical components market, which includes network infrastructure, grew at an 11% CAGR from 2020 to 2023 and is expected to grow at a ~5% CAGR through 2028. The HVAC components market grew at a 14% CAGR from 2020 to 2023 and is forecasted to grow at a ~3% CAGR from 2023 to 2028. On top of the factors that have historically driven both markets—commercial construction, new housing starts, renovations, and government infrastructure spend—the current tailwinds expected to support NSI's market growth include increasing electrification, energy transition, datacenter expansion, broadband connectivity, and industrial manufacturing growth in the United States. We believe NSI is well positioned to continue growing in its core markets, underpinned by its strong brand reputation, extensive distributor network, high-quality service, and superior product performance. NSI has significant runway to gain share by cross-selling to existing customers, investing more in R&D, and boosting wallet share with national distributors.

Before Sentinel, NSI experienced several years of solid revenue and profit growth, propelled by a mix of price increases, volume gains, and margin expansion. From 2020 to the 12 months ended July 31, 2024, net revenue grew from $447.9 million to $682.8 million, a CAGR of 12.5%, and adjusted EBITDA increased from $75.0 million to $150.7 million, a CAGR of 21.5%. In the same period, NSI significantly expanded its margins through operating leverage, cost savings from add-ons, strategic pricing initiatives, and increased purchasing power with suppliers—for the 12 months ended July 31, 2024, gross margins were 40.0%, up from 34.6% in 2020, and adjusted EBITDA margins were 22.1%, up from 16.7%. NSI is an asset-light business that generates high free cash flow. When we invested, the business employed $295.3 million of tangible capital, which produced a solid 51.0% return on net invested capital.

Having completed 11 add-ons since 2020, NSI has demonstrated it can execute acquisitions in its fragmented market in the highly accretive range of 5.0–7.0x EBITDA. A key component of our investment thesis is NSI's ability to continue to make accretive add-ons across diversified product categories and realize savings through integration. NSI's acquisition pipeline includes 90+ targets with cumulative revenue of more than $5 billion, including several in active discussions.

Investment Rationale

Sentinel invested in NSI based on (i) its high-quality, market-leading brands; (ii) strong industry tailwinds in electrical and HVAC; (iii) attractive and diversified distributor customers; (iv) high margins, high free cash flow conversion, and solid return on invested capital; (v) vast portfolio of low-ticket products with replenishment-driven demand; (vi) anticipated strategic interest at exit; (vii) proven ability to execute and integrate accretive add-ons; (viii) potential cost savings from facility integration and business simplification; and (ix) professional, capable, and highly committed management team with a proven record of success.

Transaction Background

Before Sentinel, NSI was owned by Odyssey Investment Partners. In 2023, Odyssey hired Harris Williams, a midmarket investment bank, to sell the business. During the sale process, strategic buyers expressed interest in the electrical, HVAC, and network infrastructure segments individually, but not all three combined. Sentinel was among a small group of sponsors willing to buy the entire business and saw an opportunity to create value by separately exiting the segments separately. Management and Odyssey chose Sentinel due to our experience in industrials, including ECM Industries, a business that operates in the same electrical products market as NSI and that we successfully sold to nVent in 2023; our strong chemistry with management, including with CEO G.R. Schrotenboer, who we worked with at former Sentinel portfolio company Power Products; our deep understanding of the business from having participated in NSI's sale processes four times (2013, 2016, 2019, and 2023–24); and confidence that we would close the transaction quickly and on the agreed terms.

On November 15, 2024, Sentinel acquired NSI for $1.5 billion, or 9.9x trailing 12-month adjusted EBITDA of $150.7 million. We consider this to be an attractive valuation for a market leader in the electrical and HVAC components markets with a portfolio of premium brands, proven M&A capabilities, industry-leading financial profile, and history of consistent organic growth.

Sentinel built structural and tax flexibility into the transaction to allow us to sell the divisions separately. While we consider the HVAC and network infrastructure businesses attractive assets that we would have no hesitation owning, we are currently exploring the sale of both segments. Divesting these two segments would allow NSI to focus on the electrical segment, where we have a proven roadmap from our previous ownership of Power Products and ECM and a strong team of operating partners eager to support this investment.

Total funds required at closing, including transaction fees and expenses, were $1.62 billion. To finance the transaction, Sentinel secured a $1.16 billion unitranche credit facility led by Blackstone and supported by numerous other lenders, including Antares, Golub, J.P. Morgan, Audax, Morgan Stanley, and Sentinel Junior Capital II ($20.0 million, fully funded at close). The facility consists of an $860.0 million term loan (5.7x EBITDA), a $150.0 million revolver ($15.0 million drawn at closing), and a $150.0 million delayed-draw term loan. To complete the transaction, Sentinel led a $705.0 million equity financing, of which Sentinel VII invested $518.6 million, the Partnership $75.0 million, Sentinel Junior Capital II $20.0 million, management $21.5 million, and other coinvestors $69.9 million. Regardless of whether the HVAC and network infrastructure division are divested, Sentinel VII plans to ultimately reduce its investment to approximately $325 million or less in the first 12 months.

Sentinel owns a controlling interest in NSI and has the right to designate a majority of the board of directors. Eric Bommer, Patrick Knise, John Van Sickle, and Grant Wilson are directors. Also serving on the board are Sentinel operating partners Mike Masino and James Darby, who were previously executives at former Sentinel portfolio companies ECM Industries and Power Products, and NSI's CEO.

Performance

Between the November closing and year-end 2024, NSI performed as anticipated. For the 12 months ended December 31, 2024, revenue was $682.2 million, up 4.3% over the same prior-year period, and EBITDA was $158.0 million, up 8.0%. As of December 31, 2024, NSI's total net debt to EBITDA was 5.4x, down 0.3x from closing.

Looking ahead, we are optimistic about NSI's outlook. NSI enters 2025 with clear momentum and an active pipeline of add-ons to drive future growth. Because NSI is a capital-efficient, high-margin business, we expect it will generate significant free cash flow to support organic initiatives and acquisitions.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2024			
Amount of Initial Investment	$1,400,643	$68,272,079	$5,327,278	$75,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.2%	8.7%	0.7%	9.6%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	68,272,079	$1.00	$68,272,079	$1.02	$69,816,461
Sentinel Capital Partners VI-A, L.P,					
Class A Units	5,327,278	$1.00	$5,327,278	$1.02	$5,447,787
Sentinel Capital Investors VI, L.P.					
Class A Units	1,400,643	$1.00	$1,400,643	$1.02	$1,432,327

Financial Information (000's)

	Year Ending December 31,			
	2021	2022	2023	2024
Net Sales	$528,625	$638,084	$654,759	$682,199
Adjusted EBITDA	$102,369	$129,381	$146,307	$157,970

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$312,430	Current Liabilities	$60,671
PP&E, net	$104,161	Long-Term Debt	$851,400
Other Assets	$1,197,825	Other Long-Term Liabilities	$96,603
		Stockholders' Equity	$605,741
Total Assets	$1,614,415	Total Liabilities and Equity	$1,614,415

Valuation Rationale

NSI performed well after the 2024 closing. As of December 31, 2024, Sentinel is valuing NSI at 9.9x EBITDA, which equals the entry multiple we paid for the business. After adjusting for net debt outstanding as of December 31, 2024, we are valuing NSI's Class A units at $1.02 per share. The value of the Partnership's holdings as of December 31, 2024 is therefore $76.7 million, up 2.3% from the November 2024 closing.

NSI Industries
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$682,199	$682,199	$682,199	$682,199
Trailing 12 Month Adjusted EBITDA	$157,970	$157,970	$157,970	$157,970
Valuation Multiple	**9.9x**	**9.9x**	**9.9x**	**9.9x**
Enterprise Value	$1,571,787	$1,571,787	$1,571,787	$1,571,787
Less: Unitranche Debt	(860,000)	(860,000)	(860,000)	(860,000)
Plus: Cash	10,000	10,000	10,000	10,000
Gross Equity Value	$721,787	$721,787	$721,787	$721,787
Value of Class A Equity	698,956	698,956	698,956	698,956
Value of Class B Equity	21,991	21,991	21,991	21,991
Value of Class C Equity	839	839	839	839
# Class A Units Outstanding	683,495,000	683,495,000	683,495,000	683,495,000
# Class B Units Outstanding	21,505,000	21,505,000	21,505,000	21,505,000
# Class C Units Outstanding	37,105,263	37,105,263	37,105,263	37,105,263
Value per Class A Unit	$1.02	$1.02	$1.02	$1.02
Value per Class B Unit	$1.02	$1.02	$1.02	$1.02
Value per Class C Unit	$0.02	$0.02	$0.02	$0.02
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	68,272,079	5,327,278	1,400,643	75,000,000
Value of SCP Class A Units	$69,816	$5,448	$1,432	$76,697
Value of Investment	**$69,816**	**$5,448**	**$1,432**	**$76,697**
Cost of SCP VI's Investment	$68,272	$5,327	$1,401	$75,000
Times Original Investment SCP VI	1.0x	1.0x	1.0x	1.0x
Original Transaction Multiple (EBITDA)	9.9x	9.9x	9.9x	9.9x

THE RECREATIONAL GROUP[1]

Company Information

Transaction Summary

Controlled Products Acquisition

Date of Investment	October 2021
Source	Piper Sandler
Enterprise Value	$217.5 million
Total Investment	$105.6 million
Class A Units	$87.1 million
Class B Units	$10.5 million
Class C Units	$8.1 million
Sentinel Capital Partners VI, L.P. Investment	$72.8 million
Class A Units	$72.8 million
Fully Diluted Ownership	60.7%
Sentinel Capital Partners VI-A, L.P. Investment	$5.7 million
Class A Units	$5.7 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$1.5 million
Class A Units	$1.5 million
Fully Diluted Ownership	1.2%
Sentinel Junior Capital I, L.P. Investment	$18.0 million
Class A Units	$3.0 million
Subordinated Debt	$15.0 million
Fully Diluted Ownership	2.5%
Transaction Multiple of EBITDA	10.7x
Debt as % of Enterprise Value	57.4%
Total Debt/Adjusted EBITDA	6.1x

Recreational Group Acquisition

Date of Investment	December 2021
Source	Lincoln International
Enterprise Value	$280.0 million
Total Investment	$120.1 million
Class A Units	$93.7 million
Class B Units	$15.9 million
Class C Units	$10.6 million
Sentinel Capital Partners VI, L.P. Investment	$70.5 million
Class A Units	$70.5 million
Fully Diluted Ownership	55.9%
Sentinel Capital Partners VI-A, L.P. Investment	$5.5 million
Class A Units	$5.5 million
Fully Diluted Ownership	4.4%
Sentinel Capital Investors VI, L.P. Investment	$1.4 million
Class A Units	$1.4 million
Fully Diluted Ownership	1.1%
Sentinel Junior Capital I, L.P. Investment	$12.0 million
Class A Units	$2.0 million
Subordinated Debt	$10.0 million
Fully Diluted Ownership	1.9%

[1] Legal name: CP Turf Topco, LLC.

Sentinel's investment in The Recreational Group began with the acquisition of Controlled Products ("CP") in October 2021. While performing due diligence on CP, Sentinel was introduced to The Recreational Group ("RG"), a similar-sized and highly complementary business located next door to CP in Dalton, Georgia. In December 2021, about eight weeks after acquiring CP, the Partnership purchased RG, combined the two businesses, and renamed the combination The Recreational Group ("RecGroup").

Founded in 1989 and headquartered in Dalton, Georgia, CP is a market-leading manufacturer and distributor of premium synthetic turf products for landscape, sports, commercial, and specialty applications. CP distributes a variety of premium synthetic turf solutions through an international network of dealers and customers and to its company-owned and franchised Purchase Green stores. CP serves a diverse group of residential, commercial, and field customers with leading brands—including GrassTex, SporTurf, and Synthetic Turf International—and private-label products. As of the closing, approximately 83% of CP's sales were to the attractive non-field segment, which is characterized by small tickets of $1,000–15,000. Approximately 17% of sales were to the field end market, with ticket sizes ranging from $80,000 to $130,000. Descriptions of CP's pre-combination business units follow.

Purchase Green (37% of CP's revenue at closing) primarily sells imported turf used in residential lawn and landscape applications directly to local contractors and DIY consumers through a network of company-owned and franchised brick-and-mortar locations. Purchase Green has 26 company-owned stores and 24 franchise locations across 17 states.

Private-label products (32% of revenue) are sold into both the field and non-field segments. In the field segment, CP primarily sells to two large field installers—A-Turf and ATG, with A-Turf representing approximately 6% of CP's sales. In the non-field segment, CP serves recreation, fitness, and pet end markets through B2B direct sales. The private-label non-field business represented 23% of CP's revenue as of the closing, and the private-label field business, 9%.

Synthetic Turf International ("STI") (17% of revenue) is a leading non-field turf brand that serves the golf and high-end landscape end markets. STI sells through a network of more than 100 U.S. and international dealers, many of whom source their turf products solely from CP. STI focuses on developing strong relationships with its dealers and hosts training and education events to strengthen dealers' sales skills and market position. The average STI ticket is approximately $5,000.

SporTurf (8% of revenue) primarily serves the field market, selling through an international network of dealers and surfacing contractors. SporTurf's branded products are used in both indoor and outdoor applications, including sports fields, indoor arenas, and training facilities. The average SporTurf ticket is approximately $80,000.

GrassTex (6% of revenue) is a leading non-field turf brand that primarily serves lawn and recreational end markets through sales to dealers and distributors. GrassTex's go-to-market strategy focuses on educating carpet and flooring dealers and landscape retailers on synthetic turf applications and installation. The average GrassTex ticket is approximately $5,000.

CP has strong brands, a broad product offering, and a sophisticated, multichannel distribution network that serves a diverse customer base. Excluding Purchase Green, as of the closing, CP's end-market mix consisted of landscape (27% of revenue), field (23%), golf (19%), non-field sport (10%), gym (9%), and other customers (12%). Its top five customers accounted for 15% of revenue, and its top 10, 23%.

Before combining with RG, CP sourced extruded yarn products from various domestic and international suppliers, which it then tufted into finished goods. CP tufts and coats all its branded turf products except its products sold through Purchase Green, most of which are sourced from third parties. Tufting, coating, and logo fabrication operations take place in CP's 272,000-square-foot manufacturing facility in Dalton, Georgia.

Over the several years leading up to Sentinel's investment, CP experienced strong sales and profit growth. From 2019 to the 12 months ended June 30, 2021, net revenue grew from $77.1 million to $100.3 million, a CAGR of 19.1%, and adjusted EBITDA increased from $14.2 million to $20.3 million, a CAGR of 27.3%. Revenue growth was driven by market growth, share gains, and product introductions.

Founded in 1998 and headquartered next door to CP in Dalton, RG designs, manufactures, and installs premium surfacing products, including synthetic turf and composite modular tile. As of the closing, approximately 80% of RG's sales were generated from turf products and 20% from tile products. Approximately 55% of RG's sales were to the residential end market and 45% to nonresidential customers. Descriptions of RG's pre-combination business units follow.

XGrass (19% of RG's revenue at closing) is RG's branded turf sales and installation business. XGrass primarily serves the high-end commercial and residential market with an average order of approximately $8,000.

Synthetic Grass Pros ("SGP") (14% of revenue) was acquired in 2021 and sells synthetic turf through three retail storefronts in Texas, with an average order of approximately $3,000. As of the closing, SGP sourced its turf products from RG and other suppliers and planned to transition approximately 70% of its turf purchases to RG.

Viridian Fibers (13% of revenue) manufactures and sells extruded yarn made of nylon, polypropylene, and polyethylene. Viridian primarily sells texturized yarn, a highly specialized, difficult-to-manufacture product for which Viridian is the market leader. At closing, Viridian had five extrusion machines, with a sixth expected to be delivered within six months. Viridian supplies yarn for RG's internal manufacturing operations and directly to third-party turf manufacturers, including CP.

Engineered Turf (12% of revenue) was acquired in 2020 and provides tufting capabilities for RG's turf operations.

VersaCourt (10% of revenue) is one of RG's two tile brands. RG manufactures interlocking tiles for game courts (e.g., basketball, pickleball, and volleyball) and sells under the VersaCourt brand. VersaCourt serves residential and commercial customers, including schools and community centers.

SwissTrax (10% of revenue) manufactures and sells branded modular flooring tiles for residential and commercial garages.

Turf Factory Direct ("TFD") (9% of revenue) was acquired in 2020 and is an online retailer of synthetic turf for nonresidential and residential applications, with an average order size of approximately $2,000. TFD primarily sells "seconds," or pieces of turf that were originally intended for a different application, for a slight discount. TFD represents an opportunity for RG to minimize product waste and generate additional profit from turf that would not be sold through its other channels.

Easy Grass (5% of revenue) was acquired in 2021 and operates through a single retail storefront in Florida. Easy Grass sells synthetic turf for residential and nonresidential applications, with an average order size of approximately $8,000. As of the closing, Easy Grass sourced 100% of its products from RG.

Over the several years leading up to Sentinel's investment, RG generated strong sales and profit growth. Pro forma for all acquisitions, from 2019 to the 12 months ended August 31, 2021, net revenue grew from $108.5 million to $128.0 million, a CAGR of 10.4%, and adjusted EBITDA increased from $18.2 million to $23.4 million, a CAGR of 16.3%.

The combination of RG and CP diversified and expanded the customer base and geographic reach of each business. Because there was minimal customer overlap between the two businesses, cannibalization was negligible, and significant opportunities existed to cross-sell existing products and develop new products to be sold through the combination's customer network. The combination also united valuable manufacturing capabilities. For example, RecGroup has combined and expanded RG's yarn extrusion capabilities and CP's coating capabilities, which reduces reliance on external suppliers and has generated meaningful cost savings. In addition, RecGroup's manufacturing and distribution footprint has been consolidated from nine locations to six. In total, as of the closing, the combination was expected to generate more than $8.2 million of cost savings.

The market for recreational surfacing products is large and growing rapidly, with few vertically integrated suppliers of scale. The $4.0 billion synthetic turf market consists of two segments—outdoor living ($2.0 billion) and field ($2.0 billion). Outdoor living turf is in the early stages of adoption, with an estimated market adoption of less than 5% compared to field turf's 20% market adoption. The modular sport and specialty tile market is more nascent and was estimated to be $309 million in 2021. RecGroup holds an estimated 5% share of the total addressable turf market and an estimated 15% share of the addressable tile market.

The synthetic turf market is expected to grow 8–10% per year, driven by awareness of synthetic turf applications and benefits such as low maintenance, aesthetics, and environmental friendliness. The tile market is expected to grow 7% per year, driven by increasing awareness and relatively low market penetration.

RecGroup is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. With adjusted working capital of $25.0 million and net PP&E of $30.3 million, the combination employed $55.2 million of net tangible capital and generated $44.1 million of adjusted EBITDA for the 12 months before closing, which yielded a robust 79.9% return on net invested capital.

Investment Rationale

Sentinel invested in RecGroup based on its (i) portfolio of high-quality brands with leading market positions; (ii) strong tailwinds in the artificial turf and recreational surfacing industry; (iii) broad and diverse mix of channels and customers; (iv) history of successfully acquiring and integrating accretive add-ons and opportunity for further acquisitions; (v) strong margins, limited capital requirements, high free cash flow, and solid return on invested capital; and (vi) experienced, committed, and highly capable management team.

Transaction Background

CP was previously owned by private equity firm Clearview Capital. During Clearview's five-year ownership, CP experienced substantial organic growth and completed the transformative Purchase

Green acquisition. In 2021, Clearview engaged Piper Sandler, a midmarket investment bank with whom Sentinel has a longstanding relationship, to find a new partner to support CP's continued success in a rapidly growing industry. Although we were not the highest bidder, Clearview and management chose Sentinel because of the strong rapport we established with management during the sale process, our established record helping similar businesses scale organically and through acquisitions, our willingness and ability to provide significant capital to support acquisitions, and our ability to close the transaction quickly and on the agreed terms. In particular, our experience helping to transform former Sentinel portfolio company PlayCore through acquisition played an important role in establishing our credentials with management and the sellers. Sentinel sponsored the transaction and arranged the debt financing. Seven members of CP's team invested $18.3 million alongside Sentinel.

RG was previously owned by private equity firm Eagle Merchant Partners and RG's management. In 2021, Lincoln, a midmarket investment bank with whom Sentinel has a strong working relationship, was hired to sell the company. Sentinel was not the highest bidder, but Eagle and management chose us because of the relationships we developed with RG's management team, our prior success with PlayCore, the industry knowledge we developed through our involvement with CP, the significant growth potential and future equity appreciation opportunities resulting from a combination with CP, and the sellers' and Lincoln's confidence that we would close a transaction quickly and on the agreed terms. Twelve members of RG's team invested $26.5 million alongside Sentinel and the CP team.

Sentinel acquired CP for $217.5 million, which represented 10.7x trailing 12-month adjusted EBITDA. After accounting for the estimated present value of the inherited tax asset, the purchase multiple is reduced to 10.3x. Total funds required at closing, including transaction expenses and closing adjustments, were $231.7 million. To finance the transaction, Sentinel secured a $111.5 million senior credit facility led by Madison Capital and NXT Capital, with Churchill and Bank of Ireland participating, consisting of a $20.0 million revolver, of which $2.75 million was drawn at closing, and a $91.5 million term loan. Sentinel also raised $30.5 million of 10.75% mezzanine financing led by Churchill Mezzanine ($15.5 million), with Sentinel Junior Capital I ($15.0 million) participating on the same terms. At the closing of the CP transaction, net debt to EBITDA was 6.0x; funded senior net debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.5x.

To complete the initial CP transaction, Sentinel structured and led a $105.6 million equity financing, of which the Partnership invested $80.0 million, management $18.3 million, Churchill Mezzanine $3.1 million, Sentinel Junior Capital I $3.0 million, and other coinvestors $1.3 million. Sentinel established a 12.0% time- and performance-vesting incentive option pool that gives management an opportunity to participate meaningfully in the upside rewards.

Eight weeks after the acquisition of CP, the Partnership acquired RG for $280.0 million, which represented 12.0x trailing 12-month adjusted EBITDA. The Partnership also pre-funded two small, accretive add-ons RG had under letter of intent for $12.8 million. Total funds required at closing, including transaction expenses, closing adjustments, and excess cash to pre-fund one-time integration costs, were $319.8 million. To finance the transaction, Sentinel raised an incremental term loan of $152.0 million on the same terms as the original CP financing. Madison Capital and NXT arranged the financing, with Churchill and Bank of Ireland participating. Sentinel also raised an incremental $46.0 million, 10.75% mezzanine tranche led by Churchill Mezzanine ($36.0 million), with Sentinel Junior Capital I ($10.0 million) participating on the same terms.

To complete the RG transaction, Sentinel led a $120.1 million follow-on equity financing of which the Partnership invested $77.5 million, management $26.5 million, Churchill Mezzanine $7.2 million, Sentinel Junior Capital I $2.0 million, and other coinvestors $7.0 million.

The combined purchase price of $510.3 million represented 11.5x trailing 12-month adjusted EBITDA. After accounting for the estimated present value of the inherited tax assets, the purchase multiple is reduced to 10.9x. At the closing, net debt to pro forma adjusted EBITDA, including $8.2 million of identified cost savings, was 5.8x; funded senior debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.4x.

Sentinel owns a controlling interest in RecGroup and has the right to designate a majority of the board of directors. Eric Bommer, Patrick Knise, Scott Perry, and Cameron Smith are directors. The CEO and CFO of RG and former CEO of CP serve on the board. Also serving on the board are the retired CEO of former Sentinel portfolio company PlayCore; the founder and former CEO of CP; and the cofounder of RG.

Performance

For The Recreational Group and Controlled Products, 2021 was transformative. Besides the combination, RG completed two accretive add-on acquisitions in December—Ultrabase, which sells modular tile products that underlay turf and other surfaces to provide stability and drainage, and J.R. Mats, which sells branded golf mat products for residential and nonresidential applications. For the 12 months prior to closing, the two add-ons generated $12.1 million of revenue and $3.2 million of EBITDA. The total price paid for the two add-ons was $12.8 million, representing a highly accretive 4.0x multiple. Both add-ons were financed with pre-funded debt.

In the brief period following the October 2021 closing, RecGroup's performance met expectations. As of December 31, 2021, pro forma for the combination of RG and CP and the two accretive acquisitions, revenue was $256.3 million, up 15.9% over 2020, and EBITDA was $44.7 million, down 1.2% because of rising input costs and supply chain constraints. As of December 31, 2021, RG's net debt to financing EBITDA was 6.1x, up from 5.8x at the closing, and mezzanine debt to EBITDA was 1.5x, up from 1.4x.

For RecGroup, 2022 was another transformative year. Management made considerable progress integrating the combined business. By year-end, total projected cost savings had increased to $11.8 million, up from $8.2 million underwritten at close, of which RecGroup had realized $5.5 million.

In March 2022, RecGroup acquired Artificial Grass Superstore ("AGS"), an Arizona-based retailer and distributor of synthetic turf. For the 12 months ended January 31, 2022, AGS generated $14.6 million of revenue and $2.2 million of EBITDA. The enterprise value was $12.0 million, representing a highly accretive 5.5x EBITDA multiple, with the acquisition financed entirely with senior debt.

RecGroup performed well in 2022, despite supply chain disruptions and rising input costs. Pro forma for the full-year impact of the AGS add-on, revenue was $286.2 million, up 11.7% from 2021, and EBITDA was $48.7 million, up 9.0%. The revenue increase was driven by strong demand and market share gains, and integration-related savings boosted EBITDA growth. As of December 31, 2022, RG's net debt to financing EBITDA was 5.9x, down from 6.1x the prior year.

RecGroup had a highly productive 2023. By year-end, management had fully realized $11.8 million of cost savings from the 2021 merger of Controlled Products and RecGroup, and all integration actions were complete by year-end. In December, RecGroup acquired TurfHub, a turf retailer with five locations in Arizona and Texas, for $60.0 million. In addition to the base purchase price, the sellers are eligible for earnouts of up to $20.0 million based on EBITDA growth in 2023–2025. For the 12 months ended September 30, 2023, TurfHub generated $53.6 million of revenue and $8.9 million of EBITDA. The base purchase price represents an accretive 6.7x EBITDA multiple, or 5.3x after the impact of $2.4 million of projected cost savings from purchasing synergies and insourced manufacturing. If all earnouts are paid, the 6.7x purchase multiple would be reduced to 6.0x. The transaction was financed entirely with senior debt and $10.0 million of rollover equity from TurfHub's founder. Following the closing, RecGroup's net debt to EBITDA was 5.5x.

RecGroup performed well in 2023, significantly growing EBITDA despite sluggish retail demand. Pro forma for the full-year impact of TurfHub, revenue was $325.9 million, up 13.9% from 2022, and EBITDA was $65.2 million, up 33.7%. The revenue increase was due to the impact of the TurfHub acquisition. Organic revenue declined largely because of demand softness at RecGroup's California retail stores. EBITDA growth was attributable to continued cost savings from the integration, selective price increases, and the impact of the TurfHub acquisition. As of December 31, 2023, RecGroup's net debt to EBITDA was 5.5x, down from 5.9x the prior year.

In 2024, RecGroup continued its add-on program. In June, RecGroup acquired Perfect Turf, a turf and playground surfacing installer near Chicago, for $16.0 million. In addition to the base purchase price, sellers can earn up to $2.0 million based on 2024–2025 EBITDA growth. For the 12 months ended May 31, 2024, Perfect Turf generated $16.5 million of revenue and $4.0 million of EBITDA. The base purchase price represents an accretive 4.0x EBITDA, or 3.3x after the impact of $0.8 million of cost savings expected from purchasing synergies. The add-on was financed with additional senior debt. Following the closing, RecGroup's net debt to EBITDA was 5.5x.

RecGroup's financial performance in 2024 was below plan. Pro forma for the full-year contribution of Perfect Turf, revenue was $326.6 million, up 0.2% from 2023, and EBITDA was $55.6 million, down 14.7%. Revenue grew because of the Perfect Turf add-on and declined organically because of soft demand in the retail division—same-store sales at Purchase Green stores were down 15%, while revenue for the rest of the business was off only 3%. Organic EBITDA declines were steeper because of selective price concessions at Purchase Green stores and higher operating expenses from new store buildout. As of December 31, 2024, RecGroup's net debt to EBITDA was 6.3x, up from 5.5x the prior year.

Heading into 2025, we are cautiously optimistic RecGroup will stabilize its revenue trajectory. Despite continued softness in retail sales, demand across the rest of the business remains solid, with the year-end backlog up 21.9% over 2023. We also expect additional savings from the TurfHub and Perfect Turf integrations, initiatives to outsource production, and lower input costs.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	October 2021			
Amount of Initial Investment	$1,494,019	$72,823,551	$5,682,430	$80,000,000
Date of Follow-on Investment	December 2021			
Amount of Follow-on Investment	$1,447,331	$70,547,815	$5,504,854	$77,500,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	54.6%	4.3%	60.0%

12/31/2023 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	143,371,365	$1.00	$143,371,365	$1.00	$143,972,480

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI-A, L.P.					
Class A Units	11,187,285	$1.00	$11,187,285	$1.00	$11,234,190
Sentinel Capital Investors VI, L.P.					
Class A Units	2,941,350	$1.00	$2,941,350	$1.00	$2,953,682

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022[1]	2023[2]	2024[3]
Net Revenue	$192,589	$221,109	$256,322	$286,202	$325,893	$326,569
Adjusted EBITDA	$34,864	$45,244	$44,692	$48,735	$65,151	$55,593

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$96,882	Current Liabilities	$34,233
PP&E, net	41,632	Long-Term Debt	411,203
Other Assets	472,611	Other Liabilities	58,484
		Stockholders' Equity	107,204
Total Assets	$611,125	Total Liabilities and Equity	$611,125

Valuation Rationale

RecGroup performed below plan in 2024. As of December 31, 2024, Sentinel is valuing RecGroup at the same 11.5x multiple paid for the business, unchanged from the prior year. After adjusting for net debt outstanding and a normalized level of working capital as of December 31, 2024, this valuation equals $158.2 million, for a gross/net multiple of cost of 1.0x/0.9x, down 33.6% from the prior year.

[1] Includes the full-year impact of the AGS add-on.
[2] Includes the full-year impact of the TurfHub add-on.
[3] Includes the full-year impact of the Perfect Turf add-on.

The Recreational Group (a/k/a CP Turf TopCo, LLC)
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$326,569	$326,569	$326,569	$326,569
Trailing 12 Month Adjusted EBITDA	$55,593	$55,593	$55,593	$55,593
Valuation Multiple	**11.5x**	**11.5x**	**11.5x**	**11.5x**
Enterprise Value	$640,037	$640,037	$640,037	$640,037
Less Senior Debt	($338,443)	($338,443)	($338,443)	($338,443)
Less: Mezzanine Debt	(76,500)	(76,500)	(76,500)	(76,500)
Less: TurfHub Earnout	(3,000)	(3,000)	(3,000)	(3,000)
Less: TTM Average Working Capital	(63,498)	(63,498)	(63,498)	(63,498)
Plus: Actual Working Capital	63,422	63,422	63,422	63,422
Plus: Cash	10,492	10,492	10,492	10,492
Subtotal	(407,527)	(407,527)	(407,527)	(407,527)
Gross Equity Value	$232,509	$232,509	$232,509	$232,509
Value of Class A Equity	181,508	181,508	181,508	181,508
Value of Class B Equity	32,194	32,194	32,194	32,194
Value of Class C Equity	18,757	18,757	18,757	18,757
Value of Class D Equity	50	50	50	50
# Class A Units Outstanding	180,750,000	180,750,000	180,750,000	180,750,000
# Class B Units Outstanding	32,059,922	32,059,922	32,059,922	32,059,922
# Class C Units Outstanding	18,678,753	18,678,753	18,678,753	18,678,753
# Class D Units Outstanding	11,932,385	11,932,385	11,932,385	11,932,385
Value per Class A Unit	$1.00	$1.00	$1.00	$1.00
Value per Class B Unit	$1.00	$1.00	$1.00	$1.00
Value per Class C Unit	$1.00	$1.00	$1.00	$1.00
Value per Class D Unit	$0.00	$0.00	$0.00	$0.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	143,371,365	11,187,285	2,941,350	157,500,000
Value of SCP Class A Units	$143,972	$11,234	$2,954	$158,160
Value of Investment	**$143,972**	**$11,234**	**$2,954**	**$158,160**
Cost of SCP VI's Investment	$143,371	$11,187	$2,941	$157,500
Times Original Investment SCP VI	1.0x	1.0x	1.0x	1.0x
Original Transaction Multiple (EBITDA)	11.5x	11.5x	11.5x	11.5x

REFRIGIWEAR, LLC

Company Information

Transaction Summary

Date of Investment	November 2021
Source	William Blair
Enterprise Value	$235.0 million
Total Investment	$133.5 million
Class A Units	$133.5 million
Sentinel Capital Partners VI, L.P. Investment	$91.0 million
Class A Units	$91.0 million
Fully Diluted Ownership	59.8%
Sentinel Capital Partners VI-A, L.P. Investment	$7.1 million
Class A Units	$7.1 million
Fully Diluted Ownership	4.7%
Sentinel Capital Investors VI, L.P. Investment	$1.9 million
Class A Units	$1.9 million
Fully Diluted Ownership	1.2%
Sentinel Junior Capital I, L.P. Investment	$13.2 million
Class A Units	$2.2 million
Subordinated Debt	$11.0 million
Fully Diluted Ownership	1.4%
Transaction Multiple of EBITDA	12.9x
Debt as % of Enterprise Value	43.2%
Total Debt/Adjusted EBITDA	6.5x

Business

Headquartered in Dahlonega, Georgia, RefrigiWear designs and sells insulated clothing, headwear, handwear, and footwear for workers in extreme cold environments. RefrigiWear's brand is highly recognized and well-regarded in its core market, and its customers rely on RefrigiWear to provide durable, effective, and attractive workwear. RefrigiWear reaches a diverse base of customers across the food and grocery, outdoor construction, agriculture, transportation, and telecommunications industries.

RefrigiWear offers 3,800 unique SKUs that meet customer needs across temperatures, styles, and sizes. It sells its products into three core segments: Business-to-Business Food ("B2B Food"), Business-to-Business Outdoor ("B2B Outdoor"), and Direct-to-Consumer ("DTC"). Descriptions of RefrigiWear's business segments follow.

B2B Food (84% of sales). RefrigiWear's core customers are food distributors, protein processors, grocery chains, and cold storage facilities. RefrigiWear provides a diverse portfolio of jackets, bibs, pants, coveralls, handwear, headwear, and footwear that provide head-to-toe protection against the freezer environment while preserving mobility and functionality. RefrigiWear typically sells directly to the end customer in this segment. RefrigiWear has the number one market position in the segment.

B2B Outdoor (10% of sales). RefrigiWear provides workwear for outdoor operators in the telecom, construction, agriculture, and air traffic control end markets. Although the products sold into this channel are identical to those offered in the B2B Food channel, they generally feature less customization because most B2B Outdoor sales are to third-party distributors, not end users. B2B Outdoor, which RefrigiWear entered in 2018, is a key growth avenue for the company.

DTC (6% of sales). RefrigiWear sells directly to consumers through its website and retailers like Amazon, which represented 4% of total revenue at the closing and is RefrigiWear's largest third-party retailer. The product lines are identical to those offered through the B2B channels. Most customers use their RefrigiWear products at work and are reimbursed by their employers. A smaller but growing percentage of sales are to outdoor enthusiasts who use RefrigiWear products during recreational activities that require durable attire protection against cold weather. Referred to by RefrigiWear as "weekend warriors" or "industrial athletes," many of these customers were introduced to the RefrigiWear brand in the workplace.

RefrigiWear's products improve workers' safety, comfort, and productivity. Workers who are given RefrigiWear gear as an employee perk also report feeling more appreciated and better protected by their employers. Not surprisingly, cold storage companies that give their workers RefrigiWear's high-quality cold-climate gear report an average 40% reduction in employee turnover for the year.

RefrigiWear serves customers in the United States and Europe directly and serves customers in other geographies, such as Canada and Latin America, through distributor relationships. On average, RefrigiWear's top 10 customers have been with the company for more than 10 years. RefrigiWear's customer base is highly diversified; it serves more than 33,500 B2B customers and 119,000 DTC customers, the largest of which accounts for less than 8% of revenue. RefrigiWear goes to market through a 19-person B2B Food sales team, with each sales professional responsible for a region with 325–425 customers as well as a three-person B2B Outdoor sales team. The salesforce visits about 9,000 customer sites annually, which provides hundreds of individual touch points with customers over the course of a year. RefrigiWear's direct sales strategy is a key driver to its stable, long-term customer relationships. At the closing, RefrigiWear had a ~90% B2B customer retention rate and a 72% new facility win rate.

Innovation and new product development have been key ingredients in RefrigiWear's market leadership. At the closing, RefrigiWear held 112 IP registrations and had launched 100+ new products in the past four years. Sales of products launched in the past three years generated about 14% of revenue.

RefrigiWear sources its products from longstanding foreign vendors. RefrigiWear's two largest suppliers, which represent 35% of purchases, have supplied RefrigiWear for over a decade. Suppliers rely on RefrigiWear for product design, and RefrigiWear owns all designs. About 12% of B2B orders are customized with embroidery, patches, logos, emblems, custom colors/sizes, or alterations.

Although acquisitions were not part of RefrigiWear's legacy growth strategy, RefrigiWear has successfully closed and integrated three accretive add-ons under Sentinel ownership. These acquisitions have expanded its product portfolio and geographic footprint. We see an opportunity for RefrigiWear to continue pursuing accretive add-ons—its reputation for product quality, strong customer relationships, and established sales channels positions it well as a buyer of choice.

Prior to Sentinel's acquisition, RefrigiWear experienced several years of strong organic growth, with revenue increasing from $53.5 million in 2018 to $72.0 million in the 12 months ended September 2021, a CAGR of 11.4%, and adjusted EBITDA growing from $10.1 million to $18.2 million, a CAGR of 23.9%. RefrigiWear has a consistent and proven track record of winning new business and increasing its share of wallet with existing customers.

RefrigiWear is an asset-light business. Working capital requirements and capital expenditures are modest. With average working capital of $20.4 million and net PP&E of $2.1 million, RefrigiWear employed $22.5 million of tangible capital at the closing and generated $18.2 million of EBITDA, which produced a robust 81% return on net invested capital.

Investment Rationale

Sentinel invested in RefrigiWear based on its (i) leading position in a growing niche market; (ii) opportunity to pursue add-ons in core and adjacent markets and channels; (iii) strong track record of organic growth; (iv) diversified customer base with little concentration; (v) high-quality, industry-recognized brand; (vi) attractive margins, limited capital requirements, high free cash flow, and solid return on invested capital; and (vii) talented, proven management team who rolled over a significant percentage of their proceeds.

Transaction Background

RefrigiWear, founded in 1954, was owned and operated by members of two families. Prior to Sentinel's acquisition, RefrigiWear had four shareholders—Ronald Breakstone and Mark Silberman and their sons, Dean Breakstone and Ryan Silberman. The two sons each held the title co-CEO. In the summer of 2021, with the elder shareholders having retired and looking to leave the business in the hands of their sons, RefrigiWear hired midmarket investment bank William Blair to manage a sale. Sentinel and William Blair have a close, longstanding relationship, having worked together on multiple buyside and sellside transactions. Sentinel was selected as RefrigiWear's partner based on our experience investing in founder-owned businesses, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through accretive acquisitions, and William Blair's confidence that we would close a transaction quickly and on the agreed terms.

Sentinel acquired RefrigiWear on November 2, 2021 for $235.0 million, or 12.9x trailing 12-month adjusted EBITDA. Adjusting for the present value of tax-deductible goodwill reduces the purchase multiple to 11.6x. We consider this a fair entry multiple for a niche market leader operating in a rapidly growing end market with a history of impressive organic growth, entrenched customer relationships, strong brand recognition, excellent free cash flow, and an experienced, committed management team.

Sentinel sponsored the transaction and arranged the debt financing. Total cash required at closing, including transaction fees and expenses, was $250.6 million. To finance the transaction, Sentinel secured a $105.5 million senior credit facility led by NXT with Varagon Capital participating, consisting of a $15.0 million revolver with $3.9 million drawn at closing, and a $90.5 million term loan. Sentinel also raised $23.0 million of mezzanine financing led by GMB Mezzanine ($12.0 million), with Sentinel Junior Capital I ($11.0 million) participating on the same economic terms. At the closing, total net debt to EBITDA was 6.4x; funded senior debt to EBITDA was 5.1x; and mezzanine debt to EBITDA was 1.3x.

To complete the transaction, Sentinel led a $133.5 million equity financing, of which Sentinel VI invested $100.0 million, management $28.5 million, GMB Mezzanine $2.4 million, Sentinel Junior Capital I $2.2 million, and other coinvestors $0.4 million. Sentinel established a 12.0% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in RefrigiWear and has the right to designate a majority of the board of directors. Owen Basham, Eric Bommer, Chris McClain, Erika Stanford, and John Van Sickle serve as directors. RefrigiWear's CEO and its former co-president also serve on the board.

Performance

RefrigiWear achieved significant organic growth in 2021, driven by new customer and facility wins, higher sales volume with existing B2B customers, and growth in the DTC channel. For 2021, revenue was $75.7 million, up 16.7% over 2020, and EBITDA was $18.4 million, up 11.8%. As of December 31, 2021, RefrigiWear's net debt to EBITDA was 6.2x, down from 6.4x at the closing.

RefrigiWear had a highly productive 2022. In May, RefrigiWear acquired Samco, one of its primary competitors in the B2B Food market. The add-on is highly strategic for RefrigiWear and helps expand its product portfolio to better serve its customers across a spectrum of price points. Samco generated $1.5 million of adjusted EBITDA in the 12 months prior to the closing. RefrigiWear paid $7.7 million for the add-on, which represented a highly accretive 5.2x EBITDA multiple. RefrigiWear financed the transaction with an incremental term loan.

RefrigiWear performed well in 2022. RefrigiWear generated meaningful organic growth, driven by strong volume gains in the B2B Food and B2B Outdoor channels as well as price increases implemented during the year. Pro forma for the full-year impact of the Samco add-on, revenue was $96.4 million, up 14.8% from the prior year, and adjusted EBITDA was $24.5 million, up 23.4%. As of December 31, 2022, RefrigiWear's net debt to EBITDA was 4.7x, down from 6.2x the prior year.

In 2023, RefrigiWear's performance was below plan. Revenue was impacted by declines at two key customers and lower sales to certain other customers as unemployment rose and employee turnover slowed, which led to fewer new workers to outfit. Revenue for the year was $88.6 million, down 8.1% from 2022, and adjusted EBITDA was $23.0 million, down 6.2%. Despite the revenue softness, RefrigiWear generated meaningful cash flow and continued to de-lever. As of December 31, 2023, RefrigiWear's net debt to EBITDA ratio was 4.5x, down from 4.7x the prior year.

RefrigiWear made three accretive acquisitions in 2024. In January, it acquired Avaska, a competitor in the U.S. B2B Food market. RefrigiWear used $9.5 million of cash on hand, or a highly accretive 4.9x Avaska's pro forma adjusted EBITDA of $1.9 million for the 12 months before the closing. In February, RefrigiWear acquired leading B2B Food brand FlexiTog, a highly strategic add-on that extends RefrigiWear's reach in the UK and continental Europe and fortifies its leading global market position. RefrigiWear paid $35.9 million, or an accretive 9.6x FlexiTog's $3.7 million of pro forma adjusted EBITDA for the 12 months before the closing, financing the transaction with an incremental term loan and seller rollover. In December, RefrigiWear acquired Tessuto, a B2B Food brand in the Netherlands. RefrigiWear paid $0.8 million in cash, or an accretive 6.1x Tessuto's pro forma adjusted EBITDA of $0.1 million for the 12 months before closing.

RefrigiWear's organic growth was below plan in 2024. Revenue was impacted by sales declines from smaller customer accounts and industrywide headwinds in the United States as throughput at major cold storage companies declined, reducing demand for cold environment protective clothing. Pro forma for the full-year impact of the three add-ons, revenue was $107.4 million, down 4.0% from the prior year, and adjusted EBITDA was $25.8 million, down 12.2%. As of December 31, 2024, RefrigiWear's net debt to EBITDA was 5.2x, up from 4.5x the prior year.

Entering 2025, RefrigiWear is off to a good start on the M&A front, having made two acquisitions that continue its geographic expansion in Europe and solidify its market leadership worldwide—Fortdress, an established European B2B Food brand headquartered in Germany, and one tuck-in in the UK. With these two add-ons, RefrigiWear will have excellent scale in the European B2B Food market. Total sales for the two add-ons were $26.7 million and EBITDA $4.8 million, for which RefrigWear paid $33.9 million, an accretive 7.0x EBITDA.

RefrigiWear's top priorities for 2025 are to smoothly integrate the recent add-ons and drive organic growth in North America. Cold storage throughput—an important underlying industry dynamic for RefrigiWear—is forecast to increase. We are optimistic that RefrigiWear is well positioned to gain market share and will see top- and bottom-line growth this year.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	November 2021			
Amount of Initial Investment	$1,867,524	$91,029,438	$7,103,038	$100,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.2%	56.4%	4.4%	62.0%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	91,029,438	$1.00	$91,029,438	$1.12	$102,009,253
Sentinel Capital Partners VI-A, L.P.					
Class A Units	7,103,038	$1.00	$7,103,038	$1.12	$7,959,794
Sentinel Capital Investors VI, L.P.					
Class A Units	1,867,524	$1.00	$1,867,524	$1.12	$2,092,781

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022[1]	2023	2024[2]
Net Sales	$59,862	$64,831	$75,676	$96,395	$88,610	$107,447
Adjusted EBITDA	$12,649	$16,488	$18,442	$24,485	$22,965	$25,752

[1] Pro forma for the full-year impact of the May 2022 Samco acquisition.
[2] Pro forma for the full-year impact of the three 2024 add-ons.

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$49.763	Current Liabilities	$13,149
PP&E, net	3,581	Long-Term Debt	147,793
Other Assets	210,134	Stockholders' Equity	102,537
Total Assets	$263,478	Total Liabilities and Equity	$263,478

Valuation Rationale

RefrigiWear performed below plan in 2024. As of December 31, 2024, Sentinel is valuing RefrigiWear at 11.5x EBITDA, down from 12.5x the prior year-end and below the 12.9x entry multiple. After adjusting for net debt outstanding as of December 31, 2024, the value of the Partnership's Class A units is $1.12 per unit. The total value of the Partnership's holdings is therefore $112.0 million, for a gross/net multiple of cost of 1.1x/1.0x, down 16.1% from the prior year.

RefrigiWear, LLC
12/31/2024
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$107,447	$107,447	$107,447	$107,447
Trailing 12 Month Adjusted EBITDA	$25,752	$25,752	$25,752	$25,752
Valuation Multiple	**11.5x**	**11.5x**	**11.5x**	**11.5x**
Enterprise Value	$296,152	$296,152	$296,152	$296,152
Less: Senior Debt	(124,525)	(124,525)	(124,525)	(124,525)
Less: Mezzanine Debt	(23,000)	(23,000)	(23,000)	(23,000)
Less: Deferred Consideration	(1,359)	(1,359)	(1,359)	(1,359)
Plus: Cash	14,563	14,563	14,563	14,563
Subtotal	(134,321)	(134,321)	(134,321)	(134,321)
Gross Equity Value	$161,831	$161,831	$161,831	$161,831
Value of Class A Equity	149,575	149,575	149,575	149,575
Value of Class B Equity	1,424	1,424	1,424	1,424
Value of Class E Equity	10,160	10,160	10,160	10,160
Value of Class C Equity	673	673	673	673
# Class A Units Outstanding	133,475,000	133,475,000	133,475,000	133,475,000
# Class B Units Outstanding	1,270,665	1,270,665	1,270,665	1,270,665
# Class E Units Outstanding	8,128,000	8,128,000	8,128,000	8,128,000
# Class C Units Outstanding	5,577,682	5,577,682	5,577,682	5,577,682
Value per Class A Unit	$1.12	$1.12	$1.12	$1.12
Value per Class B Unit	$1.12	$1.12	$1.12	$1.12
Value per Class E Unit	$1.25	$1.25	$1.25	$1.25
Value per Class C Unit	$0.12	$0.12	$0.12	$0.12
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	91,029,438	7,103,038	1,867,524	100,000,000
Value of SCP Class A Units	$102,009	$7,960	$2,093	$112,062
Value of Investment	**$102,009**	**$7,960**	**$2,093**	**$112,062**
Cost of SCP VI's Investment	$91,029	$7,103	$1,868	$100,000
Times Original Investment SCP VI	1.1x	1.1x	1.1x	1.1x
Original Transaction Multiple (EBITDA)	12.9x	12.9x	12.9x	12.9x

SMARTSIGN PARENT, LLC

Company Information

Transaction Summary

Original Platform Investment

Date of Investment	September 2022
Source	Robert W. Baird
Enterprise Value	$385.0 million
Total Investment	$211.8 million
Class A Units	$191.9 million
Class B Units	$19.8 million
Sentinel Capital Partners VI, L.P. Investment	$136.5 million
Class A Units	$136.5 million
Fully Diluted Ownership	54.6%
Sentinel Capital Partners VI-A, L.P. Investment	$10.7 million
Class A Units	$10.7 million
Fully Diluted Ownership	4.3%
Sentinel Capital Investors VI, L.P. Investment	$2.8 million
Class A Units	$2.8 million
Fully Diluted Ownership	1.1%
Sentinel Junior Capital I, L.P. Investment	$24.0 million
Class A Units	$4.0 million
Subordinated Debt	$20.0 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	11.9x
Debt as % of Enterprise Value	50.6%
Total Debt/EBITDA	6.0x

Follow-on Investment in FenceScreen

Date of Investment	June 2023
Enterprise Value	$71.0 million
Total Investment	$22.6 million
Class B Units	$22.6 million
Sentinel Capital Partners VI, L.P. Investment	$11.7 million
Equity	$11.7 million
Fully Diluted Ownership	54.6%
Sentinel Capital Partners VI-A, L.P. Investment	$0.9 million
Equity	$0.9 million
Fully Diluted Ownership	4.3%
Sentinel Capital Investors VI, L.P. Investment	$0.2 million
Equity	$0.2 million
Fully Diluted Ownership	1.1%
Sentinel Junior Capital I, L.P. Investment	$0.3 million
Equity	$0.3 million
Fully Diluted Ownership	1.6%
Transaction Multiple of EBITDA	7.8x

Business

SmartSign Founded in 1999 and headquartered in Brooklyn, New York, SmartSign is an online provider of customizable and specialized signs, labels, and tags serving the compliance, safety, and regulatory needs of customers. SmartSign's customers include 75% of the Fortune 1000.

SmartSign operates 27 websites offering a product portfolio of specialized and customized signs, tape, labels, tags, floor mats, and related products and accessories suited for thousands of uses across dozens of end markets. SmartSign's websites account for approximately 80% of sales, with the remainder sold through Amazon or directly to third parties. SmartSign operates five manufacturing facilities that make 80% of the products it sells. The five company-owned facilities are in South Dakota, California, North Carolina, and New York and were SmartSign's largest vendors before they were acquired. Most products are manufactured to order and shipped in one or two days. SmartSign operates an office in Jaipur, India with 103 long-tenured employees who manage product design, ecommerce, quality control, and IT.

Descriptions of SmartSign's product categories follow.[1]

> **Signs and Tape** (69% of sales) is SmartSign's largest product category. Products include parking signs, safety signs, campground signs, floor tape, and related accessories like signposts and bollards. SmartSign's 64,000 SKUs can be configured more than 600,000 different ways; 66% of revenue comes from products customized on SmartSign's websites, and almost all products are available in a variety of sizes, colors, materials, and configurations. The average order size for signs and tape purchased is $90, with 1.1 million orders in 2024.
>
> **Labels, Tags, and Floor Mats** (31% of sales) drive predictable repeat sales, which have contributed to SmartSign's organic growth and high customer retention. Products have a wide range of uses and include regulatory-related safety labels on industrial equipment, asset tags on company-owned laptops and devices, and town parking permits. As consumables, labels and tags generate strong repeat purchases. The average order size for labels and tags purchased is $193, with around 219,000 total orders in 2024.

A key contributor to SmartSign's success is its proprietary ecommerce platform. A dedicated IT team works to ensure efficient advertising spend and search engine optimization across 60,000+ keywords that track customer demand in specific use cases. This allows SmartSign to dominate thousands of small niche product categories and be one of the first results when a customer searches for a specific sign or label. SmartSign's websites are designed to be easy to use and offer powerful customization capabilities and a wide range of pre-existing and configurable designs. Once a customer order is received, SmartSign prints to order, which eliminates the need for finished goods inventory, and ships most products within two days.

SmartSign serves more than 750,000 customers annually, with about 70% of revenue from repeat customers who return for their sign, label, and tag needs. SmartSign serves small to midsized businesses and large corporations, including 75% of the Fortune 1000, across hundreds of verticals, including education, healthcare, and industrials. Customers buy updated products from SmartSign whenever they expand, are involved in a merger or acquisition, face a change in regulations, or replace worn-out products. Over the last 10 years, SmartSign has increased its revenue contribution from returning customers from 43% to 70% of annual sales. Customer cohorts are predictable; after their first year, each cohort averages 20% of its first-year revenue in the second year, with only moderate attrition

[1] Excludes sales through third parties (e.g., Amazon and Granger) and signs manufactured for third parties.

after year two. This dynamic creates a growing and predictable customer base and improves the return on customer acquisition costs. Customers who have been repeat customers for more than five years tend to purchase signs every other year and tags and labels every 1.7 years. SmartSign is diversified across customers and end markets, with its largest 10 customers representing less than 1% of revenue in 2024.

SmartSign competes in the $4.4 billion U.S. sign, label, tag, and accessories market, which is expected to grow 6–7% through 2026. The online segment of this market is estimated to be $1.3 billion and is projected to grow 13–14% annually through 2026. Driving this growth is the shift away from traditional catalog and brick-and-mortar dealers and the acceleration of ecommerce. Customers value the convenience, easy customization, lower pricing, and quicker deliveries of online providers, who are also able to update their product assortments to track changing regulations and demand in real time. SmartSign is a disruptive, digital, vertically integrated tech platform with a broad range of customizable SKUs and same-day shipping that is well positioned to continue gaining market share.

Having acquired and integrated five accretive add-ons since 2020, SmartSign has a proven ability to grow through acquisitions. SmartSign's excellent reputation, established platform, entrenched relationships, and breadth of products well position it to further consolidate its fragmented market. Management has developed an actionable list of acquisition targets and is in active discussions with many of them.

Before Sentinel's investment, SmartSign experienced many years of consistent sales and profit growth—especially impressive, it grew revenue every year from 2005 to closing, including in 2008 and 2020. From 2019 to the 12 months ended July 2022, pro forma revenue grew 9.7% annually from $104.5 million to $132.6 million, and adjusted EBITDA grew 11.6% annually, from $21.4 million to $32.3 million.

SmartSign is an asset-light business that generates high free cash flow and produces an impressive return on net invested capital. When we invested, SmartSign employed $11.6 million of tangible capital, which produced an impressive 279.0% return on net invested capital as of the closing.

Investment Rationale

Sentinel invested in SmartSign based on its (i) leadership position in the growing online segment of the custom signs, labels, and tags industry; (ii) high customer retention and recurring revenue; (iii) highly diversified customer base with no concentration; (iv) vertically integrated manufacturing capabilities; (v) proven, disruptive business model; (vi) high margins, strong free cash flow characteristics, and attractive return on invested capital; (vii) opportunity to execute accretive acquisitions; and (viii) well-aligned, capable, and committed management team with a proven record of success.

Transaction Background

SmartSign was previously owned by Norwest Venture Partners ("NVP"). Under NVP's ownership, SmartSign completed four acquisitions, vertically integrating its manufacturing partners. In 2021, having owned SmartSign for three years, NVP hired Robert W. Baird, a midmarket investment bank, to find a partner to acquire the company and support its ambitious growth strategy. Baird, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process as part of a select group of buyers with early access to management. Management and Baird ultimately chose Sentinel because of our relevant experience rapidly scaling business services and manufacturing companies that operate in fragmented industries, the strong chemistry we developed with management, and our ability to close the transaction quickly and on the agreed terms.

On September 7, 2022, Sentinel acquired SmartSign for $385.0 million, or 11.9x trailing 12-month adjusted EBITDA, which is reduced to 10.2x after adjusting for the estimated present value of the tax shield. We consider this an attractive valuation for a fast-growing, vertically integrated ecommerce platform offering specialized, nondiscretionary, high-margin products to attractive end markets.

Total funds required at closing, including transaction expenses and purchase price adjustments, were $406.8 million. To finance the transaction, Sentinel secured a $170.0 million senior credit facility led by Churchill, with Crescent, Manulife, and AEA participating. The senior facility consisted of a $25.0 million revolver, undrawn at closing, and a $145.0 million senior term loan. Sentinel also raised $50.0 million of 10.75% mezzanine financing led by New Canaan ($20.0 million), with Sentinel Junior Capital I ($20.0 million) and GMB ($10.0 million) participating. At the closing, net debt to EBITDA was 5.9x; funded senior net debt to EBITDA was 4.5x; and mezzanine debt to EBITDA was 1.6x.

To complete the transaction, Sentinel led a $211.8 million equity financing, of which the Partnership invested $150.0 million, seller NVP $25.0 million, New Canaan $4.0 million, Sentinel Junior Capital I $4.0 million, GMB $2.0 million, Baird Principal Group $3.0 million, SmartSign's founders $18.0 million, and management $5.8 million. Sentinel established a time-vesting and performance-based incentive unit pool for management and other key employees as an opportunity to participate meaningfully in the upside rewards. The incentive pool represents 15.0% of fully diluted ownership.

Sentinel owns a controlling interest in SmartSign and has the right to designate a majority of the board of directors. Louis Brotherton, Rachel Cantor, and John McCormack are directors. Also serving on the board are SmartSign's founder, a representative from NVP, and a former Sentinel portfolio company executive.

Performance

SmartSign's performance was excellent following the September 2022 closing. SmartSign's growth was driven by strong sales to new and repeat customers, product introductions, and strategic price increases. For the full year, revenue was $141.4 million, up 17.9% over 2021, and EBITDA was $32.7 million, up 22.4%. As of December 31, 2022, SmartSign's total net debt to EBITDA was 5.7x, down from 6.0x at the closing.

In June 2023, SmartSign bought FenceScreen in a $71.0 million transformative acquisition that provided entry into an adjacent market. FenceScreen is an ecommerce retailer and manufacturer of custom screens for fences that provide privacy, windproofing, and soundproofing at construction sites, event venues, sport facilities, and more. These screens, sold through FenceScreen's website, are often mandated by law or local regulations. For the 12 months prior to closing, FenceScreen generated revenue of $25.2 million and adjusted EBITDA of $9.1 million. The $71.0 million purchase price placed a highly accretive 7.8x multiple on the transaction, which was financed with $55.0 million of incremental senior debt from existing lenders and $22.6 million of new equity. The Partnership ($12.9 million) led the equity financing, with Norwest Venture Partners ($2.1 million), Sentinel Junior Capital I ($0.3 million), management ($1.4 million), other existing shareholders ($1.1 million), and the selling shareholder ($5.0 million) participating. The follow-on investment brought the Partnership's total investment in SmartSign to $162.9 million.

SmartSign's performance in 2023 was mixed. SmartSign started the year with strong top-line growth but encountered challenges in the third and fourth quarters. Soon after SmartSign acquired FenceScreen, supply chain delays limited product availability, resulting in missed sales during the peak construction season. In parallel, management moved a manufacturing plant from New York to a larger facility in North Carolina to reduce costs and add capacity. The move did not go smoothly—fewer employees relocated than anticipated, and production issues surfaced when equipment was reinstalled in North Carolina. For the full year, revenue, pro forma for the FenceScreen acquisition, was $172.8 million, up 3.8% over 2022, and EBITDA was $38.5 million, down 7.3%. The revenue increase was driven by stable demand in SmartSign's end markets, offset by lower output at the North Carolina facility. The EBITDA decline was magnified by plant execution issues, coupled with higher advertising spend and planned investments in SG&A. As of December 31, 2023, SmartSign's total net debt to EBITDA was 6.2x, up from 5.8x the prior year.

For SmartSign, 2024 was a transition year. In response to the largely self-inflicted challenges in 2023, SmartSign replaced its CEO with Sentinel operating partner Chris McClain, who had been serving on the board, as permanent CEO. Under Chris's leadership, SmartSign has rebuilt its management team, adding a new CFO, COO, Chief Growth Officer, Chief of Staff, and President of FenceScreen. The original founders helped SmartSign through the changes, and then transitioned to advisory roles at the end of 2024.

Performance for 2024 fell short of plan but stabilized under new leadership in the second half of the year. For the full year, revenue declined 3.0% to $167.6 million, and EBITDA fell 10.6% to $34.5 million. The revenue decrease was driven by lower order volumes across SmartSign's channels, partly offset by higher average order values. The larger EBITDA decline stemmed from operational issues in the North Carolina plant. As of December 31, 2024, SmartSign's total net debt to EBITDA was 6.4x, up from 6.2x the prior year.

Looking ahead, we are optimistic about SmartSign's prospects. With new leadership in place, we anticipate meaningful improvements in overall execution to grow the business. We expect making additional accretive acquisitions in 2025, with one currently under LOI.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	September 2022			
Amount of Initial Investment	$2,801,286	$136,544,157	$10,654,557	$150,000,000
Date of Follow-on Investment	June 2023			
Amount of Follow-on Investment	$240,110	$11,703,785	$913,248	$12,857,143
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.1%	54.6%	4.3%	60.0%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	136,544,157	$1.00	$136,544,157	$0.78	$106,797,569
Class B Units	9,363,028	$1.25	$11,703,785	$0.78	$7,323,262

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,654,557	$1.00	$10,654,557	$0.78	$8,333,427
Class B Units	730,598	$1.25	$913,248	$0.78	$571,435
Sentinel Capital Investors VI, L.P.					
Class A Units	2,801,286	$1.00	$2,801,286	$0.78	$2,191,017
Class B Units	192,088	$1.25	$240,110	$0.78	$150,241

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022	2023	2024
Revenue	$104,472	$110,417	$119,934	$141,350	$172,763	$167,573
Adjusted EBITDA	$21,437	$23,804	$26,714	$32,709	$38,549	$34,458

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$36,475	Current Liabilities	$14,170
PP&E, net	7,601	Long-Term Debt	245,913
Other Assets	364,925	Other Long-Term Liabilities	20,033
		Stockholders' Equity	128,886
Total Assets	$409,002	Total Liabilities and Equity	$409,002

Valuation Rationale

SmartSign made considerable progress in 2024 to regain its momentum. As of December 31, 2024, Sentinel is valuing SmartSign at the same 11.9x EBITDA multiple paid for the business and unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2024, the value of the Partnership's Class A units is $0.78 per share. The total value of the Partnership's holdings as of December 31, 2024 is therefore $125.4 million, for a gross/net multiple of cost of 0.8x/0.7x, down 19.0% from the prior year.

SmartSign Parent, LLC
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$167,573	$167,573	$167,573	$167,573
Trailing 12 Month Adjusted EBITDA	$34,458	$34,458	$34,458	$34,458
Valuation Multiple	**11.9x**	**11.9x**	**11.9x**	**11.9x**
Enterprise Value	$411,310	$411,310	$411,310	$411,310
Less Senior Debt	(195,913)	(195,913)	(195,913)	(195,913)
Less Mezzanine Debt	(50,000)	(50,000)	(50,000)	(50,000)
Plus Cash	14,359	14,359	14,359	14,359
Subtotal	(231,554)	(231,554)	(231,554)	(231,554)
Gross Equity Value	$179,756	$179,756	$179,756	$179,756
Less Class A Redemption Value	($150,143)	($150,143)	($150,143)	($150,143)
Less Class B Redemption Value	($29,613)	($29,613)	($29,613)	($29,613)
Total Remaining Value	$0	$0	$0	$0
Class A Shares Value	$150,143	$150,143	$150,143	$150,143
Class B Shares Value	29,613	29,613	29,613	29,613
Class A Shares Outstanding	191,962,747	191,962,747	191,962,747	191,962,747
Class B Shares Outstanding	37,861,732	37,861,732	37,861,732	37,861,732
Class C Shares Outstanding	11,146,371	11,146,371	11,146,371	11,146,371
Value per Class A Unit	$0.78	$0.78	$0.78	$0.78
Value per Class B Unit	$0.78	$0.78	$0.78	$0.78
Value per Class C Unit	$0.00	$0.00	$0.00	$0.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	136,544,157	10,654,557	2,801,286	150,000,000
# Class B Units owned by SCP VI	9,363,028	730,598	192,088	10,285,714
Value of SCP Class A Units	$106,798	$8,333	$2,191	$117,322
Value of SCP Class B Units	$7,323	$571	$150	$8,045
Value of Investment	**$114,121**	**$8,905**	**$2,341**	**$125,367**
Cost of SCP VI's Investment	$148,248	$11,568	$3,041	$162,857
Times Original Investment SCP VI	0.8x	0.8x	0.8x	0.8x
Original Transaction Multiple (EBITDA)	11.9x	11.9x	11.9x	11.9x

SPECTRUM SAFETY SOLUTIONS, LLC

Company Information

Transaction Summary

Date of Investment	July 2024
Source	Goldman Sachs, J.P. Morgan
Enterprise Value	$1.375 billion
Total Investment	$680.0 million
Class A Units	$660.0 million
Unitranche Term Loan	$20.0 million
Sentinel Capital Partners VII, LP and Affiliates	$440.0 million
Class A Units	$440.0 million
Fully Diluted Ownership	53.7%
Sentinel Capital Partners VI, L.P. Investment	$173.0 million
Class A Units	$173.0 million
Fully Diluted Ownership	21.1%
Sentinel Capital Partners VI-A, L.P. Investment	$13.5 million
Class A Units	$13.5 million
Fully Diluted Ownership	1.6%
Sentinel Capital Investors VI, L.P. Investment	$3.5 million
Class A Units	$3.5 million
Fully Diluted Ownership	0.4%
Sentinel Junior Capital II, LP Investment	$40.0 million
Class A Units	$20.0 million
Unitranche Term Loan	$20.0 million
Fully Diluted Ownership	2.4%
Transaction Multiple of EBITDA	11.1x
Debt as % of Enterprise Value	56.0%
Total Debt/Adjusted EBITDA	6.2x

Business

spectrum SAFETY SOLUTIONS

Spectrum Safety Solutions is a leading manufacturer of branded industrial fire detection and suppression products and services used in mission-critical and high-hazard environments where the risk of injuries or fatalities and/or cost of damage are high. Markets served include oil and gas (28% of 2023 revenue), critical infrastructure (23%), marine and vessel (19%), commercial (15%), power generation and petrochemical (10%), and clean energy (5%). Spectrum's products are sold under the names Autronica, Det-Tronics, Fireye, and Marioff, all of which are highly recognized, premium industrial safety brands known for exceptional performance, reliability, and durability. Headquartered in Stamford, Connecticut, Spectrum has more than 1,400 employees worldwide, with key production facilities and brand headquarters in the United States and Europe.

Descriptions of Spectrum's four fire businesses follow.

Det-Tronics (34.8% of revenue as of closing, 46.3% of EBITDA). Based in Minneapolis, Minnesota and founded in 1973, Det-Tronics is a global manufacturer of flame detection, gas detection, and high-hazard mitigation systems used in rugged environments. Det-Tronics offers a comprehensive range of products to detect flames, combustible gas, toxic gas, and smoke as well as corresponding controllers and communication solutions. Det-Tronics' products are used in upstream (28% of Det-Tronics' revenue), midstream (14%), refining (18%), industrial manufacturing (20%), power generation (11%), clean energy (10%), and marine (1%) end-market verticals. Det-Tronics has strong capture of replacement for its installed base, with 45% of revenue coming from service and aftermarket. Of Det-Tronics' revenue, 45% was from North America, ~33% Europe, ~12% Latin America, and ~10% APAC.

Marioff (32.0% of revenue, 22.4% of EBITDA). Based in Kerava, Finland and founded in 1985, Marioff is an industry-leading provider and manufacturer of high-pressure water mist fire suppression systems. Marioff's water mist solution has many benefits over traditional sprinkler and gaseous and chemical suppression systems, including less property damage post-discharge, favorable environmental considerations, improved safety for occupants, and superior fire suppression characteristics (including on electrical, battery, and grease fires). Marioff systems are used in marine (39% of Marioff's revenue), commercial (28%), data center (13%), industrial manufacturing (12%), and other (8%) end markets. Marioff has strong capture of replacement for its installed base, with service and aftermarket sales contributing 30% of revenue. Of Marioff's revenue, 66% was from Europe, 27% North America, and 6% APAC.

Autronica (22.8% of revenue, 16.8% of EBITDA). Based in Trondheim, Norway and founded in 1957, Autronica is a leading provider of fire, smoke, and gas detection solutions for rugged environments. Autronica offers turnkey systems for numerous applications, including cruise ships, hospitals, liquefied natural gas plants, offshore oil and gas, and offshore wind, and holds many advanced regulatory certifications for harsh environments. Autronica's products are used in commercial (24% of Autronica's revenue), marine and vessels (18%), industrial manufacturing (14%), upstream (14%), refining (5%), food and beverage (5%), and other (17%) end markets. Autronica's installed base has a substantial foothold that drives replacement revenue streams, with 50% of revenue coming from service and aftermarket. Of Autronica's revenue, 81% was from Europe, 12% APAC, and 7% North America.

Fireye (10.4% of revenue, 14.5% of EBITDA). Based in Derry, New Hampshire and founded in 1930, Fireye is the industry leader in flame safeguard controls and burner management systems for commercial and industrial applications. Fireye's products are used in refining (36% of Fireye's revenue), power generation (26%), petrochemicals (20%), combustion management (9%), and industrial manufacturing (8%). Fireye has strong capture of replacement for its installed base, with 46% of revenue coming from aftermarket sales. Of Fireye's revenue, 77% was in North America, 12% Europe, and 11% APAC.

Spectrum serves more than 9,000 customers in 20 countries in Europe, the Middle East, and Africa (collectively representing 53% of revenue); North America (34%); APAC (9%); and Latin America (4%). Spectrum goes to market through distribution channel partners (44% of revenue), direct sales to end users (18%), engineering procurement construction firms (16%), shipyards (15%), and direct sales to OEMs (7%). Spectrum's global installed base of 44,000+ sites drive strong follow-on and recurring revenue—of Spectrum's 2023 revenue, approximately 41% comes from aftermarket products and services and 59% from new product installations.

Spectrum's revenue is well diversified across projects, customers, geographies, and end markets. It fulfills more than 20,000 orders per year, with an average order size of $23,000, and its largest project accounted for 2% of 2023 revenue. Spectrum's top customer and top 10 customers represented 3% and 17% of 2023 revenue.

Spectrum operates in the $3.0–4.0 billion global industry for industrial fire equipment, which spans combustion management, high-pressure water mist suppression, flame and gas detection, and other detection and alarm products. This industry grew at a 7% CAGR in 2020–2023 and is expected to grow at a 6% CAGR through 2028. Key growth drivers include increasing investment in clean energy, the trend toward more and stricter regulations and construction standards, growth in infrastructure spending, replacement demand for noncompliant and outdated products, a shift to high-pressure water mist suppression, and the proliferation of highly flammable battery storage and data centers. Spectrum is well positioned to accelerate growth by capitalizing on these industry tailwinds, cross-selling across brands, and continuing to identify aftermarket opportunities in its large installed base. The industrial fire equipment industry is subject to continuously evolving, increasingly complex regulations and standards that create high barriers to entry and favor industry veterans like Spectrum.

Before Sentinel's investment, Spectrum experienced several years of solid revenue and profit growth. From 2020 to the 12 months ending March 31, 2024, revenue grew from $400.3 million to $553.3 million, a CAGR of 10.5%, and adjusted EBITDA grew from $68.9 million to $123.8 million, a CAGR of 19.7%. Over the same period, aftermarket and service as a percent of total revenue increased from 33% to 41%. Spectrum is an asset-light, non-capital-intensive business that produces strong free cash flow. Spectrum employed $136.1 million of tangible capital and generated $123.8 million of adjusted EBITDA, which produced an impressive 91.0% return on invested capital.

Investment Rationale

Sentinel invested in Spectrum based on (i) favorable industry growth trends fueled by complex regulations and marked by formidable barriers to entry; (ii) its market leadership and the excellent reputations of its brands; (iii) its vast product portfolio safeguarded by intellectual property rights; (iv) strategic buyer interest at elevated valuation multiples across the four businesses significantly increasing the potential for multiple arbitrage by selling the businesses separately; (v) its large installed base, entrenched customer relationships, and growing tail of recurring aftermarket opportunities; (vi) diversity in geography, end markets, and products; (vii) its strong financial momentum and expanding backlog; (viii) its attractive free cash flow conversion and high return on invested capital; and (ix) its experienced, capable senior and brand-level management teams.

Transaction Background

Spectrum's four distinct brands were previously owned by United Technologies Corp. (NYSE:UTX) until April 2020, when UTX divested them as part of its spinoff of Carrier Global Inc. (NYSE:CARR). Because industrial fire was noncore to Carrier, Carrier hired Goldman Sachs and J.P. Morgan in mid-2023 to sell the four businesses as a package. During the sale process, strategic buyers expressed significant interest for Spectrum's individual brands at elevated purchase multiples. With Carrier determined to sell its industrial fire assets as a package and none of the strategic buyers willing to navigate the complexity of carving out all four businesses, Goldman approached a limited field of financial sponsors, including Sentinel, that had expressed interest in the package and were able and willing to tackle a complicated carveout. Carrier and management chose Sentinel due to our experience in industrial products; our proven record with carveouts; our successful 2013 carveout from UTX of IEP Technologies, an analogous industrial fire and explosion detection and suppression business; our strong chemistry with management; and confidence that we would close the transaction quickly and on the agreed terms. Transaction complexity included assessing four businesses in three countries on a shortened time frame, completing detailed standalone cost and separation diligence, and negotiating multiple interim transition services agreements with Carrier to facilitate a smooth post-closing transition to stand up the new business. Sentinel sponsored the transaction, arranged the debt financing, and built in structural flexibility to ultimately sell each of the four businesses separately.

On July 1, 2024, Sentinel acquired Carrier's industrial fire assets for $1.375 billion, creating Spectrum as a new standalone platform. The purchase price represents 11.1x Spectrum's EBITDA for the 12 months ended March 2024, or 10.4x after adjusting for the estimated present value of tax-deductible goodwill. We believe this is a fair purchase multiple for a market leader with industry-leading global brands, strong industry tailwinds, a growing service and aftermarket business, excellent free cash flow, strong strategic buyer interest for each of the four businesses at elevated multiples, and an experienced management team with local brand leadership that is well aligned with Sentinel.

Total funds required at closing, including transaction expenses, cash to the balance sheet, and purchase price adjustments, were $1.485 billion. To finance the transaction, Sentinel secured a $1.035 billion unitranche credit facility led by Blackstone, with KKR, Goldman Sachs, J.P. Morgan, Jefferies, Kohlberg & Company, and Sentinel Junior Capital II ($20.0 million) participating. The unitranche facility consisted of a $150.0 million revolver ($35.0 million drawn at closing), a $150.0 million delayed-draw term loan, and a $735.0 million unitranche term loan, all priced at SOFR+500. At closing, net debt to EBITDA was 5.8x. To complete the transaction, Sentinel led a $715.0 million equity financing, of which Sentinel VII invested $440.0 million, the Partnership $190.0 million, Blackstone $30.0 million, Finback $25.0 million, Sentinel Junior Capital II $20.0 million, and Sentinel GP Holdings $10.0 million. Sentinel established an approximately 12.7% time- and performance-based incentive option pool that gives management and the broader workforce the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in Spectrum and has the right to designate a majority of its board of directors. Eric Bommer, Jim Coady, operating partner James Darby, Josh Garrett, Grant Wilson, and Spectrum's CEO serve as directors.

Performance

Spectrum performed well following the July 2024 closing. For the six months through year-end, revenue was up 2.4% and EBITDA was up 2.0% over the comparable prior-year period. For the full year, pro forma revenue was $579.5million, up 5.9% over 2023, and pro forma EBITDA was $128.3 million, up 4.8%. Autronica and Marioff both experienced double-digit revenue gains in 2024 driven by strong aftermarket revenue and growth in the marine, clean energy, and industrial end markets. EBITDA growth was propelled by higher operating leverage, partly offset by executive hires—a new CFO, director of strategy, and director of M&A—to build out the new standalone's management team. As of December 31, 2024, Spectrum's net debt to EBITDA was 5.4x, down from 5.8x at the July closing.

Looking ahead, we are optimistic about Spectrum, which enters 2025 with a strong backlog. We expect Spectrum to continue its organic growth, fueled by industry tailwinds, market share gains, and a continued focus on aftermarket revenue. Spectrum remains on track to successfully complete the operational elements of its carveout from Carrier by mid-2025 with minimal business disruption. Spectrum also has two small add-ons under LOI at highly accretive multiples.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	July 2024			
Amount of Initial Investment	$3,548,296	$172,955,933	$13,495,772	$190,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.4%	21.1%	1.6%	23.2%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	172,955,933	$1.00	$172,955,933	$1.00	$172,955,933
Sentinel Capital Partners VI-A, L.P.					
Class A Units	13,495,772	$1.00	$13,495,772	$1.00	$13,495,772
Sentinel Capital Investors VI, L.P.					
Class A Units	3,548,296	$1.00	$3,548,296	$1.00	$3,548,296

Financial Information (000's)

	Year Ending December 31,			
	2021	2022	2023	2024
Net Sales	$409,706	$459,158	$547,489	$579,532
Adjusted EBITDA	$70,810	$92,822	$122,477	$128,324

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$288,405	Current Liabilities	$144,324
PP&E, net	22,377	Long-Term Debt	734,421
Other Assets	1,269,527	Other Long-Term Liabilities	5,079
		Stockholders' Equity	696,486
Total Assets	$1,580,309	Total Liabilities and Equity	$1,580,309

Valuation Rationale

Spectrum performed on plan in its first six months under Sentinel ownership. Because the transaction closed in July, we are carrying the investment at cost, or $1.00 per Class A unit. After adjusting for net debt outstanding as of December 31, 2024, this results in an 11.3x EBITDA multiple, up from 11.1x at closing due to the impact of closing transaction costs. The total value of the Partnership's holdings in Spectrum as of December 31, 2024 is therefore $190.0 million, unchanged from closing.

Spectrum Safety Solutions Purchaser, LLC
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenue	$579,532	$579,532	$579,532	$579,532
Trailing 12 Month Adjusted EBITDA	$128,324	$128,324	$128,324	$128,324
Valuation Multiple	**11.3x**	**11.3x**	**11.3x**	**11.3x**
Enterprise Value	$1,452,637	$1,452,637	$1,452,637	$1,452,637
Less: Total Debt	(746,505)	(746,505)	(746,505)	(746,505)
Less: One Time Standalone Costs	(30,000)	(30,000)	(30,000)	(30,000)
Plus: Cash	59,642	59,642	59,642	59,642
Less: TTM Average Working Capital	(123,728)	(123,728)	(123,728)	(123,728)
Plus: Actual Working Capital	106,538	106,538	106,538	106,538
Subtotal	(734,053)	(734,053)	(734,053)	(734,053)
Gross Equity Value	$718,584	$718,584	$718,584	$718,584
Value of Class A Equity	715,000	715,000	715,000	715,000
Value of Class B Equity	3,584	3,584	3,584	3,584
Value of Class C Equity	0	0	0	0
Value of Class D-1 Equity	0	0	0	0
Value of Class D-2 Equity	0	0	0	0
# Class A Units Outstanding	715,000,000	715,000,000	715,000,000	715,000,000
# Class B Units Outstanding	3,584,000	3,584,000	3,584,000	3,584,000
Value per Class A Unit	$1.00	$1.00	$1.00	$1.00
Value per Class B Unit	$1.00	$1.00	$1.00	$1.00
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	172,955,933	13,495,772	3,548,296	190,000,000
Value of SCP Class A Units	$172,956	$13,496	$3,548	$190,000
Value of Investment	**$172,956**	**$13,496**	**$3,548**	**$190,000**
Cost of SCP VI's Investment	$172,956	$13,496	$3,548	$190,000
Times Original Investment SCP VI	1.0x	1.0x	1.0x	1.0x
Original Transaction Multiple (EBITDA)	11.1x	11.1x	11.1x	11.1x

SPL[1]

Company Information

Transaction Summary

Date of Investment	April 2022
Source	BlackArch Partners
Enterprise Value	$250.0 million
Total Investment	$95.4 million
Class A Units	$91.6 million
Class B Units	$1.1 million
Class C Units	$2.7 million
Sentinel Capital Partners VI, L.P. Investment	$77.4 million
Class A Units	$77.4 million
Fully Diluted Ownership	71.0%
Sentinel Capital Partners VI-A, L.P. Investment	$6.0 million
Class A Units	$6.0 million
Fully Diluted Ownership	5.5%
Sentinel Capital Investors VI, L.P. Investment	$1.6 million
Class A Units	$1.6 million
Fully Diluted Ownership	1.5%
Sentinel Junior Capital I, L.P. Investment	$23.0 million
Class A Units	$3.0 million
Subordinated Debt	$20.0 million
Fully Diluted Ownership	2.8%
Transaction Multiple of EBITDA	8.6x
Debt as % of Enterprise Value	68.7%
Total Debt/EBITDA	5.9x

Business

Headquartered in Houston, Texas, SPL provides testing, inspection, and certification services for oil and gas, industrial, municipal, and environmental services customers in the United States. SPL's core end markets are the upstream (representing 42% of revenue) and midstream (28%) oil and gas markets, with a growing emphasis on downstream finished products (5%) and environmental and water testing (25%). SPL operates more than 30 testing and servicing facilities that serve more than 1,700 customers. SPL's labs analyze approximately 300,000 samples annually to test the physical and chemical composition of hydrocarbons, lubricants, water, and soil. SPL employs more than 200 trained technicians who inspect, install, and maintain field measurement systems for customers. As of closing, nearly 80% of SPL's revenue was from recurring services (lab testing, inspection services, and digital services), and 90% of gross profit was recurring.

[1] Legal name: Energy Labs Holdings Corp.

Descriptions of SPL's business segments follow.

Energy Laboratory Testing (41% of sales, 49% of gross profit). Energy testing labs test and certify the physical and chemical composition of hydrocarbons, fuels and lubricants, and other materials. SPL performs about 1,500 unique testing protocols through more than 120 technicians in 15 lab facilities. SPL analyzes more than 300,000 samples annually, and the average ticket is $90. SPL's energy lab testing services are mission-critical for its customers, both for regulatory compliance and to verify product characteristics. Testing requirements are heavily influenced by federal and state regulations, and many tests are required monthly, quarterly, or semiannually. Regular and recurring testing helps minimize product contamination and methane leakage from pipelines and maximizes the quality of finished products. Importantly, each time hydrocarbon products change hands, customers test them to verify chemical characteristics.

Environmental Laboratory Testing (25% of sales, 23% of gross profit). SPL's environmental labs cover a wide spectrum of needs, from assessing water and soil quality to analyzing air emissions. The 4 lab facilities perform hundreds of unique tests for more than 1,000 industrial, municipality, and environmental service customers. Environmental testing is driven by federally mandated standards and stringent state and municipal regulations. Prompt turnaround time for water testing is imperative to customers because government authorities can impose shutdowns for delinquent reporting. For SPL, environmental lab testing is a meaningful growth avenue.

Metrology and Other Energy Services (34% of sales, 28% of gross profit). The metrology segment is split between (i) the sale, installation, and maintenance of devices such as flow meters (9% of total sales), (ii) recurring inspection and measurement services for those devices (19% of sales), and (iii) hydrocarbon production process certification and analysis (6% of sales). Devices sold typically cost ~$5,000 and must be replaced every five to seven years. With regular servicing needs during their operational lifetime, devices provide a long tail of service revenue and a meaningful installed base for replacement. The metrology segment serves nearly 750 customers through more than 200 highly trained technicians. Services such as device replacement, repair, calibration, and general maintenance are performed onsite by technical field technicians, helping customers avoid costly downtime or inaccurate data.

SPL is diversified across services, customers, and geographies. More than 80% of SPL's revenue comes from recurring services (energy and environmental lab testing, metrology services, and digital services), and more than 90% of gross profit is recurring. SPL's largest customer represented 6% of revenue in 2021, and its top 10 customers, 32%. SPL has developed strong, longstanding relationships with its clients—nine of its 10 largest customers have been with SPL for 10 years or longer, and all 10 use more than one service line.

SPL's 30+ locations throughout the United States give it the geographic scale to service large nationals and the flexibility to effectively service smaller regional customers. SPL's sales by geography are aligned with U.S. oil and gas basins; as of closing, it derived 22% of revenue from South Texas, 21% from New Mexico/West Texas, 12% from the Gulf of Mexico, 10% from offshore, 6% from the Rocky Mountains, and 4% from the Dakotas, Montana, and Wyoming. The remaining 25% of revenue is multiregional without specific geographic allocation. SPL's national presence and comprehensive service offering make it a one-stop shop for customers.

SPL operates in the $3.8 billion energy TIC services market, made up of production and gathering ($1.7 billion), transportation ($450 million), and refined and finished products ($1.7 billion). SPL's water testing and ancillary markets are estimated to be $1.7 billion, consisting of ESG consulting and auditing

($750 million), methane emissions ($500 billion), other emissions measurement ($250 million), and water and biofuels testing ($250 million).

SPL has expanded its service offerings outside of upstream oil and gas TIC services and into adjacent markets through acquisition and organic growth initiatives. SPL has also expanded its end markets organically by providing customers TIC services for air testing, methane emission detection, and finished products, such as transformer oils and jet fuels. These adjacent markets offer an exciting growth opportunity for SPL.

SPL has emerged as an acquiror of choice in its highly fragmented market. From 2015 through closing, SPL had acquired and successfully integrated six accretive add-ons at an average purchase multiple of 5.7x. SPL's excellent reputation, established platform, entrenched relationships with blue-chip customers, and breadth of services position it to execute additional accretive add-ons. As of the closing, SPL had a robust pipeline of actionable small and midsized acquisition targets that could further expand its service offering, footprint, customer base, and talent pool.

Before the pandemic, SPL experienced several years of impressive sales and profit growth. From 2018 to 2019, revenue grew 10.8% from $114.2 million to $126.5 million, and adjusted EBITDA grew 14.8%, from $25.6 million to $29.4 million. In 2020, the energy market suffered unprecedented declines when shelter-in-place restrictions resulted in a dramatic decline in travel and less demand for oil and gas. From 2019 to 2020, SPL's revenue declined 20.0%, and EBITDA, 11.4%. In 2021, SPL bounced back, with annual revenue up 8.3% over 2020 and EBITDA up 11.7%. Overall, from 2018 to 2021, SPL's EBITDA grew at a CAGR of 3.8%. SPL is an asset-light business that generates high free cash flow and produces an impressive 107.0% return on net invested capital.

Investment Rationale

Sentinel invested in SPL based on (i) its market leadership, particularly in lab testing for the upstream oil and gas market; (ii) favorable industry trends in TIC services; (iii) steady demand driven by increasing regulatory requirements; (iv) the essential, nondiscretionary, and recurring nature of its service offerings; (v) its ability to expand into new adjacent markets, such as water testing and related environmental services; (vi) its limited customer and service concentration; (vii) the opportunity to make accretive add-ons; (viii) its strong financial momentum, attractive EBITDA margins, free cash flow, and return on invested capital; and (ix) its deep, highly experienced, and committed management team, who invested meaningfully alongside Sentinel.

Transaction Background

SPL was previously owned by private equity firm Industrial Growth Partners. In late 2019, having owned SPL for about three years, Industrial Growth Partners hired midmarket investment bank BlackArch Partners to manage a sale. BlackArch, with whom Sentinel has worked on many buyside and sellside transactions, invited Sentinel into the process. When the pandemic struck in early 2020, the sale process was put on hold. As the pandemic subsided, the sale process was restarted with fewer buyers, Sentinel still among them. Industrial Growth Partners and management chose Sentinel because of our experience investing in service businesses, the strong chemistry we developed with management, our record of helping similar businesses scale rapidly through acquisitions, and BlackArch's trust and confidence that we would close a transaction quickly and on the agreed terms.

On April 6, 2022, Sentinel acquired SPL for a purchase price of $250.0 million, or 8.6x adjusted EBITDA. Adjusting for the estimated present value of tax-deductible goodwill reduces the purchase multiple to 8.4x. We believe this is an attractive valuation for a niche-market leader with a clearly defined organic and acquisition growth strategy, strong financial profile, high level of recurring revenue, and talented and committed management team.

Total funds required at closing, including transaction expenses and purchase price adjustments, were $267.2 million. To finance the transaction, Sentinel secured a $124.0 million senior credit facility led by MidCap, with AEA, Bank of Ireland, Morgan Stanley, and Varagon participating, consisting of (i) a $20.0 million revolver, of which $3.7 million was drawn at closing, (ii) a $124.0 million senior term loan, and (iii) a $15.0 million delayed-draw term loan. Sentinel also raised $44.0 million of 10.5% mezzanine financing from Newstone Capital ($24.0 million) and Sentinel Junior Capital I ($20.0 million). At the closing, total net debt to EBITDA was 5.9x; funded senior net debt to EBITDA was 4.4x; and mezzanine debt to EBITDA was 1.5x.

To complete the transaction, Sentinel structured a $95.4 million equity financing, of which the Partnership invested $85.0 million, Newstone Capital $3.6 million, Sentinel Junior Capital I $3.0 million, and management $3.8 million. Sentinel established a 12.5% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Sentinel owns a controlling interest in SPL and has the right to designate a majority of its board of directors. Scott Perry and Cameron Smith serve as directors.

Performance

SPL performed well from the April 2022 closing through the end of 2022. Revenue was $127.6 million, up 14.4% from the closing, and EBITDA was $32.8 million, up 11.4%. Sales growth was driven by strong performance across the lab and metrology segments, fueled by the rebound of global demand for oil and gas and from strategic pricing initiatives SPL implemented post-closing. EBITDA growth resulted from higher revenue volume, partly offset by increasing input and labor costs and a less favorable mix of products and services. As of December 31, 2022, total net debt to EBITDA was 5.2x, down from 5.9x at closing.

SPL made good progress in 2023, completing two add-ons—Ana-Lab, a Texas-based environmental lab testing business; and Volumetrics, a Wyoming-based hydrocarbon testing business. For the 12 months prior to their closings, the two add-ons generated $24.9 million of revenue and adjusted EBITDA of $4.5 million. The $19.9 million combined purchase price represents an accretive 4.4x multiple of adjusted EBITDA. SPL financed the acquisitions with cash on hand and existing revolver capacity.

SPL's performance in 2023 was strong. During the year, SPL made a strategic decision to deemphasize its low-margin metrology segment and focus its growth initiatives on higher-margin lab services. This produced a modest year-over-year 4.1% drop in revenue to $145.3 million, but EBITDA, pro forma for the two add-ons, rose to $41.2 million, up 13.2% from 2022. For the year, SPL's lab testing revenue produced strong growth, fueled in part by price increases. EBITDA growth was further enhanced by headcount reductions and facility closures in its deemphasized segments. SPL also continued to generate strong free cash flow. As of December 31, 2023, total net debt to EBITDA was 4.3x, down from 5.2x the prior year.

In 2024, SPL made solid progress building its environmental lab segment, acquiring two lab testing businesses—DHL, based in Texas, and Suburban Testing Labs, in Pennsylvania—that together generated $16.9 million of revenue in the 12 months pre-closing and $2.2 million of adjusted EBITDA. The $14.5 million combined purchase price represents an accretive 6.6x EBITDA multiple and was financed with cash on hand and $10.0 million of senior debt from existing lenders.

SPL's overall performance in 2024 was disappointing. Pro forma for the full-year impact of the two 2024 add-ons, revenue was $143.3 million, down 1.3% from 2023, and EBITDA was $36.1 million, down 12.5%. Management had planned for soft sales because of SPL's strategic initiative to deprioritize elements of the metrology segment, but unplanned losses of metrology customers driven by employee turnover and slow responses to competitive pricing resulted in larger declines than expected. Wage inflation in the lab testing segment exacerbated the EBITDA decline. As of December 31, 2024, total net debt to EBITDA was 5.3x, up from 4.3x the prior year.

At the outset of the investment, we planned a CEO succession. With SPL's largely self-inflicted underperformance in 2024, we accelerated our timeline. In March 2025, SPL appointed as new CEO Colin Duncan, a seasoned executive with nearly 20 years of experience leading technical services companies. Mr. Duncan has proven experience managing through different economic environments, integrating acquisitions, and navigating private equity exits.

Despite a disappointing 2024, our outlook is optimistic. The worst of the self-inflicted problems are behind, and with new, energized leadership in place, SPL can capitalize on its robust environmental lab acquisition pipeline and continue building operational scale and efficiency.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	April 2022			
Amount of Initial Investment	$1,587,395	$77,375,022	$6,037,582	$85,000,000
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	1.4%	69.5%	5.4%	76.3%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	77,375,022	$1.00	$77,375,022	$1.20	$92,626,542
Sentinel Capital Partners VI-A, L.P.					
Class A Units	6,037,582	$1.00	$6,037,582	$1.20	$7,227,582
Sentinel Capital Investors VI, L.P.					
Class A Units	1,587,395	$1.00	$1,587,395	$1.20	$1,900,269

Financial Information (000's)

	Year Ending December 31,					
	2019	2020	2021	2022	2023[1]	2024[1]
Revenue	$126,531	$101,255	$108,298	$127,561	$145,298	$143,448
Adjusted EBITDA	$29,419	$26,070	$28,627	$32,771	$41,243	$36,094

Balance Sheet as of December 31, 2024

Assets		Liabilities	
Current Assets	$38,821	Current Liabilities	$18,574
PP&E, net	27,851	Long-Term Debt	223,531
Other Assets	208,674	Stockholders' Equity	34,241
Total Assets	$276,346	Total Liabilities and Equity	$276,346

Valuation Rationale

SPL's performance for 2024 was below plan. As of December 31, 2024, Sentinel is valuing SPL at the same 8.6x EBITDA we paid for the business, unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2024, we are valuing the Partnership's Class A units at $1.20 per unit. As of December 31, 2024, the total value of the Partnership's holdings is therefore $101.8 million, for a gross/net multiple of cost of 1.2x/1.1x, down 31.4% from the prior year.

[1] Includes the full-year impact of add-ons made in the year.

SPL (a/k/a Energy Labs Holdings Corp.)
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Adjusted Revenu	$143,448	$143,448	$143,448	$143,448
Trailing 12 Month Adjusted EBITD/	$36,094	$36,094	$36,094	$36,094
Valuation Multiple	**8.6x**	**8.6x**	**8.6x**	**8.6x**
Enterprise Value	$309,958	$309,958	$309,958	$309,958
Less Senior Debt	(150,079)	(150,079)	(150,079)	(150,079)
Less Revolver	0	0	0	0
Less Capital Leases	(1,728)	(1,728)	(1,728)	(1,728)
Less Mezzanine Debt	(44,000)	(44,000)	(44,000)	(44,000)
Plus Cash	3,911	3,911	3,911	3,911
Net Debt	(191,896)	(191,896)	(191,896)	(191,896)
Gross Equity Value	$118,061	$118,061	$118,061	$118,061
Class A Equity Value	$110,211	$110,211	$110,211	$110,211
Class B Equity Value	3,578	3,578	3,578	3,578
Class C Equity Value	3,286	3,286	3,286	3,286
Class D Equity Value	986	986	986	986
Class A Units Outstanding	92,065,000	92,065,000	92,065,000	92,065,000
Class B Units Outstanding	2,989,238	2,989,238	2,989,238	2,989,238
Class C Units Outstanding	2,744,856	2,744,856	2,744,856	2,744,856
Class D Units Outstanding	5,003,903	5,003,903	5,003,903	5,003,903
Value per Class A Unit	$1.20	$1.20	$1.20	$1.20
Value per Class B Unit	$1.20	$1.20	$1.20	$1.20
Value per Class C Unit	$1.20	$1.20	$1.20	$1.20
Value per Class D Unit	$0.20	$0.20	$0.20	$0.20
SCP VI Investment Valuation				
# Class A Units owned by SCP VI	77,375,022	6,037,582	1,587,395	85,000,000
Value of SCP Class A Units	$92,626	$7,228	$1,900	$101,753
Value of Investment	**$92,626**	**$7,228**	**$1,900**	**$101,753**
Cost of SCP VI's Investment	$77,375	$6,038	$1,587	$85,000
Times Original Investment SCP VI	1.2x	1.2x	1.2x	1.2x
Original Transaction Multiple (EBIT	8.6x	8.6x	8.6x	8.6x

TRIMECH ACQUISITION CORPORATION

Company Information

Transaction Summary

Date of Original Investment	March 2022
Source	Proprietary
Enterprise Value	$430.6 million
Total Investment	$235.8 million
Class A Units	$225.3 million
Class B Units	$10.5 million
Sentinel Capital Partners VI, L.P. Investment	$132.0 million
Class A Units	$132.0 million
Fully Diluted Ownership	50.4%
Sentinel Capital Partners VI-A, L.P. Investment	$10.3 million
Class A Units	$10.3 million
Fully Diluted Ownership	3.9%
Sentinel Capital Investors VI, L.P. Investment	$2.7 million
Class A Units	$2.7 million
Fully Diluted Ownership	1.0%
Sentinel Junior Capital I, L.P. Investment	$20.4 million
Class A Units	$3.4 million
Subordinated Debt	$17.0 million
Fully Diluted Ownership	1.3%
Transaction Multiple of EBITDA	12.4x
Debt as % of Enterprise Value	51.1%
Total Debt/Adjusted EBITDA	6.3x

Solid Solutions Group Acquisition

Date of Investment	June 2022
Source	Proprietary
Enterprise Value	$208.3 million
Total Investment	$79.2 million
Class B Units	$79.2 million
Sentinel Capital Partners VI, L.P. Investment	$20.1 million
Class B Units	$20.1 million
Fully Diluted Ownership	43.5%
Sentinel Capital Partners VI-A, L.P. Investment	$1.6 million
Class B Units	$1.6 million
Fully Diluted Ownership	3.4%
Sentinel Capital Investors VI, L.P. Investment	$0.4 million
Class B Units	$0.4 million
Fully Diluted Ownership	0.9%
Sentinel Junior Capital I, L.P. Investment	$4.4 million
Class B Units	$1.4 million
Subordinated Debt	$3.0 million
Fully Diluted Ownership	1.4%

Sentinel's investment began with the acquisition of TriMech in March 2022. During the diligence process, Sentinel learned about management's longstanding relationship with Solid Solutions Group ("SSG"), a similar-sized and highly complementary business in the United Kingdom. In June 2022, about three months after acquiring TriMech, the Partnership purchased SSG and combined the two businesses in a highly transformative transaction.

Headquartered in Richmond, Virginia, TriMech is a service business that supplies computer-aided design ("CAD") software and computer-aided manufacturing ("CAM") software and solutions to design engineers throughout the central and eastern United States and Canada together with associated training and consulting services. TriMech does not develop software—instead, it is a value-added reseller for leading software OEMs, including SolidWorks, Dassault Systèmes, and SolidCam. TriMech also sells and services 3D printing hardware for Stratasys, Artec3D, and other OEMs. Through its Richmond, Virginia headquarters and 35 regional sales and customer support offices, TriMech serves more than 12,000 North American customers across diverse end markets, including aerospace and defense, consumer, government, healthcare, industrials, and technology. TriMech has no customer concentration—its largest customer represents less than 1.5% of revenue.

Descriptions of TriMech's business segments follow.

Application 3D CAD Software (69% of sales and 65% of gross profit at closing). TriMech is one of the largest resellers of 3D design simulation and data management software in North America. Through partnerships with SolidWorks, Dassault Systèmes, SolidCam, and other OEMs, TriMech sells software used for design, visualization, and simulation during product development cycles as well as for complex, compliance-intensive visualization and simulation used in heavy-duty product design applications.

Additive Manufacturing Hardware (14% of sales and 11% of gross profit). TriMech partners with select OEMs, including Stratasys, ExOne, and Origin, to sell and service best-in-class 3D printers and scanners. These products are used in applications ranging from product development to prototyping and short-run production manufacturing. TriMech also sells the consumable materials needed to support these processes and provides the ongoing maintenance services and support for the hardware.

Training, Implementation, and Engineering Services (9% of sales and 17% of gross profit). TriMech provides support services to its clients after their initial purchase of software or hardware. These services include implementation services (such as product installation, ensuring data integrity, and ongoing training) and engineering services, where TriMech applies its product knowledge and technical expertise to help clients develop proprietary products.

Staff Augmentation Services (5% of sales and 4% of gross profit). TriMech offers outsourced staffing and recruiting services to its clients, seeking to connect highly skilled and experienced engineers with temporary, temporary-to-permanent, and permanent placement openings. This segment helps customers supplement their workforce with individuals experienced in the suite of products that TriMech sells.

Advanced Manufacturing Services (2% of sales and 3% of gross profit). TriMech provides customers with the benefits of 3D printing capabilities on an outsourced basis. At its facilities in Connecticut and Canada, TriMech offers outsourced engineering and design services that allow customers to conduct prototyping and short-run production manufacturing.

Of TriMech's total gross profit, 65% consists of recurring products (software maintenance and 3D printing consumables), 24% comes from recurring services (training, staff augmentation, and advanced manufacturing), and 11% from product sales (software licenses, 3D printers, and 3D scanners). The software TriMech sells is mission-critical for its customers, and TriMech's software maintenance subscriptions renew at an industry-leading rate of 94%, providing both a highly predictable and steady growth platform as new customers mature and downside protection because most of its profit comes from recurring revenue.

TriMech has dedicated considerable resources over the last several years to develop its in-house acquisition capabilities. In the 12 months before closing, TriMech completed nine highly accretive add-ons, which significantly diversified its product/service offering, client base, and geographic footprint. In 2021, TriMech acquired Javelin Technologies, which allowed TriMech to expand into Canada, further build out its web presence, add an experienced chief services officer, and bolster its North American relationship with SolidWorks.

Before Sentinel's investment, TriMech experienced several years of solid financial performance. Pro forma for all acquisitions, from 2019 to the 12 months ended November 30, 2021, net revenue grew from $166.5 million to $183.7 million, a CAGR of 5.0%, and EBITDA grew from $26.3 million to $34.7 million, a CAGR of 14.8%.

The June 2022 combination of TriMech and SSG was transformative. Founded in 1998 and headquartered in Leamington Spa, England, SSG is almost a clone of TriMech that operates only in the U.K. and Ireland. SSG provides software, support, and training to thousands of engineers, designers, and manufacturing companies. SSG's product offering includes SolidWorks solutions; computer-aided manufacturing; and a comprehensive portfolio of Dassault solutions, including CATIA, Dassault's 3DEXPERIENCE platform, and its full line of product data management and simulation tools. Through 22 sales offices, SSG serves more than 10,000 product designers, mechanical engineers, manufacturers, educational institutions, and other customers, with its software supporting a broad range of products across diverse end markets and industries.

Descriptions of SSG's business segments follow.

Application 3D Design Software (83% of sales and 80% of gross profit at closing). SSG is the largest reseller of 3D design simulation and data management software in the U.K. and Ireland. Through partnerships with SolidWorks, Dassault Systèmes, and other OEMs, SSG sells software used for design, visualization, and simulation during product development cycles as well as highly complex, compliance-intensive visualization and simulation used in heavy-duty design applications.

Additive Manufacturing Hardware (10% of sales and 5% of gross profit). SSG partners with select OEMs, including Formlabs, Ultimaker, Sindoh, and Markforged, to sell and service best-in-class 3D printers and scanners. These products are used in product development and prototyping applications. SSG also sells the consumable materials needed to support these applications and provides the ongoing maintenance services and support for the hardware.

Training, Implementation, and Engineering Services (8% of sales and 15% of gross profit). SSG provides support services to its clients after their initial purchase of software or hardware. These include implementation services that range from product installation to ensuring data integrity, ongoing training, and engineering services, where SSG applies its product knowledge and technical expertise to help clients develop proprietary products.

Over the three years leading up to SSG's acquisition by TriMech, SSG generated strong sales and profit growth. Pro forma for all acquisitions, from 2019 to the 12 months ended March 31, 2022, net revenue grew from $76.7 million to $98.8 million, a CAGR of 11.9%, and adjusted EBITDA increased from $15.8 million to $24.3 million, a CAGR of 21.0%.

The combination of TriMech and SSG diversifies and expands the platform's customer base and geographic reach. With no geographic overlap between the two businesses and no risk of cannibalization, a significant opportunity exists to cross-sell and develop new products and services across the greatly expanded customer network. Also, the scale and breadth of the combined business's offerings make TriMech an acquiror of choice in North America and Europe. Pro forma for the combination, Application 3D Design Software represented 74% of revenue; Additive Manufacturing Hardware, 13%; Training, Implementation, and Engineering, 9%; Staff Augmentation, 3%; and Advanced Manufacturing Services, 2%.

TriMech operates in the $10 billion global CAD software and 3D manufacturing solutions markets, which are projected to grow 7% annually through 2030. Growth is driven by companies' increasing use of CAD software for product development and more advanced design applications. TriMech has attractive growth opportunities through new offerings such as CAM software, a $2.7 billion market expected to grow at a CAGR of 8.4% to reach $5.5 billion in 2028. The global 3D printing market is estimated to be $14.0 billion and is projected to grow at 21% annually through 2030, driven by shortened product development life cycles, custom manufacturing, and new 3D printing materials that are better than traditional resin.

The combination is an asset-light, non-capital-intensive business that produces excellent free cash flow and a high return on invested capital. With adjusted working capital of negative $1.4 million and net PP&E of $3.7 million, the combination employed $2.4 million of net tangible capital and generated $60.7 million of adjusted EBITDA for the 12-month period ended March 31, 2022, which yielded a robust 2,500%+ return on net invested capital.

Investment Rationale

Sentinel invested in TriMech and SSG based on (i) the combination's leading market position across 3D design software and additive manufacturing products; (ii) favorable industry growth trends; (iii) its highly recurring revenue model; (iv) its expansive and diverse customer base, end markets, and geographies; (v) the opportunity to grow through accretive add-on acquisitions in both North America and Europe; (vi) its attractive free cash flow conversion and high return on invested capital; and (vii) its highly experienced, committed management team and deep bench of employees, who invested meaningfully alongside Sentinel.

Transaction Background

In late 2021, impressed by what we learned during an auction for a TriMech competitor in which we were the cover bidder, Sentinel sought another platform in the engineering software services space. We approached private equity firm The Halifax Group about a proprietary transaction to acquire TriMech, which Halifax had owned for approximately two years. Halifax was receptive, and Sentinel secured and sponsored the transaction. Based on our longstanding relationship with Halifax (we sold them Interim Healthcare in 2012), our experience with services businesses, and our record of helping similar businesses scale rapidly through accretive acquisitions, Halifax chose to roll over $30.0 million of its proceeds alongside the Partnership.

SSG was previously owned by its management and U.K. minority private equity firm and minority investor LDC. We reached an agreement to acquire SSG prior to closing TriMech, in large part because of the relationship TriMech and Sentinel developed with SSG, Sentinel's track record, and our ability to integrate and scale businesses of similar size. Thirteen members of SSG's team invested $18.4 million alongside Sentinel and the TriMech team.

Sentinel acquired TriMech for $430.6 million, or 12.4x trailing 12-month adjusted EBITDA. In addition, a contingent earnout of up to $20.0 million will be paid to Halifax if certain performance hurdles are met. Total funds required at closing, including transaction expenses and purchase price adjustments, were $464.1 million. To finance the transaction, Sentinel secured $165.0 million of senior debt led by Antares, with Maranon, HPS, Manulife, and Varagon participating, and $52.0 million of 10.5% mezzanine debt led by AEA ($17.5 million) and Audax ($17.5 million), with Sentinel Junior Capital I ($17.0 million) participating on the same terms. At the closing, total net debt to EBITDA was 6.2x, senior net debt to EBITDA was 4.8x, and mezzanine debt to EBITDA was 1.5x.

To complete the TriMech platform transaction, Sentinel led a $235.6 million equity financing, of which the Partnership invested $145.0 million, three Sentinel LPs $39.9 million (AlpInvest $13.3 million, HarbourVest $13.3 million, and Pantheon $13.3 million), Halifax $30.0 million in a rollover, AEA Mezzanine $3.5 million, Audax Mezzanine $3.5 million, Sentinel Junior Capital I $3.4 million, and TriMech management $10.3 million. Sentinel established a 10.0% time- and performance-based incentive option pool that gives management the opportunity to participate meaningfully in future upside rewards.

Fifteen weeks after the acquisition of TriMech, Sentinel acquired SSG for $208.3 million, a highly accretive 8.6x trailing 12-month adjusted EBITDA multiple. Total funds required at closing, including transaction expenses, closing adjustments, and excess cash, were $248.8 million. To finance the transaction, Sentinel raised an incremental term loan of $115.2 million on the same terms as the original TriMech financing. Antares arranged the financing, with HPS and Bank of Ireland participating. Sentinel also raised an incremental $39.0 million of 10.5% mezzanine debt led by AEA Mezzanine ($11.0 million) and Audax Mezzanine ($25.0 million), with Sentinel Junior Capital I ($3.0 million) participating on the same terms.

To complete the transaction, Sentinel led a $79.2 million follow-on equity financing, of which the Partnership invested $22.1 million, the three Sentinel LPs $19.5 million (Alpinvest $6.5 million, HarbourVest $6.5 million, and Pantheon $6.5 million), Halifax Partners $6.8 million, AEA Mezzanine $2.9 million, Audax Mezzanine $5.8 million, Sentinel Junior Capital I $1.4 million, other coinvestors $0.3 million, TriMech management $1.9 million, and SSG management $18.4 million. The follow-on investment brought the total equity investment in TriMech to $315.0 million, of which the Partnership invested $167.1 million.

The combined purchase price of $658.9 million (including a $20.0 million earnout) represented 11.2x trailing 12-month adjusted EBITDA. At the closing, net debt to pro forma adjusted EBITDA was 5.9x; funded senior debt to EBITDA was 4.7x; and mezzanine debt to EBITDA was 1.5x.

Sentinel owns a controlling interest in TriMech and has the right to designate a majority of the board of directors. John McCormack, Scott Perry, and Erika Stanford are directors. Also serving on the board are the CEO of TriMech and a representative from Halifax Group.

Performance

For TriMech, 2022 was highly productive. Besides the transformational SSG acquisition, in July 2022, TriMech acquired Majenta Solutions, a design software solutions business, further solidifying its leading position in the U.K. For the 12 months ending May 31, 2022, Majenta generated $7.1 million of revenue and $1.2 million of EBITDA. The purchase price, funded with cash on hand, was $4.8 million, representing a highly accretive 4.0x EBITDA multiple.

In the nine months after the Partnership's initial investment, TriMech performed well. Revenue for TriMech's base business was $194.8 million, up 6.9% from 2021, and EBITDA was $35.0 million, up 1.3%. The revenue increase was driven by strong performance across the application software and enterprise software segments, fueled by growth in multi-year contract renewals. EBITDA growth resulted from higher revenue flow-through but was partly offset by higher payroll costs. Revenue for SSG was $108.9 million, up 1.2% from 2021, and EBITDA was $27.3 million, up 6.1%. SSG's financial results were negatively impacted by the depreciation of the British pound in 2022. On a constant-currency basis, revenue for SSG was up 12.3% from 2021, and EBITDA was up 17.0%. The revenue increase was driven by strong performance in enterprise software. EBITDA growth resulted from higher revenue flow-through and lower operating costs. As of December 31, 2022, pro forma for TriMech, SSG, and Majenta, total revenue was $303.6 million, up 5.4% over 2021, and EBITDA was $62.3 million, up 3.4%. As of December 31, 2022, TriMech's net debt to EBITDA was 5.6x, down from 6.2x at the closing.

TriMech was productive in 2023, completing five accretive acquisitions and adding new strategic business lines to its U.K. platform. For the 12 months prior to their closings, the five add-ons generated $21.7 million of revenue and adjusted EBITDA of $3.4 million. The $17.3 million combined purchase price represents an accretive 5.1x EBITDA multiple. TriMech financed the add-ons with cash on hand and existing revolver capacity.

As part of integrating TriMech's U.S. platform with its transformative 2022 U.K. acquisition of Solid Solutions Group, in May 2023, Sentinel appointed Alan Sampson, the CEO and founder of the U.K. business, to global CEO. Mr. Sampson is a 25-year veteran of the CAD industry with proven experience leading teams, managing different economic environments, and integrating acquisitions. The management transition has proceeded well.

For TriMech, 2023 was slightly below plan. Pro forma for the full-year impact of the five 2023 add-ons, revenue was $324.8 million, up 3.4% from 2022, and EBITDA was $64.0 million, down 1.1%. Revenue growth was driven by strong performance in enterprise software, additive manufacturing services, and training and consulting in both the U.S. and U.K. The small EBITDA decline was the result of higher operating expenses and contractual changes at supplier SolidWorks that lowered profitability per license sold. SolidWorks implemented these changes to incentivize their channel partners to sell more annual licenses and fewer traditional perpetual licenses. SolidWorks' goal is to evolve its business closer to a SaaS-like revenue model. These changes were expected to modestly suppress TriMech's margins for the next 24 months, but that ultimately, TriMech's lifetime value per customer will increase. As of December 31, 2023, total net debt to EBITDA was 5.7x, up from 5.6x the prior year.

In 2024, TriMech completed two accretive add-ons, strengthening its position in additive manufacturing in the U.K. and product development services in North America. For the 12 months prior to their closings, the two add-ons generated $8.6 million of revenue and adjusted EBITDA of $2.2 million. The $11.9 million combined purchase price represents an accretive 5.4x EBITDA. TriMech financed the add-ons with cash on hand and existing revolver capacity. TriMech also raised an incremental $50.0 million of senior debt through a delayed-draw term loan from its existing lenders to support continued M&A.

Although the business grew through acquisition, TriMech's organic growth in 2024 was below plan. Pro forma for the full-year impact of the two add-ons closed in 2024, revenue was $345.8 million, up 3.0% from 2023, but EBITDA was $64.4 million, down 0.5%. Revenue growth was driven by strong performance in our core application solutions business segment, enterprise solutions, additive manufacturing, and product development, partly offset by the continued shift from perpetual to lower-priced term licenses that we expected. TriMech's EBITDA decline was the result of higher operating expenses and the residual impact of the SolidWorks channel changes implemented in 2023. As of December 31, 2024, total net debt to EBITDA was 5.8x, up from 5.7x the prior year.

Entering 2025, we remain optimistic about TriMech's prospects. TriMech continues to generate strong cash flow and is well positioned to continue to execute its accretive acquisition strategy. TriMech has built a robust pipeline of actionable acquisitions, with three accretive add-ons under LOI as of February 2025 totaling $79 million of revenue and $10 million of EBITDA.

Investment Information

	SCI VI	SCP VI	SCP VI-A	Total
Date of Initial Investment	March 2022			
Amount of Initial Investment	$2,707,910	$131,992,685	$10,299,405	$145,000,000
Date of Follow-on Investment	June 2022			
Amount of Follow-on Investment	$413,154	$20,138,516	$1,571,411	$22,123,081
Monitoring Role	Active – Majority Control of Board of Directors			
% Ownership	0.9%	43.0%	3.4%	47.2%

12/31/2024 Holdings/Valuation

		Cost		Estimated Value	
	Principal Amount or # of Shares	Average per Share	Total	Average per Share	Total
Sentinel Capital Partners VI, L.P.					
Class A Units	131,992,685	$1.00	$131,992,685	$1.06	$140,540,512
Class B Units	20,138,516	$1.00	$20,138,516	$1.06	$21,442,683
Sentinel Capital Partners VI-A, L.P.					
Class A Units	10,299,405	$1.00	$10,299,405	$1.06	$10,966,393
Class B Units	1,571,411	$1.00	$1,571,411	$1.06	$1,673,175
Sentinel Capital Investors VI, L.P.					
Class A Units	2,707,910	$1.00	$2,707,910	$1.06	$2,883,274
Class B Units	413,154	$1.00	$413,154	$1.06	$439,910

Financial Information (000's)

	Year Ending December 31,[1]			
	2021	2022	2023	2024
Net Revenue	$288,009	$303,646	$324,843	$345,799
Adjusted EBITDA	$59,163	$62,277	$63,969	$64,374

[1] Pro forma for full-year impact of acquisitions in year acquired.

Balance Sheet as of December 31, 2024			
Assets		Liabilities	
Current Assets	$105,704	Current Liabilities	$68,401
PP&E, net	10,352	Long-Term Debt	383,803
Other Assets	504,224	Other Liabilities	27,536
		Stockholders' Equity	140,540
Total Assets	$620,280	Total Liabilities and Equity	$620,280

Valuation Rationale

TriMech's performance in 2024 was stable but below expectations. As of December 31, 2024, Sentinel is valuing TriMech at the same 11.2x EBITDA we paid for the combined U.S. and U.K. platforms, unchanged from the prior year. After adjusting for net debt outstanding as of December 31, 2024, the value of the Partnership's Class A units is $1.06 per share and Class B units is $1.06 per share. The total value of the Partnership's holdings as of December 31, 2024 is therefore $177.9 million, for a gross/net multiple of cost of 1.1x/1.0x, down 0.8% from the prior year.

TriMech Acquisition Corp.
12/31/24
($000, except per-share calculations)

	Valuation - Fair Value			
	SCP VI	SCP VI-A	SCI VI	Total
Trailing 12 Month Revenue	$345,799	$345,799	$345,799	$345,799
Trailing 12 Month Adjusted EBITDA	$64,374	$64,374	$64,374	$64,374
Valuation Multiple	**11.2x**	**11.2x**	**11.2x**	**11.2x**
Enterprise Value	$718,706	$718,706	$718,706	$718,706
Less Senior Debt	(292,803)	(292,803)	(292,803)	(292,803)
Less Mezzanine Debt	(91,000)	(91,000)	(91,000)	(91,000)
Less: Earnout Obligation	(4,555)	(4,555)	(4,555)	(4,555)
Plus Cash	13,734	13,734	13,734	13,734
Subtotal	(374,624)	(374,624)	(374,624)	(374,624)
Gross Equity Value	$344,081	$344,081	$344,081	$344,081
Less Class A Redemption Value	($233,100)	($233,100)	($233,100)	($233,100)
Less Class B Redemption Value	($89,012)	($89,012)	($89,012)	($89,012)
Total Remaining Value	$21,969	$21,969	$21,969	$21,969
# Class A Outstanding	233,100,000	233,100,000	233,100,000	233,100,000
# Class B Outstanding	89,012,066	89,012,066	89,012,066	89,012,066
# Class C Outstanding	17,131,989	17,131,989	17,131,989	17,131,989
Class A Ownership	68.71%	68.71%	68.71%	68.71%
Class B Ownership	26.24%	26.24%	26.24%	26.24%
Class C Ownership	5.05%	5.05%	5.05%	5.05%
Value per Class A Unit	$1.06	$1.06	$1.06	$1.06
Value per Class B Unit	$1.06	$1.06	$1.06	$1.06
Value per Class C Unit	$0.06	$0.06	$0.06	$0.06
SCP V Investment Valuation				
# Class A Units owned by SCP VI	131,992,685	10,299,405	2,707,910	145,000,000
# Class B Units owned by SCP VI	20,138,516	1,571,411	413,154	22,123,081
Value of SCP Class A Units	$140,541	$10,966	$2,883	$154,390
Value of SCP Class A Units	$21,443	$1,673	$440	$23,556
Value of Investment	**$161,983**	**$12,640**	**$3,323**	**$177,946**
Cost of SCP VI's Investment	$152,131	$11,871	$3,121	$167,123
Times Original Investment SCP VI	1.1x	1.1x	1.1x	1.1x
Original Transaction Multiple (EBITDA)	12.4x	12.4x	12.4x	12.4x